



FINANCIAL FREEDOM

A WORKBOOK FOR UNDERSTANDING PERSONAL FINANCE

Florida  **Council**
on Economic Education

The Florida Council on Economic Education would like to thank those whose support made this project possible.

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Dear Floridians,

As your state Chief Financial Officer, my primary goal is to help you keep and protect your hard-earned dollars. One of the keystones in protecting your financial health and promoting economic prosperity is having a solid foundation in financial literacy.

Many of us realize the importance of practicing sound financial principles like basic money management and budgeting. However, one in four Floridians do not adequately set money aside, plan for retirement or manage their debt. At the collegiate level, university administrators state that they lose more students to credit card debt than to academic failure.

Financial literacy is one of the most powerful tools that we can give to the young people of Florida, equipping them to achieve financial stability and steer clear of debt and financial fraud.

Along with preparing young people to go out and earn a living, it is equally critical to prepare them to manage what they earn. Those who know how to manage their money have money to start businesses, provide jobs and invest in their communities, including supporting educational opportunities for others.

I commend the commitment and progress that the Florida Council on Economic Education has made in improving the lives of Floridians through financial literacy with the help of dedicated parents and educators.

Together, we can pass on valuable lessons to the next generation, and help foster long-term economic prosperity and freedom.

Sincerely,

Jeff Atwater

CHIEF FINANCIAL OFFICER
JEFF ATWATER
FLORIDA DEPARTMENT OF FINANCIAL SERVICES



The Florida Council on Economic Education gratefully acknowledges and thanks the following individuals for their contributions, time, expertise and advocacy. These educators are the “Best of the Best” and the FCEE is proud of the work they have done to bring Financial Freedom to the next level.

Project Manager

*Brett Burkey - 2009 Economic Educator of the Year
Spanish River High School, Boca Raton*

Contributors

*Andrea Caceres-Santamaria - Seminole Ridge Community High School, Loxahatchee
Mary Chowenhill - 2011 Economic Educator of the Year, Robert E. Lee High School, Jacksonville
Denny Dawson - Marine and Oceanographic Academy, Fort Pierce
Tom Glaser - 1996 Economic Educator of the Year, Mater Academy Charter, Hialeah Gardens
Deborah Kozdras - Gus A. Stavros Center for Free Enterprise and Economic Education, USF
Beverly Ledbetter - 2003 Economic Educator of the Year, Pasco High School, Dade City
Virginia Meachum - 2010 Broward County Social Studies Teacher of the Year, Coral Springs High School, Coral Springs
Patricia Sibson - 2008 Economic Educator of the Year, Florida Virtual, Jacksonville
Steven Tommeraas - Glades Central High School, Belle Glade*



FOREWORD

In your hands or on your screen is a road map of the perilous highways and bi-ways of the personal finance world. Though the landscape has changed, success in navigating still remains an achievable goal. A person who attains financial freedom scales that summit by making sound choices, staying true to themselves, living within or even below their means, paying themselves first, and remaining devoted to a solid set of priorities. These principles have always been true; it's just the world we apply them to has changed. The recent housing bubble, the mountains of consumer debt, the rising cost and uncertainty around healthcare, the number of graduates returning to the nest with a suitcase full of college loans, and the ever increasing threat that even the best laid plans can be dashed from one cyber attack are enough to frighten anyone. The American Dream used to mean a house surrounded by a white picket fence, kids, dog, a car in the driveway and a chicken in every pot. Now the American Dream for many is to simply get out of debt. To make matters more complicated, the recent recession and the fundamental causes have resulted in a wave of new rules and regulations surrounding the institutions that manage our financial systems and markets. It seems the challenges may be too daunting to overcome. But the difference between benefiting or becoming a victim of your finances will always boil down to the choices you make. Recently, too many people were dazzled by rapidly rising housing prices, easy credit, and unrealistic expectations. Our society celebrated consumption while disregarding thrift. Apparently, no one thought that a "Home-saving" channel on television would be profitable. Once the momentum was established, it was too great a force for many to ignore. Today, the ashes of that flame-out are everywhere. Though many people are suffering, the aftermath can serve as a great compass for the choices you make forward. It is quite possible that people who paid themselves first, saved instead of recklessly spending, kept their debt load manageable, looked to the future instead of living for the moment, had a true understanding of all opportunity costs and didn't get caught up in the wave of unrealistic expectations are not among the wounded today. The clear point to make here is that those have always been the answers to the mysteries of achieving "Financial Freedom".



Financial Freedom

Table of Contents

Overview.....	1
What Is Financial Freedom?.....	3
Chapter 1: Managing Money.....	4
Introduction.....	4
Learning the Language.....	4
Step 1: Tracking One Week of Spending Habits.....	6
Step 2: Setting a Realistic Budget.....	10
Step 3: Maximizing Your Purchasing Power by Being an Informed Dollar Stretcher.....	11
Chapter 2: Banking Basics.....	16
Introduction.....	16
Learning the Language.....	17
Should You Use a Bank?	18
What You Need to Open a Bank Account.....	21
Interest: How is Interest Calculated?.....	22
The Rule of 72	24
Saving Money	25
What is a Checking Account?	27
How to Manage a Checking Account.....	29
How to Write a Check	30

The Checkbook Register	31
How Banks Make Their Money	34
Chapter 3: Job Search	35
Introduction.....	35
Learning the Language.....	36
Why Consider Getting a Job	36
How to Begin the Job Search	40
Making Contact with Potential Employers	44
Follow-up on Job Applications	49
Part II: Working for Yourself	51
Go It Alone or Have Partners	52
Business Plan	53
Chapter 4: Consumer Credit & Debt	58
Introduction.....	58
Learning the Language.....	59
What is Consumer Credit?	60
What is the Difference Between Credit and Debit?	61
Reading a Credit Card Statement	62
What if you are Denied Credit?	65
New Credit Card Legislation	66
What Is and Is Not Included in a Credit Report?	67
How to Read a Credit Report	68
Improving and Maintaining a Good Credit Score	69

Good Debt vs. Bad Debt	70
Tying Everything Together	71
Chapter 5: Automobiles and Auto Financing	72
Introduction.....	72
Learning the Language.....	74
New or Used: Deciding what is Best for you	76
Buying New	77
Estimating Car Costs	78
Financing a New or Used Car	79
Car Financing	80
Shopping for a Car Loan	81
Car Leasing	81
Chapter 6: Managing Risk	83
Introduction.....	83
Learning the Language.....	84
Auto Insurance 101	86
Understanding Coverage	87
Factors that Impact your Rates	89
Learn the Language	92
Types of Life Insurance	93
Healthcare Insurance 101	95
Patient Protection and Affordable Care Act (PPACA)	96
Types of Healthcare Insurance	97

Chapter 7: Finding a Place to Live 99

 Introduction..... 99

 Learning the Language..... 100

 Before you Begin 101

 How Much Can You Afford? 101

 How Can You Protect Yourself? 103

 Knowing What You Want 103

 Finding a Rental Property 104

 What to Look for in the Lease 106

 Renter’s Rights and Responsibilities 107

 Landlord’s Rights and Responsibilities 108

 Avoiding Common Renting Errors 108

 Finding a Property to Buy 109

 What to Look for in a Mortgage Agreement 109

 Description of Different Mortgage Types 110

 Advantages and Disadvantages of the Different Mortgage Types: 111

Chapter 8: Internet Safety and Identity Theft 113

 Introduction..... 113

 Learning the Language..... 114

 Internet Safety 115

 Identity Theft 116

What to do if you think your ID has been stolen	117
Internet Safety and Identity Theft Awareness Quiz	119
Chapter 9: Affording a Higher Education	120
Introduction.....	120
Learning the Language.....	121
Choosing Your Future.....	122
The Process of Choosing and Applying for College	122
Private Colleges/Universities versus Public Colleges/Universities.....	123
Cost of Attendance	123
Applying for Federal Student Aid (Financial Aid)	125
Financial Aid Awards (Grants and Loans)	127
Loan Know How Quick Check Quiz	130
Work-Study Program	133
Bright Futures Scholarship Program	133
Some Words of Advice	135
About the Florida Council on Economic Education	136



Financial Freedom

OVERVIEW

Welcome to the Florida Council on Economic Education's Financial Freedom publication. This is a comprehensive package of interactive instructions on how to navigate personal finance. To paraphrase a popular advertising tagline, "this is not your father's financial world" and it requires a full assessment of the tools necessary to avoid the various pitfalls. The recent financial collapse and the resulting recession were clear signals that all people need a foundation in modern money skills. But also a reminder that careful cost/benefit analysis will almost always indicate the right path to take.

This collection of lessons covers nine broad topics, in chapter form, providing a solid set of principles to guide you but also harnessing the valuable resources currently available through the internet. Each chapter follows a consistent format that presents essential fundamentals with reinforcement and assessment activities. There are links to additional readings as well as carefully selected active learning exercises to strengthen comprehension. Every topic is supplemented by numerous video clips, fun illustrative exercises, and extension activities that truly make this a multi-media learning device. Each section is accompanied by power point slides that summarize the cogent details in the subject area. This is an educational package that works best with an accompanying computer and headphones.

This workbook can be used as a text or supplement in a Financial Education class or as a self-study guide in the financial literacy component of an Economics or Financial Algebra class. It is appropriate for use from middle-school to adult education classes. The publication presents these nine subjects:

- Managing Cash
- Banking Basics
- Finding a Job
- Consumer Credit
- Buying or Leasing a Car
- Managing Risk With Insurance
- Find a Place to Live
- Internet Safety & Identity Theft
- Financing Your Education

Chapter One is all about maximizing your purchasing power through a realistic budgeting process. The key is to be conscious of where every dollar is spent and weigh each potential purchase against your long-term goals.

Chapter Two introduces the reader to the basics of banking, both traditional and contemporary. This section is conscious of the fact that banking services are in the middle of a gradual transition away from the manual processes of the past to the on-line and paperless methods gaining popularity. The reader will survey banking products and fees as well as the steps involved in managing various accounts.

Chapter Three addresses the world of job searching. How to hunt and capture the right job, and the professional development necessary in order to keep the job. Inside are instructions on how to construct the perfect resume and prepare for the interview process. There is also a section on the benefits of entrepreneurship as an alternative to working for someone else.

Chapter Four tackles the extremely important subject of consumer credit. This section reveals the secrets to establishing a good credit rating and the means to keep track of it. The different types of credit and credit services are discussed and what to do if you are denied credit. An emphasis is placed on the importance of a good credit score when accessing all kinds of financial services and modern conveniences.

Chapter Five discusses the often intimidating process of acquiring transportation. The often asked questions of “new or used” and “buy or lease” are explored here. In addition, the process of shopping for a car and the confusing dealership language are simplified to prepare the person anxious for some new wheels.

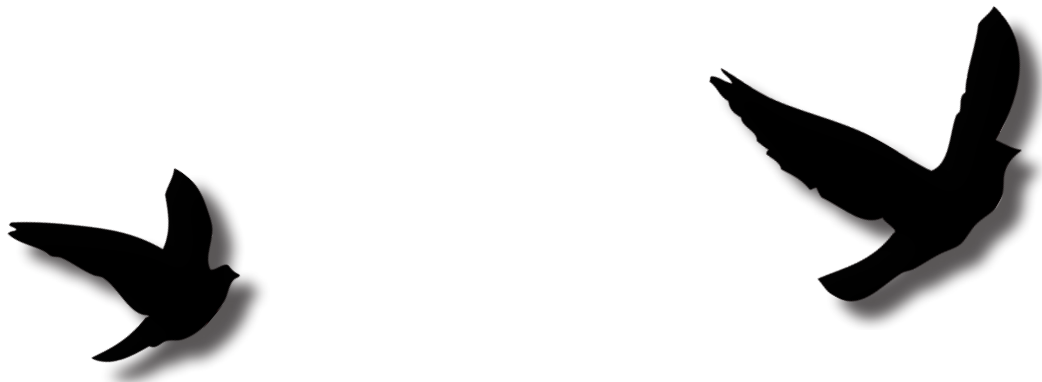
Chapter Six covers the vast world of risk management by addressing three types of insurance most people carry: life, auto, and health. The different types of insurance are clarified as well as a discussion on how to shop for the insurance you need. A lot of attention is paid to the limbo health insurance is currently in as our nation struggles with how to define it. Careful consideration is given to the laws that dictate Florida insurance consumers and the riddles are solved surrounding all of the technical jargon.

Chapter Seven talks about the evolving topics around finding a place to live. The recent housing crisis has caused our nation to re-evaluate home owning. This chapter takes on the questions surrounding “buying or renting” and simplifies the leasing and mortgage processes. There is significant attention paid to the rights and responsibilities of home owning as well as home leasing. The focus is to help the reader make the right decision in this turbulent market.

Chapter Eight unravels the confusion around financing an education. This section focuses on getting the most out of one’s education dollars by unmasking the college loan process, pointing out where to look for financial aid and scholarships, showing how to budget for post-secondary education and ultimately make the right choice to fit one’s needs.

Chapter Nine addresses the increasing prevalence of identity theft in our transactional interactions. Though all kinds of threats are discussed, extra emphasis is placed on the cyber form as so much of our lives dwell online. The reader is provided with an explanation of identity theft, how to protect personal information, and what to do if your defenses are breached.

We hope this satisfies some of the gaping need for financial literacy training in this rapidly changing world. Hopefully, with the right guidance, the next generation can avoid the mistakes currently feathering society’s bed. With so much of America’s social safety net unraveling, people will need to rely more heavily on their own financial planning. Frugality and sacrifice will have to temper the choices as people now live longer and healthier lives. Children born today can expect to live well into their eighties; will they have the means to support a comfortable life for that long? It is still very possible to achieve Financial Freedom.



What Is Financial Freedom?

What does financial freedom mean to you? Does it represent the ability to acquire lots of shiny new things? Does it suggest a life of sound sleeping, free from worry over debt? Is it the endless journey in “keeping up with the Joneses” or an uncluttered existence without storage units for your possessions?

Wow, a 7,000 square foot house sounds nice, but what about the monster mortgage? A closet full of designer clothes would suit me well, but the interest rate on the credit card is killing me. The notoriety of a prestigious university’s diploma on my wall, my friends will be envious. But I’ll be the one who’s green trying to payback all of those loans. Most of us are not billionaires who can buy whatever our hearts desire. We have to make choices – sometimes hard choices – about how to handle our limited resources.

The bankruptcy courts are full of people who thought housing prices would always go up, so that they could get rich quick by flipping that 7,000 square foot house for a tidy profit. Or those who thought a \$50,000 a year education was going to guarantee a six-figure paycheck. And that closet full of clothes? They’re all out of style now and won’t accommodate that extra weight gain. Too many people found their financial futures sacrificed on the altar of immediate gratification. Their life choices narrowed down to the best way to keep debt collectors from pitching a tent on their front lawns.

Financial freedom means living within your means, recognizing future consequences of immediate actions, setting goals and remaining disciplined so you can achieve those goals. The answer is to consume what you need and save for the future. Get excited about saving your money and watching it compound. Set realistic goals with one eye on today and the other on the future. Start planning today to achieve your dreams tomorrow. In other words, define **Financial Freedom** for yourself and live it.



Chapter 1: Managing Money

Introduction

Managing money is one of the most difficult things to master. You have to make decisions about each purchase you make. Ideally, each purchase would involve careful planning, research and consideration of the costs and benefits. Of course, it takes time to research and fill out a cost-benefit chart. One must consider when weighing the benefits and the costs of that item. For example, if you make a purchase today, how will that affect the cash you have tomorrow, next year or ten years from now? Spending on impulse (without thinking about all of the costs) could lead to disaster when you may need that same cash for a school lab fee or required reading book for English class. When you decide to spend money now, you will lose the opportunity to spend that money later. This is called opportunity cost. Opportunity cost can be in the short run (now) or the long run (later). Opportunity cost is not always about money. Because all resources are scarce, decisions must be made. For example, making decisions due to lack of time, space in a closet or garage, or whether you need a new pair of sneakers are all examples that show you will miss an opportunity. Every time you make a choice, you decide on the most valuable choice, it is the second alternative that is the opportunity cost. Only you can decide what are the most valuable choices and the opportunity that is lost.

In this section you will learn

- That spending your money doesn't always have benefits, but always has costs
- How to budget your money so you get the greatest benefit from your cash
- How to generate visuals so you can see where your money goes
- How to define good spending habits from bad spending habits
- How to become an informed consumer so you can maximize your spending power

Learning the Language

- **Opportunity cost** – the highest valued alternative not taken in an economic decision
- **Utility** - satisfaction gained from an economic decision
- **Cash flow** - the income you have available to use for spending or saving
- **Spending habits** - the level of spontaneity or patience you exhibit when making consumption decisions
- **Purchasing power** - the value your money generates in the market
- **Cost/Benefit Analysis** - weighing the pros and cons of a decision before you make it
- **Budget** - a financial summary of anticipated income and expenditures

EXERCISE:

What do these quotes mean to YOU?

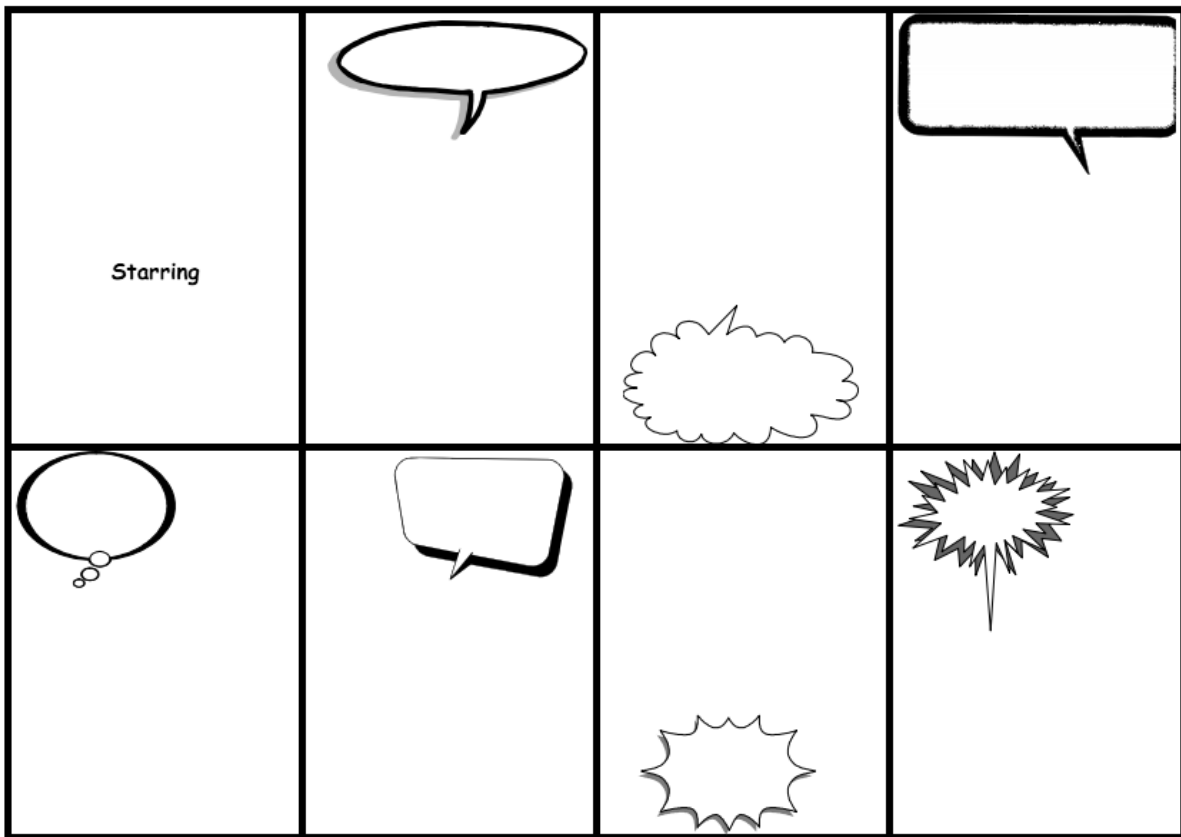
"Don't let the money burn a hole in your wallet"

"A fool and his money are soon parted."~Thomas Tusser 1573

"He who buys what he does not need steals from himself." ~Author Unknown

"The safe way to double your money is to fold it over once and put it in your pocket." ~Frank Hubbard

THINK: Using a phrase from above (or another one you have heard) draw a cartoon starring your own characters.



PAIR: Share this cartoon with another student to see if you were able to communicate the message of your quote.

SHARE: What did your partner think about your cartoon? Would there be a better way to communicate the message of your quote?

Gaining control over your cash flow can be accomplished in three steps.

1. Tracking your spending in the short run will show your buying habits including impulse spending.
2. Creating a realistic budget for how you intend to spend your money each month.
3. Maximizing purchasing power for the dollars that you spend.

Step 1: Tracking One Week of Spending Habits

Exercise: **Spending habits tracker**

Date	What you bought	Amount	Opportunity Cost		Reflection on purchase
			Now	Later	

Total Spending Amount					

Once you have a week's worth of spending entries, it is time to analyze your spending habits. Categorize your spending and add up all of the purchases to get the Total Category Amounts.

Categories	Food/Drinks/Lunches	School Supplies/Fees	Transportation	Entertainment Games/Tickets	Other
Monday					
Tuesday					
Wednesday					
Thursday					
Friday					
Saturday					
Sunday					
Total Category Amount					

A graphical representation of your spending habits can give you a quick visual of understanding how your money was spent. To get the percentage spent on specific categories, divide the total category amount by the total spending amount from Step 1 to get the percentage of your budget spent on a specific category.

**For example: If the Total Category Amount for food is \$10
and the Total Spending Amount is \$40 then**

$$\frac{\text{Total category amount}}{\text{Total Spending Amount}} = \text{result} \times 100 = \text{percentage of total spending}$$

or

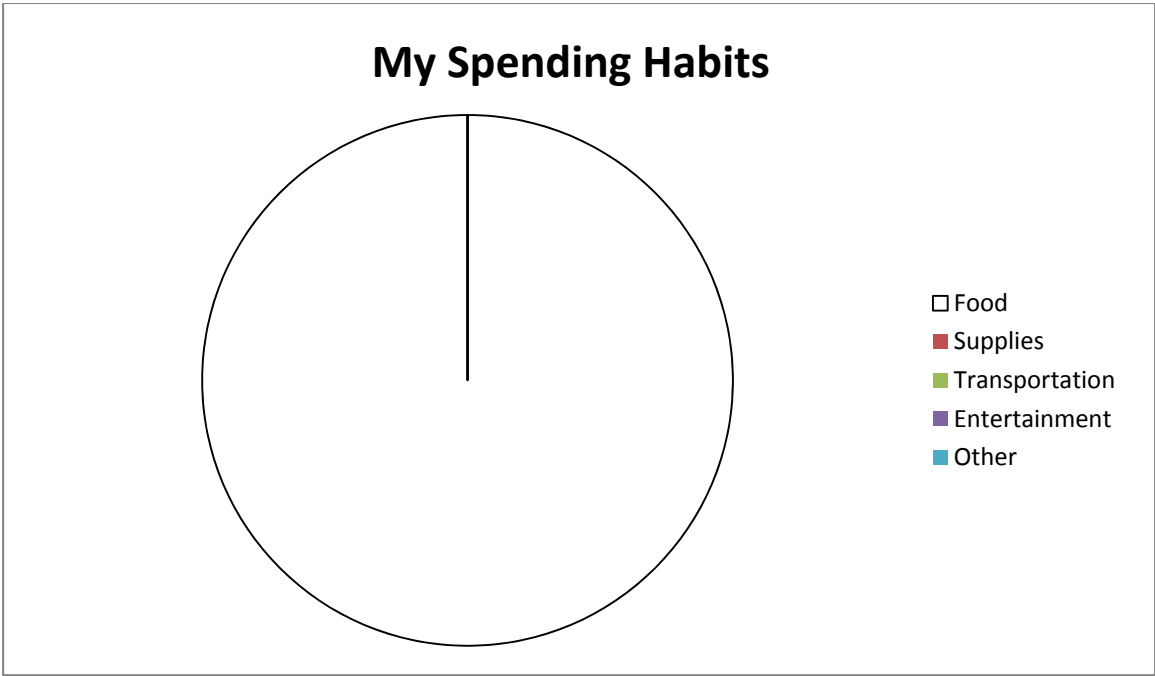
$$\$10/\$40 = .25 \times 100 \text{ equals } 25\%$$

Figure out the percentage spent on each category and fill out the pie chart below

Categories	Food/Drinks/Lunches	School Supplies/Fees	Transportation	Entertainment Games/Tickets	Other
Total Category Amount					
Total Spending Amount					
= result x 100 =					
%					

Excellent! Check your math and make sure that all the categories add up to 100%.

Making a graphical representation will help you quickly see at a glance the percentage of your income spent on each category. Construct a pie graph below designating a different color to each category.



Do you practice “good” spending habits? What are those?

Do you have any “bad” spending habits? What are those?

Were any purchases an impulse buy (something you bought without price comparison or research)? Did you buy bottled drinks from the vending machine everyday? How much can you save by bringing your own lunch to school or work? [http://www.360financialliteracy.org/Tools/Calculators/Lunch-Savings/\(language\)/eng-US](http://www.360financialliteracy.org/Tools/Calculators/Lunch-Savings/(language)/eng-US)

What are some ways you can change your spending habits?

Step 2: Setting a realistic budget

Now that you have a clear picture of your spending habits, it is time to set a budget for a specific period of time. Usually a month or two is a great start. As you grow older, your spending habits and income will change. Nevertheless, if you master the skill of budgeting now, you can predict how you will spend (and save) your money in the future.

You have investigated your expenses, which you spend money on regularly. This is called a fixed expense. A fixed expense is one that remains the same week after week, or month after month. A variable expense is one that changes from week to week.

Estimating (or predicting) your future income and spending is the foundation of a solid budget.

Regular (Fixed) Monthly Expenses:	Planned Amount:
Food/Drinks/Lunches	\$
School Supplies/Fees	\$
Transportation	\$
Entertainment	\$
Other Expense 1	\$
Other Expense 2	\$
Other Expense 3	\$
Other Expense 4	\$
Other Expense 5	
Other Expense 6	
Total Regular Monthly Expenses:	\$

Income:	Amount:
Monthly Allowance (Weekly x 4)	\$
Monthly Pay (Net after deductions)	\$
Other Income Source 1	
Other Income Source 2	
Other Income Source 3	
Total Monthly Income:	\$

Short-Term Goals (This Month):	Cost:
Attend Favorite Band's Concert	
Purchase Music CDs	
Short-Term Goal 1	
Short-Term Goal 2	
Short-Term Goal 3	
Total Cost of Short-Term Goals:	\$

Long-Term Goals (Next year or more)	Total Amt.	Term: months	Monthly Amt.
Vacation after Graduation	\$	24	
Holiday Gifts for Family & Friends	\$	12	
Long-Term Goal 1			
Long-Term Goal 2			
Long-Term Goal 3			
Long-Term Goal 4			
Long-Term Goal 5			
Total Cost of Long-Term Goals	\$		Total Amount to Save Monthly: \$

Budget Overview:	
Total Monthly Income:	\$
Total Regular Monthly Expenses:	(\$)
Total Cost of Short-Term Goals:	(\$)
Monthly Savings for Long-Term Goals:	(\$)
Extra Money Available to Save:	\$

Total Amount to Save: (Short-Term + Long Term + Extra)	\$
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Adapted from CU Succeed http://www.cusucceed.net/resources/b_budget_page.php

If you don't like this budget, try Microsoft Online for a variety of templates <http://office.microsoft.com/en-us/templates/CL102207099.aspx>

Step 3: Maximizing your purchasing power by being an informed dollar stretcher

Advertising Tricks

Have you ever purchased an item, only to get home and find out that the item is not what you thought it would be? The goal of advertisers is to create a sense that you will benefit from the item being advertised...but at what cost? Purchasing items such as a refreshing soda or a fresh made pizza offer immediate satisfaction. Marketers create an illusion of urgency that places your immediate satisfaction ahead of long-term sacrifices. Arm yourself by becoming aware of how advertisers try to get you to consume more products. <http://pbskids.org/dontbuyit/advertisingtricks/>

Competition and Cash are best friends

There is nothing better than going shopping for an item with cash you've accumulated through saving. How do you know that you are getting the best price and value for your hard saved cash? A good rule of thumb is to check at least three different places to get an idea of how much this item will cost you. This is called price-comparison shopping. Checking Sunday sales flyers and a few internet sources will allow you to check buyer reviews. Bring newspaper flyers or print out the internet advertisement and bring it to the store with you when you are comparison-shopping. Many times sellers of an identical item will price match. Price matching means the store that has the item at a higher price will match the lower price, even though that item is sold at

a different store. The items must be an exact match, and you may have to go through a customer service representative to make the price match happen.

Knowing if the item will be going on sale is also information that you can obtain by asking a store or sales associate. If the item will be going on sale in the near future, it will be worth waiting to be able to save 10 - 20% of the purchase price.

Calendar for Clearance Items								
January	February	March	April-May	June-July	August-Sept	October	November	Decemeber
computers electronics winter wear post-holiday sales small appliances sports equipment	jewelry perfumes gift items electronics housewares furniture	spring clothing wedding gifts air conditioners washers /dryers garden supplies outdoor winter sports gear luggage	spring clothing Bridal gowns (save up to 70%) furniture cruises vacation packages	summer items school supplies school clothes summer clothes summer sports equipment	Tax free days school supplies school clothes summer clothing (bathing suits and sandals) linens and towels	last year's car models fishing equipment houses crystal silver glassware •	houses quilts and blankets winter clothing	clothing appliances gifts wrapping paper holiday cards other holiday items

Source: <http://www.wisebread.com/buying-calendar>

Last but not least, some stores may offer a cash discount. When you have the cash, asking and getting a cash discount might surprise you when you find out that the price is negotiable.

Finding the lowest common demoninator to compare prices

Often, when trying to decide upon a product to buy, the best way to compare is to get to the lowest per a specific unit. Usually grocery stores will offer a shelf label that will divide the size of the items by the price and give you a per ounce or per pound price. This method can also be used for packages per box or items per case, but may require that you do the math yourself. For the example, look at the sugar shelf labels. Each package is 5 lbs. and when we look at the per ounce price, we see a major difference in price.



The lowest priced sugar (often called the generic brand) is 36% less expensive than the most expensive brand. If you buy the generic brand of sugar, you will be saving money (or spending less). Do you think you can tell the difference between the different brands of sugars? The difference is even more dramatic when you look at the price for sugar cubes. Sugar cubes are simply sugar shaped in small cubes, but are double the price! Is it worth spending the extra cash...just to have cubes?



While sugar is a good that is easily comparable, you can try this type of comparison with almost any grocery product as long as you can find the least common demoninator.

Coupons

With popularity of couponing growing, it is becoming easier to find a coupon for almost anything that you would purchase. Whether you are purchasing special treats, basic foods, oil changes or shoes, you can find a coupon. Many internet sites offer printable coupons and can set you up with a daily email of coupons for retailers in your neighborhood. Extreme couponing is also gaining popularity as Americans try to find ways to stretch their buying power with the limited dollars brought into the household. Checking local papers will

offer a multitude of coupons ready to save you cash. If you think you would like to get started with couponing there are many sites to help you learn, try this one <http://www.couponing101.com/2009/01/a-beginners-guide-to-couponing.html>

Deals, Special Events and Reward or Loyalty Cards

Do you ever wonder if the special events and deals that stores offer are worth it? Many restaurants and stores offer a loyalty card where you sign up with your name and email address to get special offers, coupons in your email or invitations to special sales events. Remember nothing is free, in essence you are being offered a deal to give the company valuable contact information that will allow tracking of your purchases. If you like a restaurant enough to eat there on occasion, you should ask about specials during specific hours of the day. If a restaurant offers a buy 6 get one free card, it may be worth it if you always stop to get a drink at that particular spot. However, if you compare getting the drink at home versus buying the drink when you are out then it may not be a deal.

Many states, including Florida offer tax-free days once (or more) per year. Depending on the state's particular needs, law makers may declare that specific days will allow citizens to purchase specialized items without paying sales tax, as one normally would. This may be school clothes at the beginning of the school year, or generators and hurricane supplies in anticipation of the upcoming hurricane preparation season.

Many stores offer items as a buy one get one free (or BOGO deals) or buy one get 50% off. Before purchasing this type of deal, make sure that the price is not elevated to cover the price of both items. While stores claim they do not do this, it is always worth comparison-shopping before the cash leaves your wallet.

Buying Used

Many people find that paying \$4 for a used pair of jeans that cost upwards of \$40 in a department store is worth hunting the racks of clothing in a thrift store. Granted, there are many things that you may not want to purchase used, like shoes or underwear. But when faced with a need for a new pair of jeans, this might just fit your budget. Yard and Garage sales often have items for a fraction of the cost of new. Craigslist is a classified ad service that is free for both buyers and sellers of items. Buying locally is the mainstay of Craigslist and being able to inspect an item for unusual or extreme wear before you purchase, is essential to saving your hard-earned cash. Ebay is also another way to purchase items at a price less than retail. Ebay is an online auction service that charges the seller a small fee. Typically, the buyer pays for shipping, but this is not always the case. Make sure to check for shipping charges and figure those in to the total amount of the purchase, before agreeing to buy. If you Ebay you should get to know abbreviations sellers use to describe an item. For example, did you know that NWT means NEW WITH TAGS? Knowing what acronyms sellers use to describe items for auction is just one more way of becoming a knowledgeable buyer.

<http://pages.ebay.com/help/account/acronyms.html>

When is a Deal not a Deal?

A deal is never a deal if you have to bust your budget, which causes you to overspend. If you buy something you will never use, it is not a deal. Buying food that you don't use and have to throw away because it has gone bad, is not a deal.

Remembering that spending less than you earn is the surest way to prosperity. Being honest with yourself and asking these questions will help you pave the way to a wealthy future. <http://www.themint.org/teens/buy-it-or-not.html>

Chapter 2: Banking Basics

Introduction

When you think about financial independence, one of the things that come to mind is having a way to keep your money safe, but still having good access to it. Having a special stash of cash under the T-shirts in the back of your top drawer or in a jar under your bed is one approach, but banking offers a way to manage your day-to-day finances and provide safety too.

In this section, you will learn:

- How to shop for a bank account that will fit your needs
- How interest is determined and calculated
- The difference between various money-making accounts
- How to manage a savings account
- How to manage a checking account
- How to manage online banking
- How banks earn profit by charging fees



Learning the Language

- **ATM** – automatic teller machine
- **Balance** – the amount of money you have in a bank account
- **“Bouncing” a check** – writing a check for more money than you have on deposit. Also known as overdraft, the penalties are quite large for overdrawing your account.
- **Compound interest** – interest paid on the principal plus earned interest.
- **Credit Union** – A financial institution owned by its customers, who are considered “members” of the credit union. Credit unions operate much like banks, but they are not-for-profit institutions operated for the benefit of their members. In this Chapter, references to “banks” and “bank accounts” also include credit unions.
- **Debit Card** – a purchase card that pays for a transaction by deducting the cost directly from your bank account. It can be used as an alternative to writing a check but should not be confused with a credit card.
- **Deposit** – the act of putting money in the bank or the sum of money put into a bank at one time.
- **Direct Deposit** – when your paycheck, transfer payment or refund are automatically deposited into your checking or savings account.
- **FDIC** – Federal Deposit Insurance Corporation. This government agency insures your bank accounts up to \$250,000.
- **Federal Reserve Bank** – also called “The Fed”, it is the central banking system of the United States. It is comprised of a Board of Governors, the Federal Open-Market Committee (FOMC), and 12 regional banks located across the country.
- **Fee** – a charge to the customer by the bank for a service such as writing a check or using an ATM machine.
- **Insufficient funds** – not having enough money in a checking account to pay the check (or debit card or other transaction).
- **Interest** – the amount of money paid to a customer by the bank for keeping the customer’s (savings) money. Also, the amount of money paid to the bank by the customer when the customer borrows (funds) money from the bank.
- **Joint Account** – a bank account shared by two or more people who are official signatures on the account.
- **Minimum Balance** - the amount of money required to be held in an account to receive a higher interest rate or avoid paying a service charge.
- **National Credit Union Administration (NCUA)** – The government agency that insures deposits at federal credit unions for up to \$250,000.
- **Opening Deposit** – the amount of money required as a deposit when opening a new account.
- **Overdraft** -- writing a check for more money than you have on deposit, also known as bouncing a check.
- **Quarterly** – the idea of dividing a year into “quarters” or once every 3 months. Usually indicates the last day of March, June, September, and December.
- **PIN** – personal identification number (for use with ATM and debit cards).
- **Rule of 72** – 72 divided by the interest rate will tell you how many years it will take your investment to double.
- **Withdrawal** – the act of taking money out of a bank or the sum of money taken out of a bank at one time.

Should you use a bank?

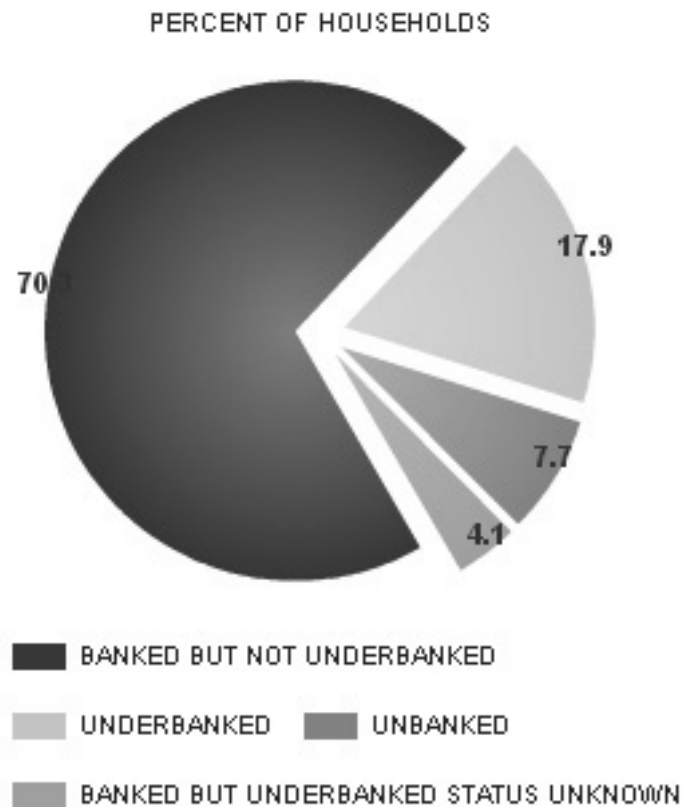
What does a bank account offer you over a less formal approach to managing your money? For one thing, many bank accounts pay interest on the money you have deposited with them, and that's always a plus. Another thing to consider is the “out-of-sight-out-of-mind” factoring that makes a bank account—especially a savings account—a distinct advantage over the “in-your-bedroom” savings plan. Cash stashed in your bedroom is much more tempting to spend than cash deposited in a bank. Simply having a bank account as a place to keep your money may help you hang on to it a little longer. While your money is there, you can sleep soundly at night knowing that it is federally insured as long as the seal of the FDIC or the NCUA is affixed to the door of the bank or credit union.

Some people are afraid of banks because they think that bank accounts can be hard to get or expensive to maintain. Banks and credit unions are businesses and, like all businesses, they have to pay their employees and make money to cover their operating costs (and still make a profit). One way they make money is by charging fees for the services they provide like savings accounts, checking accounts, and debit cards. There are ways that you can totally avoid paying any service charges for your bank account, so be sure to ask how this is possible. Sometimes customers can minimize bank fees by keeping a minimum balance in an account, but without planning, having enough money for a minimum balance can be hard for some people to do.

Also, many banks restrict the kinds of accounts students under the age of 18 may open. If you're under 18, having your own bank account may mean opening a joint account with an adult who already has an account at that bank. Read on to learn more about how to shop for a bank account that will fit your needs.

Despite the complications of banking, it is important to realize the financial advantages of having a relationship with a bank. Maintaining checking and savings accounts in your name establishes good credit and can lead to discounts in interest rates or increased credibility when renting, buying a car, or purchasing a mortgage. Paying your bills on time and retaining money in a savings account is reflected in your credit report, which will be discussed in another chapter.





According to a survey by the FDIC, almost 8% of the U.S. population does not have a checking or savings account. Another 22% are classified as “underbanked” which means they have a checking or savings account but still continue to use payday lenders or pawn brokers as a primary means of finance. The most common reason people give for not having a bank account is that they didn’t think they needed one. (REF: New York Times, “Unbanked America” by Catherine Rampell, 4 Dec 2009)

One of the exciting yet potentially confusing aspects of banking is evident in the gradual movement away from how banks traditionally provided their services. Online banking and smart ATMs are eliminating the contributions of paper and bank personnel to the transactions. Deposit slips are no longer necessary and checks are now imaged on receipts. Most banks are reducing costs by encouraging customers to go “green” and accept communication paperlessly. Online banking services give you access to your check register and account statements through the click of your mouse and debit cards, electronic transfers, and direct deposit are putting checks on the endangered species list. The traditional methods won’t be going away for some time so it is imperative that you know how to manually write checks and reconcile your statements. The growing numbers of fees banks are generating demands vigilance on the part of the consumer in keeping track of personal records. Thus, it is important that today’s bank customer be fluent in both the traditional methods of banking and the modern evolution unfolding before us.

Cost Comparison: Checking Account versus Check Cashing Services

Fees charged by banks, credit unions and check-cashing services vary, but consider this example that compares typical costs, then check with the stores, banks and credit unions near you to determine what your costs would be:

Your City Bank charges \$5.00 per month for a checking account, but will waive the monthly fee during any month when a minimum balance of at least \$100 is maintained in the account. There is a check printing charge of \$15.00 to print 250 checks for your account. The account includes access to free online banking and online bill payment services.

Money4U Check Cashers charges a fee of 2%, up to a maximum charge of \$10 of the amount of the check for cashing paychecks and government checks. There is no charge for money orders to pay your bills if you use the check cashing service.

Example:

James receives a paycheck every 2 weeks. After all taxes and other amounts are withheld, his net pay is \$800. James pays rent, phone, utilities, car payment and other bills each month for a total of 6 monthly payments. James is not currently able to maintain a \$100 balance in a checking account. Which option is the right choice for James?

Bank:	Monthly fee _____ x 12 months =	\$ _____
	Check printing charge	\$ _____
	Total annual cost	\$ _____

Check casher:		
	Check-cashing fee: (2% of check amt.; max \$10)	\$ _____
		x <u>26</u> pay periods
	Total annual cost	\$ _____

If James *overdraws* his bank account, the bank charges \$45 for every “bounced” check or payment that James makes when there are insufficient funds in his account. If James uses his debit card or writes checks that exceed his bank balance, how could this affect the cost of a bank account as compared to the cost of a using a check casher?

What questions do I ask when choosing a bank?

- Do they require a minimum balance?
- How much money do I need to open a checking/savings account?
- Do they offer an ATM or debit card with your account?
- Is there a limit on the number of ATM transactions per month?
- Is there a fee for ATM transactions?
- How much interest do they pay on this account?
- Are there any restrictions on how or when I withdraw money?
- Is there a limit on the number of checks I can write on this account?
- Is there a fee for writing checks?
- Do they offer online banking with online bill payment? If so, is there a fee?

- Do they have a convenient branch near where I live, work or attend school?
- Do they have direct deposit?
- Do they charge a monthly fee?
- What do they charge for overdrafts?
- Do they offer free checking?
- Do they offer overdraft protection by linking savings & checking accounts?
- Do I need to open this account jointly with an adult?

Other Considerations When Choosing a Bank

- Using the internet to do your research will help you to compare differences in the services banks offer.
- The FDIC symbol indicates that your accounts are insured up to \$250,000 per person, per bank. If you have over \$250,000 in a bank, you may need to use another bank for FDIC insurance or contact your bank to see if there are ways you might qualify for increased deposit insurance coverage.
- When you put all of your accounts in one bank, the institution uses the combination of all your deposits to determine if you are eligible for free services or reduced service charges.
- Smaller banks, with less than \$10 billion in assets, are not subject to the new fee limits on retailers and may not charge consumers a fee to use their ATM cards for purchases.

What You Need to Open a Bank Account

- \$\$\$\$ - For most accounts there are minimum first deposit and minimum account balances. Opening an account requires planning because you must know how much money you will need to get your account started.
- Banks will require you to show identification to open your account. A driver's license is good because it has your photo and shows your current address. Sometimes official correspondence, like communication from your school, can be used for identification.
- You will need to have your Social Security number to open an account.
- The bank will ask you to sign an account signature card so that they have an official copy of your handwriting for writing checks and withdrawing money.
- The big banking restriction for students under 18 years of age (and this is a big one) is that most financial institutions will require your account to be joint with an adult who has an account at the bank. Even with savings accounts, minors are often required to have a joint account with an adult.

Interest: How does the bank determine the interest rate?

Interest is the amount of money a bank pays to a customer for the use of and safe-keeping of their money. It is also the amount of money a bank charges a customer when the customer borrows money from the bank in the form of a loan. Interest rates paid on savings accounts are always lower than interest rates charged on loans. Remember that banks are in business to make a profit. Therefore, if average interest rates on loans are 10%, a bank may pay 5% on the savings account. But if interest rates on loans are only 5%, a bank may only pay 1% on a savings account.

Interest: How is interest calculated?

Compound interest

Suppose you invest \$10,000 into a savings account that pays 5% interest. At the end of the year, you will increase your bank account by \$50. ($10,000 \times .05 = 500.00$) Now you have \$10,500 in your account. In the second year, the bank will now pay interest on \$10,500 ($10,500 \times .05 = 525.00$). Now you have \$11,025.00 in your account. Compound interest works faster because interest is paid on interest from the last year.

This would mean at the end of

- 5 years, your account would equal \$12,762.82
- 10 years, your account would equal \$16,288.95
- 20 years, your account would equal \$ 26,532.98
- 30 years, your account would equal \$ 43,219.42

How often a bank compounds the interest can also affect the outcome. If a bank compounds interest quarterly (meaning once every 3 months), in

- 5 years, your account would equal \$12,820.37
- 10 years, your account would equal \$16,436.19
- 20 years, your account would equal \$ 27,014.85
- 30 years, your account would equal \$ 44,402.13

The following table shows the final principal (P), after $t = 1$ year, of an account initially with $C = \$10000$, at 6% interest rate, with the given compounding (n).

1 (yearly)	\$ 10600.00
2 (semiannually)	\$ 10609.00
4 (quarterly)	\$ 10613.64
12 (monthly)	\$ 10616.78
52 (weekly)	\$ 10618.00
365 (daily)	\$ 10618.31

The equation for compound interest is:

$$\text{Total} = \text{Principal} \times (1 + \text{rate})^{\text{years}}$$

For example, suppose you deposit \$1500 in a savings account paying 4.3% interest. What will be your balance after 6 years?

$$1500 \times (1 + .043)^6 = \underline{\$1931.07}$$

A good website to visit to calculate interest is:

http://www.moneychimp.com/calculator/compound_interest_calculator.htm

(OR do a search for “compound interest calculator”)

EXERCISE:

1. If you put \$500 in a savings account that paid 6.5% simple interest each year, how much interest would you earn in two years?

2. If you put \$1500 in a savings account that paid 4.5% compounded yearly, how much interest would you earn in ten years?

3. If you put \$100 each month into a savings account that paid a compound interest rate of 5.5% each year, how much would you have in your account at the end of five years?

$$\text{Total Amount} = \text{Monthly PMT} \frac{\{(1+r/12)^{12n} - 1\}}{r/12}$$

4. If you put \$10 each week into a savings account that paid 5% interest compounded quarterly, how much money would you have in your account after five years? (Hint: MonkeyChimp Calculator)

$$\text{Total Amount} = P (1+(R/4))^{4n}$$

Annual Percentage Yield

When banks and credit unions advertise or show the interest rates they pay on deposit accounts, they are required to disclose the Annual Percentage Yield or APY. The APY factors in the effects of compounding. So, if Bank A offers an account that pays 2% interest with no compounding, but Bank B offers an account that pays 2% interests compounded daily, Bank A would disclose a 2% APY, while Bank B would disclose 2.02% APY.

	Bank A	Bank B
Initial Deposit	\$10,000	\$10,000
Interest rate	2.0%	2.0%
Compounding	Yearly	Daily
Balance after 1 year	\$10,200	10,202.01
APY	2.0%	2.02%

The Rule of 72

This is a rule for quickly determining exponential growth of an investment using compound interest.

Seventy-two divided by the interest rate will tell you how many years it will take your investment to double.

Thus, if you have an interest rate of 5%, you would divide $72/5$ and it will take 14.4 years for your initial deposit to double.

The Early Bird Gets The Worm

Because of compound interest, the earlier you start saving the more money you will have to retire. For example, Jill starts at age 18 and invests \$2000 per year for 7 years and stops. Jack sees that Jill is saving and decides to start investing \$2000 per year at age 25 and continues for 40 years. Assuming a 10% interest rate, who will have the most money with which to retire at age 65?

Age	JILL Annual Payment	JILL Accumulated Amount	JACK Annual Payment	JACK Accumulated Amount
18	2000	2200	0	0
19	2000	4620	0	0
20	2000	7282	0	0
21	2000	10210.20	0	0
22	2000	13431.22	0	0
23	2000	16974.34	0	0
24	2000	20871.77	0	0
25	0	22958.95	2000	2200
26	0	25254.85	2000	4620
27	0	27780.33	2000	7282
28	0	30558.36	2000	10210.20
29	0	33614.20	2000	13431.22
30	0	36975.62	2000	16974.34
31	0	40673.18	2000	20671.77
32	0	44740.50	2000	22958.95
33	0	49214.55	2000	25254.85
34	0	54136.00	2000	27780.33
35	0	59549.60	2000	30558.36
36	0	65504.57	2000	33614.20
37	0	72055.02	2000	36975.62
38	0	79260.52	2000	40673.18
39	0	87186.57	2000	44740.50
40	0	95905.23	2000	49214.55
41	0	105495.75	2000	54136.00
42	0	116045.32	2000	59549.60
43	0	127649.85	2000	65504.57
44	0	140414.83	2000	72055.02
45	0	154456.31	2000	79260.52
46	0	169901.94	2000	87186.57
47	0	186892.13	2000	95905.23
48	0	205581.34	2000	105495.75

49	0	226139.47	2000	116045.32
50	0	248753.41	2000	127649.85
51	0	273628.75	2000	140414.83
52	0	300991.62	2000	154456.31
53	0	331090.78	2000	169901.94
54	0	364199.85	2000	186892.13
55	0	400619.83	2000	205581.34
56	0	440681.81	2000	226139.47
57	0	484749.99	2000	248753.41
58	0	533224.98	2000	273628.75
59	0	586547.47	2000	300991.62
60	0	645202.21	2000	331090.78
61	0	709722.43	2000	364199.85
62	0	780694.67	2000	400619.83
63	0	858764.13	2000	440681.81
64	0	944640.54	2000	484749.99
65	0	1039104.50	2000	533224.98
TOTAL	7,000	1,039,104.50	80,000	533,224.98

NOTICE: Jill only invests \$14,000 and she ends up with \$1,039,104.50. John, on the other hand, invests \$80,000 and retires with \$533,224.98.

Saving Money

New clothes, music, a car – these are all things we want and maybe even need. But if we spend without a plan, then all of our money can disappear before we even realize it. Every time you spend money, you’re deciding not to save it. What you spend today determines how much you have tomorrow.

Things you want to buy with your money are assets – items of value. Some assets lose their value as soon as you purchase them – like a candy bar or soda. Some purchases are assets that will keep their value a little longer – like new clothes that you will wear for a while or a stereo system you’ll keep for a couple of years.

Saving for a place to live is another example. Should you rent, buy a mobile home, or buy a home? From an investment standpoint, renting produces no future value. A mobile home will depreciate much in the same way a car – its value will diminish with time. On the other hand, a home usually increases in value over time. Investing in a home increases your savings and long-term growth.

Short-term saving is saving for something you want to purchase within the year, such as the money for a down payment on a car or car insurance for a year. Long-term saving is saving for something even bigger or longer in the future, like money for continuing your education or money to take a special trip. Both kinds of saving require planning and goal setting. Both kinds of saving require making a commitment to the future.

EXERCISE:

GOAL SETTING: Make a list of items for which you would like to save in the short-run (next 3-6 months).

EXERCISE:

GOAL SETTING: Make a list of items for which you would like to save in the long-run (next 1-5 years).

Saving First

One way to make sure you save is to make saving your most important expense. If saving is something you do if you have extra money left over, then you probably won't save very much. If you treat saving as something you must take care of – just like any other bill for financial obligation, then you will have greater success saving money. Pay yourself first.

One way to do this is to set up **direct deposit** with your employer. Your bank can then take a percentage of your weekly income and automatically deposit it into a savings account or a retirement account so the money will be there when it is needed.

Go to the following website for information on setting up direct deposit with a bank.

<http://www.handsonbanking.org/htdocs/en/y/#/en/y/si/rew/index.html>

What are the differences between the various money-making accounts?

- 1) Savings Accounts:** This is the traditional way to save money in a bank. As long as you keep money in your account, the bank pays you interest and your money grows. For this account, the bank sends you a statement that details all of your deposits and withdrawals and the interest you've earned either once a month or once a quarter (every 3 months).

ADVANTAGES:

- Your money is easy to access because of convenient bank locations.
- Your money is easy to access because you do not have to leave it in the bank for a specified period of time.

DISADVANTAGES:

- Traditional savings accounts pay low interest rates compared to other ways of saving.
- Some banks discourage small savings accounts by not paying interest on small balances or charging a service fee that takes away from your interest earnings.

- 2) Certificates of Deposit:** This is a specific amount of money that you deposit in the bank for a specific amount of time. For example, you might put \$1000 in a CD for 6 months or one year. Generally, the longer the time you agree to, the higher the rate of interest.

ADVANTAGES:

- Banks pay a higher interest rate for money invested in CDs than they do on traditional savings accounts because they know you will not withdraw your money for a certain period of time.

DISADVANTAGES:

- You will pay a penalty for early withdrawal. This means you can't access your money without forfeiting part or all of the interest earned.

- 3) Money Market Accounts:** Money market accounts are similar to checking accounts because you can write a limited number of checks on a money market account each month.

ADVANTAGES:

- Money market accounts usually pay a higher rate of interest than traditional savings accounts
- You can withdraw your money at any time.

DISADVANTAGES:

- Money market accounts require a significant minimum balance, often \$1000 or higher.

What is a checking account?

A checking account allows you to deposit and withdraw your money whenever you'd like and it allows you to transfer money to pay for goods and services.

Ways to deposit your money into a checking account:

- At a branch of the bank or credit union, at the teller window or the drive-in banking window
- At an Automated Teller Machine (ATM)
- By direct deposit (by your employer, government benefit payor or other payor)
- Online banking – may allow you to transfer funds from your savings account to your checking account

Ways to withdraw your money from a checking account:

- At a branch of the bank or credit union, at the teller window or the drive-in banking window
- At an ATM
- Write a check – a check instructs the bank to take money out of your account and pay someone on your behalf
- Use a debit card – It looks like a credit card, but a debit card works just like writing a check, except that the instructions are given electronically instead of in writing
- Online banking with bill payment – another way to give your bank electronic instructions to pay someone on your behalf
- Automatic payment – authorize a company to automatically charge your checking account to pay a bill, for example a monthly loan payment or a phone bill.

Benefits of Checking Accounts

Some benefits of a checking account are:

- Convenience - Easy access to your money and an easy way to pay your bills
- Safety – Deposits up to \$250,000 in banks, savings banks and credit unions are insured by the Federal Deposit Insurance Corporation (FDIC) or the National Credit Union Administration (NCUA), federal government agencies.
- Security – You don't have to keep a lot of cash in your wallet or in your house
- Build a credit history – If you handle a checking account responsibly, you begin to create a history with your bank or credit union as a good customer. This can help you to get a loan or a credit card in the future.

Checking Account Dangers

When you write someone a check, they trust that you have enough money in your account to pay the check. Your bank trusts that you will not write a check for more than the amount you have in your checking account.

If you write a check when there isn't enough money in your account, then you will **"bounce"** your check. Bouncing a check means the bank will return it to the person or company you gave it to and tell them your account had **insufficient funds**, meaning that there was not enough money in your account. This is also known as "overdrawing" your account. It can also happen if you've authorized a company to make an automatic payment (for example, automatic car loan payments) and there are insufficient funds in your account to cover the electronic payment order.

Overdrawing your account is a big deal. It is against the law to intentionally overdraw your account, and if it is done repeatedly, the person doing it will be prosecuted. Even when it happens by accident, it will cost you **A LOT** of money. If you overdraw your account, both your bank and the company you intended to pay to will

charge you a fee. This fee can be as much as \$30 each – meaning one overdraft could cost you \$60.

Remember: Even when you go just one penny over the amount you have in your account, that check will bounce!! You have to keep very careful records of all the deposits you make and all checks, debit card transactions, automatic payments and withdrawals to make sure this doesn't happen! One more thing: Repeated overdrafts can also hurt your credit record, making it harder and more costly for you to obtain a loan or a credit card.

Special Tips for New Checking Account Owners

- **Keep your records up to date.** Any time and every time you write a check, make an ATM withdrawal, use your debit card, or make a deposit, write your transaction down in your checkbook register.
- **Balance your account.** Each month the bank will send you a statement listing what you have spent and what you have deposited. Check your own records against the bank records. Review your bank statement right away to make sure there are errors. "Reconcile" the transactions (deposits, withdrawals, checks, debit and other electronic transactions) shown on your statement with those you entered in your checkbook register. Report any errors to your bank immediately. Banks are now offering reduced fees if you download this statement on the internet. But this means you must remember to do it each month.
- **Duplicate checks.** For new checking account owners, using duplicate checks is a great idea. These checks make a duplicate of every check you write. In that way, you have a record if you forget to write the amount in your register.

How to manage a checking account

Filling Out a Deposit Slip

Before you can write checks on an account, you must deposit money into the account.

date

your name

list the amount of each item that you are depositing here

sum of all the items deposited

amount of cash you want back

total amount of deposit

your account number

Deposit	
Date	
Name	
Account Number	
The Money Bank Cashton, NC 22222	
CASH	
CHECKS	
Subtotal	
Less Cash	
TOTAL	

EXERCISE:

Fill out the deposit slip using the amounts below:

Date the slip 3/4/2011.

Paycheck	\$450.00
Refund check AT&T	23.78
Cash	75.32

How to Write a Check

Use the sample below.

- 1) Date: Fill in the month, day, and year that you are writing the check.
- 2) Pay to the order of: write the complete name of the person or company you are giving the money to on this line.
- 3) \$: write the amount of the check in numbers in this box.
- 4) Dollars: Write the amount of the check in words across the line
- 5) Signature: Sign your legal name on this check.
- 6) FOR: Fill in a reminder of the check's purpose

EXERCISE:

Make this check out to your mother for \$125.00 for your class ring. Be sure to sign and date the check

Jane Doe
1234 Main St. Apt 101
Lenexa, KS 66215

1001

DATE _____

PAY TO THE ORDER OF _____ \$ _____

DOLLARS 

Your Bank
Address of Your Bank
Lenexa, KS 66215

FOR _____ **MP**

⑆123456789⑆ ⑆1234567⑆ 1001

⑆123456789⑆ ⑆1234567⑆ 1001
Bank Routing Number Bank Account Number Check #

Important tips when writing a check

- Always use **ink** so the information cannot be changed or erased
- Write **neatly** so the information on the check can be clearly read.
- When writing the amount, **start at the far left** and take up the entire line so additional information cannot be added without your consent.
- **Sign your name** (no printing) so that it matches the signature card on file at the bank.
- **Record** your **check number and amount** of the check in your register as soon as you write it, so you can keep accurate records.

The Checkbook Register

The checkbook register allows you to record the date and amount of your transactions and keep a running total. Accurately recording your payments and deposits and calculating the balance will help you avoid overdrawing your account and having to pay penalties and fees.

In the example below, check numbers are entered in the first column. The date is entered into the second column marked Date. A description of the transaction in the third column is necessary for accurate recordkeeping.

The column marked Payment is for any amount being DEDUCTED from your account, such as checks written, cash back, ATM withdrawals, et.al. The column marked Deposit is for any amount you are adding into your account.

The Balance column is a running total of the amount you still have available to pay your debts.

Check Number	Date	Description of Transaction	Payment/ Debit (-)		Fee		Deposit/ Credit (+)		Balance	
	2/20	Opening Deposit	\$				\$200	00	\$200	00
105	2/26	Coffee Mart	19	75					19	75
									180	25
	3/12	ATM	100	00					100	00
									80	25
	3/22	Deposit					30	00	30	00
									110	25
	3/23	Deposit					50	00	50	00
									160	25
	3/23	Cash Back from Deposit	25	00					25	00
									135	25
	3/18	Monthly Fee			2.00				2	00
									133	25

- 1) You have \$1000.00 in your register. Enter this amount at the top of the Balance column.
- 2) Enter the check you wrote to your mother
- 3) Enter the deposit from the previous page into your register.
- 4) Enter the following checks you have written into your register:

- [illegible]

EXERCISE:**Balancing the Checkbook**

Each month your bank will issue a bank statement on your account. You will have a choice of having it mailed to your home (usually for a fee) or viewing the statement online. It is important balance your account each month to ensure that you and the bank have not made any errors.

Take a look at the bank statement below. You will notice not all of your checks have cleared the bank. You will need to calculate your balance.

YOUR BANK STATEMENT

1234 Bank Street
Anytown, FL 33000

Bernie Big Bucks
4321 Your Street
Anytown, FL 33000
CHECKING ACCOUNT NUMBER: 2500098334

SOCIAL SECURITY NUMBER:
333-22-4444

This statement shows transactions for the period: March 1, 2011 to March 31, 2011

SUMMARY OF ACTIVITY:

Beginning Balance: \$ 1000.00
Deposits: \$ 548.00
Checks: \$ 625.00
Misc Debits \$ 0.0
Fees: \$ 5.00
Ending Balance: \$ 918.00

REGULAR CHECKING SUBTRACTIONS

Date	Description/Check #	Amount	Balance
03/04/2011	Deposit	\$548.00	
03/12/2011	1001	\$125.00	
03/15/2011	1002	\$500.00	

Start by listing all your outstanding checks that have NOT cleared the bank.

<u>Check #</u>	<u>Amount</u>
_____	_____
_____	_____
_____	_____
_____	_____
_____	_____
TOTAL	\$

1. Enter the balance shown on this statement: \$ _____
2. Add deposits not yet credited in this statement: + _____
3. Subtract checks outstanding: - _____
4. Balance \$ _____
5. Enter your checkbook register balance: \$ _____
6. Subtract fees for service charges: - _____
- _____
7. Balance: \$ _____

Lines 4 and 7 should be the same.

How banks make their money

Just like any other business, banks exist to make a profit for their owners (shareholders or for credit unions, their members).

Here are some examples of fees banks charge. Many or all can be avoided by managing your account:

- Monthly checking account fees (can usually be avoided by maintaining a minimum balance)
- Overdraft fees
- ATM fees when you use another bank's ATM machine
- Fees for printed statements (these can be avoided by using online services and going paperless)
- Penalties for early withdrawal of CD accounts

Keep track of your finances so you don't pay penalties and so that you minimize fees

Chapter 3: Job Search

Introduction

By the age of 16, many of you are thinking seriously about finding a part-time job or about starting your own business and should begin to make plans for your economic future. Whether the plan is for something immediate or involves preparing for a long range economic goal, there are strategies you should consider. Can you stay focused and take on a part-time job as well as continuing your current activities and keep your grades up in school? Is a part-time job right for you? What kind of job do you want? How much money can you expect to earn?

In this section you will:

- Learn how to apply for a job or create a business.
- Organize your job search or your business.
- Discover the dos and don'ts of job hunting.
- Write a resume and/or business plan.
- See what training and experience you need as you move toward a career.



Learning the Language

- **Competition** – In business is when two companies are competing for the same customers.
- **Corporation**- An organization that was formed to act as an individual in the legal sense and thus removing liability from the individuals involved.
- **Disposable Income**-income that is not committed to a particular use and can be used flexibly on whatever someone wants to purchase.
- **Employees** – Persons hired and paid wages or salary by a company.
- **Entrepreneur**-a person who organizes, operates, and assumes the risk for a business venture.
- **Gross Income**-the amount of money earned in a pay period before taxes and other payroll deductions have been subtracted.
- **Business License** – Government document making it legal for you to operate your business.
- **Marketing** – method used to tell the public about a product or service being offered for sale.
- **Medicare Tax**-a tax deducted from gross income for the purpose of contributing to Medicare benefits.
- **Minimum Wage**- the lowest legal hourly wage.
- **Net Income**-(take home pay) the actual amount of money received after taxes and other payroll deductions have been subtracted from gross income.
- **Partnership**- A way of organizing a business that involves having 2 or more owners.
- **Resume**-a summary of a person's education, experience, and work skills that is used when searching for a job.
- **Social Security Tax**-a tax deducted from gross income for the purpose of contributing to social security benefits.
- **Sole Proprietorship** – A business owned by one person who may or may not hire employees.
- **Sub-Contractors** – An individual or business firm that is contracted to perform a job. They are not employees of the contracting company.
- **Withholding Tax**-a tax deducted from gross income for the purpose of paying federal income tax benefits as you earn income.

Why Consider Getting A Job

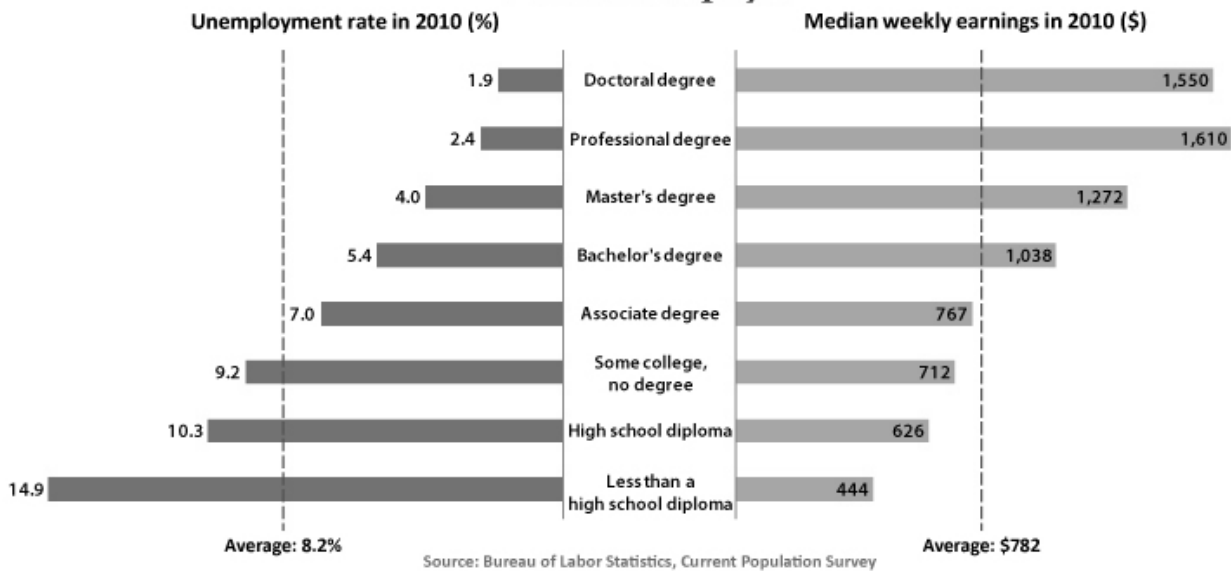
According to a Canadian survey of 18-20 year olds:

Dropout rates were lowest among youth who worked a moderate number of weekly hours and highest among those who worked the equivalent of full-time weekly hours. Surprisingly, a higher percentage of those who did NOT work in their last year of high school dropped out(14.2%), compared to those who did work (9.5%). Dropout rates were lowest (6.8%), on average, among youth who worked a moderate number of weekly hours (10 to 19). Among those who worked the equivalent of full-time weekly hours (30 or more), dropout rates increased substantially (21.1%).

<http://www.statcan.ca/english/freepu...XIE2000001.pdf> (page 36-37)

This study seems to indicate that working a few hours a week can help keep students in school. The table below also indicates the life-long virtues of pursuing an education. The most recent recession has not distributed its hardship equally.

Education pays:



Volunteer or for Pay?

Some jobs give you a paycheck, but some jobs offer more than money; they offer experience and an up-close view of many different kinds of work. Volunteer jobs offer the chance for community service as well as the opportunity to learn more about jobs that might interest you.

Many community based organizations are looking for volunteers. The list includes elementary schools, after school programs like the Girls and Boys Club, and the YMCA. Libraries can use help restocking shelves and helping visitors find books. Food banks, homeless shelters and hospitals all rely heavily on volunteer support. If you're thinking about getting a job and your main reason is to gain valuable work experience, consider a volunteer job in community service.

Volunteer jobs offer other things, too. Sometimes volunteer jobs help students learn more about careers they are considering. Volunteer jobs can be a kind of internship, introducing students to the real world of a profession that interests them and providing experience that will help them decide if they want to continue in that kind of work.

Answering phones in an architect's office, delivering cards and messages in a hospital, or addressing envelopes in the newsroom of your local newspaper can give you a better idea of what work is really like, and if you would really like it! Volunteer work can be listed on your resume, just like paid work. It can also be a source for letters of recommendations when you apply for school or other jobs, and sometimes volunteer positions become paid positions.

Maintaining a Balance

Balancing responsibilities at home, at school, and with friends can be tough. A job means even more responsibility. Since you can't add more hours to a day, adding the responsibility of a part-time job means carefully considering where it will fit in and how you can sustain your efforts toward all the important things in your life.

Before you begin looking for a job or planning a business, take time to think about what you want from a job and how you will maintain a balance in your life if you get a job. To have a part-time job, you need to have

- Reliable transportation
- Enough time
- A regular and predictable schedule

Use this exercise to help you think more about why you want to get a job and what you expect to gain from working.

EXERCISE:

Before the Job Search

1. Why do you want a Job? For the extra money? For something interesting to do? For the experience? What else? List your answers below.
2. How much time is taken up each week by:
 - a. School work and studies?
 - b. After-school activities like sports and clubs?
 - c. Volunteer activities?
 - d. Responsibilities at home?
3. After considering your commitments, how much time do you have left each week for work?
4. Do you have a certain time of day or day of week when your schedule is free? Is this time predictable, so that your employer would really be able to count on you? When is this time and how many hours do you have available?
5. Do you have reliable transportation to get to and from work? What will your transportation be?
6. Why do you think a job is or is not a good idea for you?

What can you earn?

Your own money! For many teens, a job means a new kind of financial independence. In some parts of the world, teens' main motivation to work is to help support their families. But research shows that in the United States, most working teens come from middle and working class families that can support them, and most of the money teens earn goes toward their own disposable income.

Just how much can you earn working a part-time job? How will you use that money? Before you search for a job, consider your goals and why you are making the decision to work.

Watch out for the trap!

Don't get so excited about the prospect of earning that you get caught up in a common trap.

Researchers report that many teens start working for extra money and then find they HAVE to work because of debt and other obligations that they incur after they start working. For example, many teens said that they began working so that they could get a car, but later found they had to work (even more hours than originally planned) to maintain their cars.

Even worse, some teens are shouldering BIG credit card debt for car repairs, entertainment expenses, and clothing expenses that they thought they could afford. But the bills come in faster than the paychecks and these teens are in financial trouble. There's no financial freedom in a situation like this.

Where to look for a job

Typical jobs for teens include fast-food restaurants, retail stores, and stocking and bagging groceries in a supermarket. When you start looking for a job, ask your friends, neighbors, and adults you know about any opportunities they may know about. Is a new business opening and looking for help? Is there a place you enjoy shopping that might need some help? Does a retail store need extra help for the holidays? These are good ways to get started.

EXERCISE:

Job Search

Talk to three working teens about the jobs they have. How did they hear about their jobs? Who did they talk to when they applied? Did it take long for them to hear from the company after they submitted their job application? How long have they been working? Do they like working? Why? What is the hardest part about working?

Teen 1:

Teen 2:

Teen 3:

Looking Online

Before you go you should look online. Almost all retail chains have a web page where you can find out what is available. You can also look over what they stress as important so when you go for an interview you will be well informed. To get to the web page, do an online search for the store and then search the site for careers or job applications. Many companies have job applications on line and you can fill out an application before you go to the store. If you apply online it is always a good idea to save or make a copy of your application for your own records.

How to begin the Job Search

The best way to make a good impression is to be prepared when you apply. Whether you apply online or in person, there are several things you should have to make the application process smoother. Here is a list of items that you should have:

- A pen and paper- you may need to write down information about your application. If you are on-line or are applying in person, you don't want to ask your potential employer for a pen to complete the job application form.
- Your complete address and phone number.
- Your Social Security number.
- The names, addresses and phone numbers for at least three people who are willing to be references. Employers usually ask you to list people who are **NOT** relatives. They can be neighbors, faculty or staff at school, someone from church or an after-school activity. They need to be adults who know you well and who are willing to give you a good recommendation.

- **IMPORTANT TIP:** Do not list someone as a reference on an application without their permission! Explain that you are applying for a job and would like to list them as a reference. Ask if they would be able to give you a good recommendation.
- The complete name, address, and phone number of the school you attend.
- The complete name, address, phone number, and contact person for any job you have already had. With permission, you can include the name(s) of informal employers you have had. For example, if you worked as a baby sitter everyday for a summer (an important and responsible job), you can ask the mom or dad from that family if it is OK to include the job on your resume and job application forms.
- Most of the above information should be on your resume. If you keep a copy of your resume handy you can access it when you need it.

EXERCISE:

Practice completing the job application.

APPLICATION FOR EMPLOYMENT

PERSONAL INFORMATION

DATE OF APPLICATION: _____

Name:

Last

First

Middle

Address:

Street

(Apt)

City, State

Zip

Alternate Address:

Street

City, State

Zip

Contact Information:

()

()

Home Telephone

Mobile

Email

How did you learn about our company?

POSITION SOUGHT:

Available Start Date: _____

Desired Pay Range: _____

Are you currently employed? _____

By Hour or Salary

EDUCATION

	Name and Location	Graduate? – Degree?	Major / Subjects of Study
High School			
College or University			
Specialized Training, Trade School, etc...			
Other Education			

Please list your areas of highest proficiency, special skills or other items that may contribute to your abilities in performing the above mentioned position.

PREVIOUS EXPERIENCE

Please list beginning from most recent

Dates Employed	Company Name	Location	Role/Title

Job notes, tasks performed and reason for leaving:

Dates Employed	Company Name	Location	Role/Title

Job notes, tasks performed and reason for leaving:

Dates Employed	Company Name	Location	Role/Title

Job notes, tasks performed and reason for leaving:

Making contact with Potential Employers

Many jobs today are just a mouse click away. If you are applying to a store which is part of a chain, you should first check to see if there is a place to apply on line. Many companies make applications as easy as online search, click, and apply. If you are planning to walk-in and apply, it would be useful to call and find out what time is best. Explain that you would like to apply for a job. Find out when you should come in and to whom you should speak.

Caution: Some employers will hire students only if they are over the age of 18. Ask about this when you are applying.

Dress Appropriately

It is always a good idea to research and find out what kind of attire is required by the company. Before applying it is good to notice how the sales staff dresses. If you're applying to work with children in an after school program, that will require a different kind of clothing. If you are applying to answer phones or do filing in an office, take time to think about what your potential co-workers will be wearing. For example the personnel manager at Wells Fargo suggested that you go and see what people who already have the job are wearing. Will your job require special clothing or a uniform? Will you have to buy clothing for the job? Plan ahead for these expenses when considering what kind of job you want.

While job attire varies widely among businesses, it is always wise to dress in a professional manner for a job interview. First impressions do count. Examples of appropriate attire for men and women are:

- Men – long sleeved dress shirt and tie, dress slacks and dress shoes. A sport coat is optional, but if one is available, it should be worn to the interview.
- Women – dress or dressy skirt and modest blouse, panty hose, and professional closed-toed shoes. Bold or large jewelry should not be worn.
- Piercings and tattoos should not be visible during interviews or work hours. Take out and cover should be the rule.

Put together a Resume

Many students think a resume is something you do when you're older and have more experience. However, having a resume helps you get your job search organized, it helps you focus on your skills and what you have to offer, and it gives employers a chance to find out a little more about you. It also shows you have a little extra initiative, which doesn't hurt.

Putting a resume together takes time. Expect to spend 3-4 hours gathering all the information you need and typing it into a resume format. There are resume sites on the internet and a template on Microsoft publisher which can be used for formatting or you can use the template provided on the ensuing pages. Employ Florida Marketplace <https://www.employflorida.com/> is a great place to go and create a resume.

Use the questions below to collect all the information you will need for your resume. Then look at the examples on the following pages to see how to set up your resume.

EXERCISE:

Resume Information

Complete the information below. You can organize your information in one of two ways. Either create a word document with the steps clearly labeled or put the information on 3x5 cards. Both ways allow you to update and make changes when necessary.

Step 1: Complete Address

List your local address and phone number (including area code). Also list your e-mail address. Many employers will use e-mail as a point of contact.

If you do not already have an e-mail address or if your e-mail address uses a pseudonym, now would be a good time to create an e-mail address which clearly belongs to you. **For example: John_Smith@yahoo.com not surferguy89@yahoo.com** . The reason is twofold.

- If you are communicating by e-mail an employer will immediately know who is sending the e-mail
- Putting your name indicates business rather than play

Step 2: Education (on your resume, you will list your most recent first)

For each educational institution you have attended beginning with your current school, list the following:

Name/Location

Dates attended

Degree/credits/GPA (if above a 2.0)

For high school, add information about extra-curricular activities such as sports and clubs in which you participate.

If you have taken any special classes outside of regular school, like a computer class, be sure to list those too.

Step3: Work Experience (on your resume, you will list the most recent first)

For each employer, list the following:

Business address, Phone number, contact person

Dates you worked there

Description of work experience, responsibilities

If you have not held a formal job before, include informal jobs (such as baby-sitting or lawn mowing) and any volunteer work you have done.

Step 4: Work skills – What You Have to Offer

Think about what you know, what you do best, what you like best. Are you good at talking with people? Can you stay focused and pay close attention to detail? Are you very committed and dedicated? Are you on time and dependable? These are things employers care about and need to know before they hire someone.

Step 5: Goals

No, the correct answer is not “to earn money!” Even though potential employers assume you want to earn money, they also want to know what your goals and objectives are and if they fit with their company’s. They want to know what you want from a job –other than money!

Some jobs offer you entry level positions that can lead to positions further along in the company or industry. If you want to be an accountant and intend for your college degree to be in accounting, you might wish to apply as an accounting clerk. If you wish to be a licensed contractor, you might seek employment at a store where contractors shop or apply for jobs as a laborer. Bankers often begin as tellers. Becoming familiar with your goal from the point of view of an entry level position is a good idea. Make that dream a reality by seeking work that puts you in contact with companies and people who are already in your employment field.

Step 6: Extra Stuff

Have you received any special honors or awards? If so, these can be listed on your resume. Take some time to make a list of any special acknowledgments you have received.

You can use the templates on the following pages to construct your resume. Employ Florida Marketplace <https://www.employflorida.com/> has a page set up to guide you through writing your resume. Just look under Job seekers and click on create a resume. If you have not already used the sight you will be prompted to register and then they will guide you through the creation process.

Sample Resume for student with formal Work Experience

Name

1200 S. McDuff Ave., Jacksonville, FL 33803

904-555-0001 student@e-mailaddress.com

Objective: To gain work experience while earning money for school.

Education

Summer 20xx	Florida State College at Jacksonville	Jacksonville, FL
Spring 20xx	Dual Enrollment Student	(904) 388-0000
	9 credit hours earned. GPA: 4.0	

Graduated	Robert E. Lee High School	Jacksonville, FL
May 20xx	Business and Logistics Community	(904) 381-0000
High School Diploma	GPA 3.86	

Work Experience

August 20xx	The Florida Times Union News Clerk, Metro Desk. Typed local election data into spreadsheet database	Jacksonville, FL Supervisor's name
August 20XX June 20XX	News clerk, Life Desk. Organized, responded to, and returned photos to readers. Made copies and compiled meeting notes.	Assistant Metro Editor (904) 802 0000

January 20XX- May 20XX	Accounting Business, Inc. Data Entry Clerk. Entered accounting data on Lotus and Excel spreadsheets. Prepared billing statements to account receivable .	Jacksonville, FL Supervisor's Name Owner (904) 989-2307
---------------------------	---	--

August 20XX- May 20XX	Dance Wear, Inc. Fit customers for dance shoes and clothing. took inventory and placed orders. Totaled receipts at the end of the day and made bank deposits. Opened and closed store. Set up and maintained customer mailing list.	Lakeland, FL Supervisor's name Owner (904) 648-0000
--------------------------	--	--

Work Skills and Attributes

Word processing experience using Microsoft Word and Word Perfect. Data entry on Lotus and Excel. Excellent writer and word editor. Good telephone and customer service skills. Trustworthy. Consistent. Timely. Friendly. Quick Learner. Hard Worker

Sample Resume for Student with No Formal Work Experience

Name

1200 S. McDuff Ave., Jacksonville, FL 32205
904-555-0001 student@e-mailaddress

Objective: To gain experience and learn new skills while earning money for schools.

Education

August 20XX- Present	Robert E. Lee High School Business and Logistics Community	Jacksonville, FL (904) 381-0000
-------------------------	---	------------------------------------

Experience

August 20XX- May 20XX	Beta Club Vice-President. Organized club activities and led meetings when president did not attend. Planned many fundraisers for the year, earning \$750 for the club	Jacksonville, FL Faculty Advisor's name Lee High School (904) 381-0000
--------------------------	--	---

June 20XX- Present	Lawn Mowing Have worked for four regular clients during the past two years, demonstrating excellence and commitment to my work.	Jacksonville, FL Client Name (with permission)
-----------------------	--	--

August 20XX-	Public Library Volunteer Restocked shelves, helped young children With research and school reports, helped Organize summer activities for children	Jacksonville, FL Supervisor's Name (904) 389-5555
--------------	---	---

Work skills and Attributes

Dedicated and committed to doing a good job. Excellent at working with customers. Reliable and dependable. Eager to learn new skills.

Honors and Awards

2006 Student Volunteer of the Year Award from Public Library

Reproducing your Resume

Take time to make your resume look good. If you have a computer at home, use it to design your page. Take time to select a nice type style and to organize the information on the page. If you don't have a computer at home, find out if you can use one at your school or at a neighbor's house.

It is worth the effort and expense to copy your resume on to nice paper. You don't have to buy a lot of paper. If you go to a copy shop or use the machines at an office supply store, you will have a selection of nice paper to use. These can usually be purchased by the page, so if you have 25 copies to make, you only buy 25 pieces of good-quality paper. Often you can get matching envelopes and blank pages (for thank you notes) and buy only as many as you need.

Take it with you!

As you apply for jobs, you'll be asked to complete application forms. Most of the information on the application forms will duplicate information on your resume. Fill out the job application forms completely, but take your resume along and attach it to the application when you turn it in. Your resume speaks well of you and offers potential employers a good way to learn about you by glancing at a single page.

Follow-up on Job Applications

It's rare to simply fill out an application and get a job. Usually it takes more work than that. Here are a few tips to following up and landing a job.

- Get the name of the manager or supervisor. This is how you know with whom to follow up.
- Jot down the name of anyone you met while you were applying so you have that information for later reference.
- Acknowledgements. Making personal contact with a potential employer is always better than taking the application and dropping it off later because it gives you a chance to make a good impression. If you met a manager or supervisor when you were applying, write them a short thank-you note to thank them for talking to you. A thank you note also gives you a chance to remind the employer who you are and why you'd be good for the job.
- Call or stop by! If a company isn't looking for help when you apply, keep your name at the top of the list by calling the manager or supervisor in charge of hiring (not more than weekly) or stopping by (only during their regular application times). That way you can see if your application is still being considered or if their hiring needs have changed. Persistence is a plus with many employers. Although you don't want to be annoying, showing that you are really interested counts a lot.
- If your application was done on the internet and you have not heard back in the amount of time you were told, you should call to check on the status of your application.

Keeping a List

It is important to keep track of the details of your job search. Use this chart to help you keep a list of where you have submitted applications, when you applied, and any contacts you made.

Job Contact Sheet				
Company Name and Address	Phone #	Contact Person/Position	Date Applied	Notes on Status and follow-up

Part II Working for Yourself

Work Doesn't Always mean for Someone Else

Student entrepreneurs take things into their own hands and successfully create their own employment opportunities.

Advantages

- More independence
- Adapt the schedule to fit your needs
- Work as much or as little as you want
- Do something that really interests you
- Maybe make more money - \$20 an hour for mowing a lawn beats the minimum wage!

Disadvantages

- Your income depends on your effort
- Marketing – you have to find the customers
- More responsibility – no boss means you're responsible for getting the job done and keeping your customers happy
- Can be lonely – you don't have coworkers to hang out with

Some Entrepreneurial Ideas (you add some more!)

- | | |
|---|--------------------------------------|
| • House cleaning | • Lawn Mowing |
| • Pet care
(walking/feeding/grooming) | • Baked goods (for holidays/parties) |
| • Car washing | • Tutoring |
| • Music lessons | • Baby-sitting |
| • Setting up computers and giving
basic computer lessons | • Cleaning windows and gutters |
| • Creating Web sites | |

The Entrepreneurial Case

Oh sure. Lawn mowing – you can't make much money at that. But here's an example of an entrepreneurial teen who built a solid income doing just that.

John began mowing lawns when he was 12 years old. At first, it was for a neighbor who was going away for vacation. When the neighbor returned, she asked John if he'd be interested in continuing to do the job weekly.

Seeing the good job John was doing, another neighbor hired him to do his lawn weekly. John asked these customers if they knew anyone else who would be interested in his services and he delivered flyers around the

neighborhood. Soon John had 6 regular customers and he was earning \$120 per week doing approximately 6 hours of work (Someone making minimum wage would have to work more than 20 hours to earn that much).

John added seasonal fertilizing and trimming for some extra money. When his number of customers increased, he paid his younger brother and sister to help. By the time John was in high school, he had a good chunk of change in the bank and a computer that was the envy of his friends. When he left for college last year, he turned his business over to his brother and sister and they are continuing the entrepreneurial tradition.

Click and learn about a real life story of entrepreneurial success.

<http://www.tampabay.com/news/business/as-grass-grew-so-did-ray-bradleys-landscaping-business/1139303>

Go It Alone Or Have Partners

So when you start a business what type of organization should you choose? There are several factors to consider. If you go to <http://www.residual-rewards.com/business-types.html> you can see several models. Making the decision should be a matter of considering how you work best. If you are planning to go it alone or with a partner look at the above web site and start by noting the requirements, advantages and disadvantages of each business organization. Use the next page to record the information you need to make your decision. **CONSIDER YOUR OPTIONS CAREFULLY.**

EXERCISE:

Sole Proprietorship

Advantages

Disadvantages

Partnership

Advantages

Disadvantages

Choose a business organization and explain your choice using the information you just learned.

Business Plan

Once you have decided on your ownership structure, it is time to consider your market and where you fit in it... Who, for example, is your competition and what are your their strengths and weaknesses? What customers are you hoping to attract? What are the age, income and geographic location of those customers? How will your business operate? Are you planning on having a store or will your business be mobile? Will you go to your customers or will they come to you? Do you plan on having employees or will you use sub contractors? How will you market your product? How will customers know of your existence? Will you advertise and if so, how? What resources will be needed to make your marketing strategy possible? Use the chart on the next page to begin considering what you will need. Check out web sites that might take advertising and look into how much flyers will cost.

Business Plan Development Guide

Description of Competition	Who else is in the industry?	Their Strengths
		Their Weaknesses
	Type of Customers	Income
		Age
		Geographical Area
	Operations Plan	Employees or Sub Contractors and why
Mobile or Stationary and Why		
Marketing Plan	Major Marketing Activities	Description
		Schedule
	Resources Needed to Market your Business	

Taxes, Licenses and Insurance

To be in business there are certain taxes and licenses required. You should look into what they are and figure them into your start-up costs.

- For permit and licenses information go to <http://www.businesslicenses.com/Licenses/FL> / answer the questions about your business to determine what a license will cost.
- For information about business taxes go to <http://dor.myflorida.com/dor/businesses/>.
- For insurance you can go to various sites. You will need your business information to obtain a quote. I suggest you ask people in business what their rates are to get an initial estimate.

Overall Financials

You will want to calculate what the cost of starting and maintaining your business will be. Think through all you will need to get started and continue in business. On the next page is a framework to use in setting up financials. You may have different expenses. You can also set up your own financial plan on Excel.

Business Plan

Operating budget for First Month in Business

	Debit	Credit
Revenue		
Capital from Startup budget		
Income from sales this will		
vary depending on your		
business)		
Total	\$	
Expenses		
Staff Costs		
Monthly Staff Pay		
Health Insurance		
Payroll Taxes		
Total	\$	
Operating Costs		
Rent		
Garbage Removal		
Phone		
JEA-Light/Water		
Maintenance & Repairs		
Insurance		
Taxes		
Supplies		
Equipment		
Supplies		
Loan Payment (if any)		
Net Income		\$

The Choice is yours

Whether you decide to work for someone else or to go into business for yourself the opportunities abound. Think in terms of the future not the present and you can turn your first job into a gateway to the career you desire.

Chapter 4: Consumer Credit & Debt

Introduction:

No money down, low payments, installment plans!!! These sayings we hear and see every day on television, radio, and the internet. What exactly do they mean? They all deal with an individual's credit. Credit cards are one of life's necessities because without one a person cannot rent a car, book a hotel, buy airline tickets, or shop on the internet. Checking and savings accounts now include debit cards which act like credit cards but they are nowhere near the same. Credit cards can be wonderful if we follow the rules and know how to budget accordingly. By using credit cards and establishing a good credit score, it becomes easier to buy cars, houses, and other "big ticket" items because borrowers prove to be good risks and, as a result, the annual percentage rate (APR) will be lower.

In this chapter, you will learn:

- The definition of credit
- The differences between debit and credit cards
- How to read and interpret a credit report
- How to establish credit
- How to understand a credit card offer and read a monthly statement
- What to do if you are denied credit
- The importance of credit scores
- How to achieve and maintain a good credit score
- The difference between good and bad debt



Learning the Language:

- **Amount Financed** – the amount of money a borrower receives after paying pre-paid loan costs.
- **Annual Percentage Rate (APR)** – the interest rate (or the cost of credit) for one year.
- **Available credit** – the preset amount of credit available on a credit card.
- **Credit Card** – a card, like a Visa or MasterCard, that lets you make purchases or obtain cash advances and repay the cost of those purchases plus interest over time.
- **Collateral** – a personal asset that is surrendered to the lender until the loan is fully repaid.
- **Co-signer** – a person who shares the responsibility of the loan with the primary borrower.
- **Credit** – money a creditor or lender makes available to a borrower to be paid back at a later time.
There are two basic types of credit: 1) “closed end” credit, like an installment loan, a car loan or a mortgage, in which a specific amount of money is loaned; 2) “open end” credit, like a credit card or line of credit, in which the lender establishes a credit limit and allows the borrower to use credit over and over again as amounts loaned to the borrower are repaid.
- **Credit Report** – A credit report is a summary of your financial history. Potential lenders will use your credit report to help them evaluate whether you are a good credit risk.
- **Credit Reporting Agency** – a company that gathers information about the credit histories of consumers and provides this information to creditors. Also sometime referred to a “credit bureau”.
- **Credit Limit** – the maximum amount that a borrower can borrow on a particular line of credit or credit card.
- **Credit Rating** – a measure of a borrower’s credit worthiness based on the borrower’s resources and character.
- **Credit Score** – a numerical ranking of an individual’s creditworthiness based on a statistical analysis of the individual’s credit history.
- **Debit Card** – a card issued by a bank allowing the cardholder to transfer money from the consumer’s checking account when making a purchase. The money will be deducted automatically from the consumer’s account.
- **Default** – failure to pay a loan when the payment is due.
- **Deferred Payment Price** – when paying for a purchase in installments, the total price of the product or service plus the finance charge.
- **FICO Score** – a person's credit score calculated with software from Fair Isaac Corporation (FICO). The FICO score is a number between 300 and 850, which indicates a person's capacity to repay a loan. The higher the number, the lower the risk that the borrower will default.
- **Finance Charge** – the total cost of a loan; includes interest and other fees associated with a loan or line of credit.
- **Installment Loan** – requires payments, usually of equal amounts, every month or at other regular intervals until the loan is paid in full.
- **Principal** – the actual amount of money being borrowed (before the interest is added to it).
- **Repossession** – when a creditor takes back a product you have purchased using credit because you have defaulted on the loan.
- **Title** – the legal ownership of asset like a car title.
- **Truth in Lending Act** – a federal law that requires creditors to tell borrowers the annual percentage rate, finance charge, and deferred payment price of anything they buy on credit.

After reviewing the vocabulary, test yourself with this online pop-up vocabulary quiz. It can be found here: <http://www.quia.com/quiz/3192541.html>

What is Consumer Credit?

Renting someone else's money for your short-term use in a consumer transaction.

Credit is being able to use a financial institution's money instead of your own, for a period of time. Perhaps the most familiar type of credit is a credit card. As a form of "open end" or "revolving credit", a credit card allows one to purchase goods or services using money borrowed from the credit card issuer. As you pay down the outstanding balance on your credit card account each month, that amount of credit becomes available again for future purchases. Most credit card issuers offer a "grace period", meaning that if you pay your credit card balance in full each month on or before the "due date", you will not incur any interest charges on the credit you've received. However, if you pay less than the full balance each month, interest rates on credit cards can add up fast. Those shoes you bought on sale for a great price using your credit card can end up costing you much more than the regular price of the shoes. Interest on the unpaid balance on your credit card can quickly wipe out all your savings.

Example: Jessica used her credit card to purchase a dress, shoes and other items for the prom. The total of her purchases came to \$300. She only has enough money to pay the minimum payment on her credit card each month (5% of the account balance), so she'll pay interest at 18% APR on the balance. How much will the prom items end up costing Jessica once she pays off her credit card and how long will it take Jessica pay for her prom purchases if she continues to pay only the minimum payment? Use this calculator to find the answers: <http://www.calculatorweb.com/calculators/creditcardcalc.shtml>

Cost of Prom items	\$300
Total Interest paid on credit card	\$ _____
Total amount paid, including interest, for prom items:	\$ _____
Number of years to repay	_____

If Jessica fails to pay at least the minimum payment by the due date each month, she will have to pay a late charge that can be as much as \$39 for every month that her payment is late. You can see that a credit card can quickly turn into credit quicksand if you are not careful about making timely monthly payments and paying off your account balance as quickly as possible.

For more information on how credit cards work and to see how much you know about how to manage a credit card wisely, check out this site: <http://handsonbanking.org/htdocs/en/y/#/en/y/cr/cca/index.html>.

Mortgages, student loans and automobile loans are also forms of credit. These "closed end" installment loans usually have lower interest rates than credit cards. These loans are "secured" by your home or your car, so they are less risky for the lender than an open-end unsecured credit card. But if you default on a mortgage or a car loan, you could lose your home or your car.

A word about interest. Interest is the amount the creditor charges to allow you to use borrowed money. Interest rates can be "fixed" or "variable". A fixed interest rate stays the same throughout the life of the loan. A variable rate can change from time to time. For example, an adjustable rate mortgage or ARM might start off with an interest rate of 5% but be subject to change if interest rates go up in the future. See how this can impact the monthly housing payment for Ashley and Justin. They recently bought a house that they financed with a \$100,000 adjustable rate mortgage (ARM). The interest rate now is 5% and their current monthly

payment is \$537. If interest rates go up in 3 years when the rate is subject to adjust, their new interest could be as high as 10% and their monthly housing payment will jump to \$852.

Cash advances or payday loans are another common type of credit. For a fee, often as high as \$15, an individual can get quick cash – even if he or she has a bad credit history. Two weeks later when the individual gets his paycheck, he must pay back the loan plus the \$15 loan fee. That can sound tempting, but that \$15 fee to borrow money for just 2 weeks can amount to an APR of 400% or more. Far from being a way to get rich quick, a payday loan can be a way to sink quickly into insurmountable debt.

WHAT IS THE DIFFERENCE BETWEEN CREDIT AND DEBIT?

Let us start by explaining how credit cards work. Credit cards allow you to use someone else's money (the card issuer's) to make a purchase now, while you agree to pay the money back later. If you pay off the bill within the grace period then you can avoid paying interest on your purchase. If you do not pay off the balance then the interest will start to add up and this is where people run into financial problems. With a credit card, you might be able to get a cash advance at an ATM, but be careful because these cash advances are usually subject to a cash advance fee and, unlike purchase transactions, they begin to accrue interest charges immediately.

Look at this video clip for advice to students on managing credit cards: <http://www.bills.com/student-credit-card-video/>

Credit cards do have advantages though, such as helping to establish and build your credit history. They are convenient and safer than carrying around lots of cash. If someone steals your credit card and uses it without your knowledge, you cannot be held responsible for the thief's charges (except possibly for the first \$50). If you notice any fraudulent charges, you need to call the card issuer and report that your card was lost or stolen. They will have you file a dispute for all purchases you did not make. Once this process takes place, the charges should be removed from your account.

The big disadvantage of a credit card can be the cost. Credit card interest rates are high. Despite this, many people find it advantageous to use credit cards. To understand how and why people use credit cards and some of the benefits, watch the following video from ABC News. The video can be found here: <http://money.usnews.com/money/blogs/alpha-consumer/2010/11/22/video-reasons-to-use-your-credit-card>

Debit cards are tied to your checking account, so you are spending your own money. They provide a convenient alternative to cash or writing a check and they give you access to cash in your accounts at ATMs. As with credit cards, they too can be used for online shopping. Unlike credit cards, with every transaction involving your debit card, your bank will automatically deduct the purchase amount from your checking account. This tends to help people budget and not overspend – so long as they remember to record their debit card transactions and keep an eye on the account balance so that they don't overdraw their account.

There are some disadvantages with debit cards, one being that they do not help to establish or build your credit score. Most large banks will charge debit card users as much as \$5/month if they use their cards for purchases. Another disadvantage is that if your debit card is lost or stolen you could be responsible for more than \$50 in unauthorized charges. Unauthorized charges against your checking account could cause you to

overdraw your account, resulting in overdraft fees payable to your bank (which they are likely to refund to you) and to merchants or others to whom you wrote checks that “bounced.” If you fail to notify your bank as soon as you discover the card missing or as soon as you get a bank statement that shows the unauthorized charges, you could be responsible for all or most of the unauthorized charges that occur before you report the unauthorized charges. Normally, after you report unauthorized transactions, your bank will *provisionally* re-credit the unauthorized charges to your checking account within 3 days. If the bank’s investigation indicates that the transactions were authorized, then they will reverse the provisional credit and remove those funds from your checking account. As you can see, it is imperative that you handle your debit card with care: Be sure to keep your debit card in a secure place and refrain from sharing your PIN with anyone.

- 1. Now take a closer look at comparing credit cards and debit cards. Complete this checklist to see what you know about credit cards and debit cards.

	Credit Card	Debit Card
Tied to a bank account		
Charges an interest rate		
Can be used at ATM’s		
Can be used to shop online		
Allows you to use someone else’s money		
Used to help build your credit score		
Provides protections in case of identity theft/lost or stolen card		

The Credit Card Accountability, Responsibility and Disclosure Act of 2009 imposed new limitations on issuing credit cards to students under 21 years of age. In the past, credit card issuers often issued credit cards to students without verifying their ability to repay. Now, the issuer must determine that, just like any other borrowers, a student has sufficient income to repay a credit card account or the card issuer must get someone (usually the student’s parent) to co-sign (agree to be equally responsible) for the credit card account. This law also prohibits card issuers from mailing pre-approved credit card offers to students and can no longer use free gifts to entice students to complete applications for credit cards.

If you are thinking about getting a credit card, it’s important to understand how to read and compare credit card offers. The Federal Reserve Bank offers help on “Understanding your credit card offer”:
<http://www.federalreserve.gov/creditcard/flash/offerflash.html>

READING A CREDIT CARD STATEMENT

Once you start using credit cards, your purchases and finance charges are counted against your set credit limit until they are paid. That means your available credit is your credit limit minus the amount you owe on your account.

Each month, you will receive a statement for your credit card account that tells you how much you have in charges, how much you have paid, what finance charges you owe, and what your new balance is. Credit cards

have a minimum amount due each month, but as long as you pay at least the minimum, you have the choice to pay as much as you want. If you pay the entire balance, you will not be billed for any finance charges.

EXERCISE:

1. Using the following website, read through 2-3 different credit card statements from financial institutions such as: American Express, Bank of America, Capital One, Chase, Wells Fargo, Citi, Discover, and USAA:

<http://www.creditcards.com/credit-card-news/new-look-credit-card-statement-1273.php>

- After choosing 2-3, different financial institutions, answer the following questions:

1. What items are included in all of the credit card statements?
2. Which items were not included in each statement? Why were these missing for some of the financial institutions?
3. What was the penalty for paying late in the credit card statements you chose? Why were the amounts different for each one?
4. What information is included in the account summary? Is this the same for all of the credit card statements? Why/Why not?
5. What information is included in the minimum payment box? Why do they provide you with this comparison?

2. Now that we know what a credit card statement looks like and how to read one, read the sample credit card statement found at the following link:

<https://staff.rockwood.k12.mo.us/redmandave/FM/Documents/Credit%20Card%20Statement.pdf>

After reading through the credit card statement, answer the following questions:

1. How much did the person charge in the month of the statement?
2. How much was credited to their account in the month of the statement?
3. Did the person make a payment in the previous month? If so, how much was the payment?
4. What is the total credit available on this credit card?
5. How much of that credit was available at the time of this statement?
6. How does the person's previous balance compare to the new balance shown on this statement?
7. Did the person pay a finance charge this month? If so, what was the amount of the finance charge?
8. What is the annual percentage rate (APR) that this person pays for credit on this account?
9. Looking at this statement, do you think this person is handling his/her credit well? Why or Why not? What would your recommendations be to this person?

3. The following worksheet will provide an opportunity to see how paying different amounts each month (minimum, five times the minimum, and ten times the minimum) can cost more or save money.

When paying off credit cards, the lender will always ask the borrower to pay a minimum amount each month until the debt is paid in full. This amount is usually rather small and easily affordable for most consumers. The catch is by only paying the minimum amount each month; the consumer will have to pay on the account for a longer period of time before paying the debt in full.

Assume the interest rate is 18% annually (1.5% monthly) and the balance is \$1000. We will also assume no new debt will be added throughout the year. Calculate the balance using the following minimum payments: \$30, \$150, and \$300. By looking at three different payment plans, we can determine the best option when it comes to paying off our debt.

Month	Balance	Interest	Payment	Balance	Interest	Payment	Balance	Interest	Payment
1	\$1000	\$15	\$30	\$1000	\$15	\$150	\$1000	\$15	\$300
2	\$985		\$30			\$150			\$300
3			\$30			\$150			\$300
4			\$30			\$150			
5			\$30			\$150			
6			\$30			\$150			
7			\$30			\$150			
8			\$30						
9			\$30						
10			\$30						
11			\$30						
12			\$30						
End of Year Balance									

- What is the balance at the end of the year for each payment plan? A)\$30 _____
B)\$150_____ C)\$300 _____
- How much interest did the consumer pay under each payment plan for the year? A)\$30_____
B)\$150_____ C)\$300 _____
- As a consumer, which payment plan would you choose to pay off your debt? Explain why you chose that option.

- After reviewing the worksheet, go to the following website to calculate how much you are really paying when you only pay the minimum amount due each month. Some cards calculate your minimum payments as low as 4% of your balance. This activity will show you how much interest you end up paying in each one of these scenarios.

<http://www.bankrate.com/calculators/credit-cards/credit-card-payoff-calculator.aspx>

Use the following numbers and record your results:

Balance	Interest Rate	Minimum Payment (1% of balance)	Minimum Payment (2% of balance)	Minimum Payment (3% of balance)	Length of time to pay off debt and the total amount of interest paid for each scenario		
1000	5%	\$15	\$20	\$30			
1000	10%	\$15	\$20	\$30			
All minimum payments are calculated at 1%, 2%, 3% of the balance or at least \$15							

After filling out the chart, answer the following question:

- What conclusions can be drawn about the time it takes to pay off credit card debt when we are only paying the minimum amounts?

What If You Are Denied Credit?

If you apply for a credit card and you're denied, you will typically receive a letter that lists the reasons why you've been denied. If you're denied because of your credit score, you will automatically qualify to get a free copy of your credit report. You must ask for your report within 60 days of receiving this notice.

If you don't understand the reason why you've been denied or the reason seems wrong, for example, your credit report lists a delinquent credit account that you never had, it's important to contact the issuer and get an explanation. Write a letter to the credit bureau and include copies of documents that support your position. The credit bureau must investigate your claim within a month. Once a mistake on your credit report has been corrected, you can request that the revised version be sent to anyone who's recently pulled your report.

If you've recently been laid off or are going through a hardship, call your creditors and ask if you can work out a payment agreement. Maybe you can get your APR lowered so it will be easier to pay off that credit card debt. If you have bad credit, think about opening up a secured credit card. Its works like a regular credit card except you put down a deposit that acts as your credit limit. You may also consider getting added as an authorized user on someone else's credit but make sure that account holder pays their bills on time. Also, be very wary about your credit card statements. Read them when you receive them. With credit card reform in place, credit card companies may be implementing new fees, shorter grace periods and higher late fees.

New Credit Card Legislation

As the banking industry began to collapse, in 2007, the United States government decided to reform the credit card industry. They have provided legislation designed to help protect the consumer from illegal business practices.

New credit card rules

- Retroactive rate increases.	- Issuers cannot raise rates on an existing balance unless a promotional rate expired.
- More advance notice of rate hikes.	- Consumers get 45 days' notice before key contract changes take effect, including rate increases.
- Fee restrictions.	- Cardholders will not face overlimit fees unless they elect to allow the creditor to approve overlimit transactions. Issuers cannot charge more than one overlimit fee per billing cycle.
- Restricts marketing and issuance to students.	- Consumers under the age of 21 who cannot prove an independent means of income or provide the signature of a co-signer aged 21 or older will not get approved for a credit card.
- Ends double-cycle billing.	- The new law bans double-cycle billing, which is the practice of basing finance charges on the current and previous balances.
- Fairer payment allocation.	- All payments exceeding the minimum payment will be applied to the credit card

	balance with the highest interest rate.
- More time to pay.	- Credit card companies must send statements 21 days before a payment is due.
- Gift card protections.	- The new law prohibits gift cards from expiring for at least five years. The issuer cannot assess inactivity fees unless that card has been inactive for 12 months.

WHAT IS AND IS NOT INCLUDED IN A CREDIT REPORT?

Once you have decided to apply for and use credit cards, you need to know how banks and other financial institutions determine whether or not to extend you a new line of credit. They will use your credit score, sometimes called your FICO score (a score developed by Fair Isaac Company – FICO), to determine if you are credit worthy. A credit score is a statistical calculation based on the credit histories of thousands or even millions of other borrowers. Your score is based on how other borrowers with characteristics similar to yours have performed on their loans and credit cards. In other words, it's a statistical determination the level of risk you, as a potential borrower, pose to a lender. The lower your credit score, the more risky you are as a borrower. The higher your score, the less risky you are – because others with histories similar to yours tended to repay their loans on time.

Your willingness to repay credit is based on your history of repayment on other financial obligations. Were you able to pay your bills on time or did you have to wait until you received a call or a letter because you were late paying your debts? If you do not have a record of prompt payments, then you might be denied credit. Your repayment history is one of the primary factors that will influence your credit score.

1. Write down the items you think should be included and not included in calculating your credit score.
2. Now you will read through two articles explaining what is included and not included in calculating your credit score. The first article can be found by going to the following website:
<http://www.myfico.com/CreditEducation/WhatsInYourScore.aspx> and read what is included in your credit score.
The second article can be found by going to the following website:
<http://www.myfico.com/CreditEducation/WhatsNotInYourScore.aspx> and read what is not included in your credit score.

After reading through both articles, you should answer the following questions:

1. What variable makes up the largest percentage of the credit score? Why is this variable so important/influential?	
2. Which variable accounts for the second highest percentage of your credit score? Why is this weighted so heavily?	
3. What are the other three variables? Why are these three not weighed as much as the other two?	
4. Using a person's race, gender, or religion would violate which act?	
5. Explain how could your salary, job, education, and/or age affect your credit score, even though those variables are not included in your credit report?	

There's more to credit than credit scores. Your credit score is not the only factor a lender will consider when deciding whether to approve your credit applications. You must show the lender that you have the ability to repay the credit. Your ability to repay the credit is based upon how much income you have and how much of your income will be available to pay off the new credit. If too much of your monthly income is tied up in other bills, then you may be denied credit.

HOW TO READ A CREDIT REPORT

Now that you know what is included and not included in determining your credit score, you need to understand how to read your credit report. There are three major credit-reporting agencies. They are Experian, TransUnion, and Equifax. These reporting agencies use a variety of factors, which you read about, to create your credit score and provide a detailed record of your credit history. You have the right to check your credit report once a year free of charge by going to the following website:

<https://www.annualcreditreport.com/cra/index.jsp>

The following will provide a quick overview on understanding your credit report and what information is included.

- <http://handsonbanking.org/htdocs/en/y/#/en/y/cr/rpt/index.html>

After reviewing the information on credit reports, you should be able to answer the following questions.

1. Which items are included in your credit reports?
2. How does the information, in your credit report, compare to the information on what was included and not included in your credit score?

IMPROVING AND MAINTAINING A GOOD CREDIT SCORE

Establishing and Maintaining Good Credit

- In order to obtain credit, lenders want to look at a person's credit history to see how they handle their financial obligations. Previously, you looked at what was included and not included in an individual's credit report, but you must now look at some strategies for building a good credit history.
 - Have a permanent address
 - Have steady employment
 - Maintain a savings and/or checking account
 - Pay all of your bills on time
 - Apply for a gasoline, bank, or department store credit card with a small credit limit. Use the credit and pay it back promptly.
 - Remember: If you are under 18 years of age, you will need an adult to co-sign a loan with you. For a credit card, if you are under 21 years of age, you will need an adult to co-sign with you.
 - Check your credit report yearly to make sure everything is correct. This can also help you detect if you've been a victim of identity theft.
- 1. The following two video clips provide a quick and short explanation on how to build up a good credit score and how to repair your credit score if needed.
 - This video explains how to build up a good credit score (3:50 minutes)
http://money.tips.net/T005225_Building_Good_Credit_Video.html
 - This video explains how to repair a bad credit score (2 minutes)
http://money.tips.net/T005223_Repairing_Bad_Credit_Video.html

2. As an extension to the lesson, the TransUnion website provides short video clips on a variety of credit related topics. Once you have finished each segment, there will be a short quiz to test your knowledge. The video segments can be found here:

<http://www.transunion.com/corporate/personal/consumerSupport/eduVideo/consumerEducationVideo.page>

- The video is broken up into five segments and each one provides a quick test your knowledge quiz.

3. To give you an idea of how much payments can change based on your credit score, see the chart of how interest rates and monthly payments on a \$150,000 30-year, fixed-rate mortgage are affected by the FICO credit score.

Your FICO Score	Your Interest Rate	Your Monthly Payment
760 – 850	5.78%	\$878
700 – 759	6%	\$899
680 – 699	6.18%	\$916
660 – 679	6.39%	\$937
640 – 659	6.82%	\$980
620 – 639	7.37%	\$1,035

GOOD DEBT VS. BAD DEBT

All debt is not created equal. This means that all debt is not considered bad debt. While it is never advisable to take on more debt than you can handle, some debt is not always detrimental in determining your credit worthiness.

EXERCISE:

1. For each of the following types of debt, explain whether you would consider them to be good or bad debt:
 - a. Home mortgage
 - b. Car loan
 - c. Credit Cards
 - d. Student Loan
 - e. Business Loan
2. Watch the following video from ABC News explaining the differences, with examples, of good and bad debt. The video can be found here (12:16 minutes):

<http://abcnews.go.com/Business/video/good-debt-bad-debt-10128778>

- After watching the video, go back and review your predictions and make any changes, based upon what you learned in the video,

3. A great source of information on credit and debt can be found on iTunes. By searching for “Credit, Debt, Savings” you will find a variety of podcasts from businesses, magazines, television networks, and universities. You can search in the podcast section and/or the iTunes U section that provides free lectures and discussions on this topic.

- Go to iTunes and search for “Money 101: Credit, Debt and Saving.” This will be found in iTunes U and it was created by the American Public Media. This series contains 13 segments ranging from 2- 7 minutes on topics such as credit cards: do’s & don’ts, reading the fine print on credit cards, credit piggybacking (co-signing), and the down side of debit cards to name a few.
- Listen to 4-5 different segments and compare what they say to what you have already watched and read through, in this chapter.

TYING EVERYTHING TOGETHER

After completing all of the above activities, you should be ready to apply what you have learned to some real-world applications. For each scenario listed below, explain how you would react and respond based upon everything you have learned about credit and debt, in this chapter.

- a. You lost your card (or someone stole it)
- b. You’ve become identity theft’s latest victim
- c. You missed a payment
- d. Your credit card company hikes your interest rate
- e. You are denied credit

2. Once you have completed writing your responses go to the following websites and read how the experts say you should have responded and the best way to deal with each situation.

The website can be found here:

<http://www.creditcards.com/credit-card-news/5-scary-credit-card-situations-how-to-handle-them-1265.php>

3. Now you are ready for the credit concept quiz. After reviewing everything in this chapter, go to the following website and test your “Credit” knowledge. The quiz can be found here:

<http://www.quia.com/quiz/3192565.html>

After taking the quiz, record your results: _____

If you scored less than an 80%, take the quiz again and record your results: _____

4. You have earned the right to take your knowledge of credit and debt and use it to play some games. The following website provides a variety of games to entertain you while testing your knowledge of credit, debt, and banking. They can be found at the following website:

<http://www.practicalmoneyskills.com/games/>

Choose two or three games to play such as Financial Football, Financial Soccer, or The Smart Money Quiz Show to name a few.

Chapter 5: Automobiles and Auto Financing

Introduction:

New or Used? Buy or Lease? Gas, diesel, electric or hybrid?

Questions to consider...

Buying a vehicle isn't just about getting transportation. It's really about money, status, and safety. It is about meeting your needs and perhaps a few of your wants as well. In today's market, there are many choices for you the buyer to consider. The first step is determining your *needs* and *wants*.



In the space below, write a brief description of your dream car. Don't forget make, model, and all the options on your dream car.

MAKE	
MODEL	
COLOR, INTERIOR	
OPTIONS	
MISCELLANEOUS	

We all have that “dream car.” For the most part, that dream car is a *want*. But what do you need? Answer the following questions to help you determine your *needs*.

How will you use your car? What is its primary function?

How many people will you transport in your car?

What type of roads will you primarily drive on? (This will help you decide whether you need a front-wheel, rear-wheel, or four-wheel drive vehicle.)

What is your estimated mileage per week? _____

Do you like to tinker with and work on cars or do you need a car that requires little investment in repairs and improvements?

What options can you really not live without?

Next, compare your wants and needs. Do they match up or do you need to readjust your list? Most importantly, what are you willing to give up in order to pay for those “must have” options? Those things you must give up (movies every weekend, trips to amusement parks, the latest fashions, etc) in order to have those “must have” options, represent your *opportunity cost*. Your wants could be unlimited, but your resource (money) is limited. Therefore, you have to choose which *wants* you will satisfy.

Knowing what you *need* gives you a better idea of what to look for and not be side tracked by that shiny new paint job or great sounding stereo and buy something you may regret later.

In this Section You Will Learn:

- The advantages and disadvantages of buying new or used vehicles
- How to use resources available to become an educated car consumer
- The full cost of owning a new or used car
- The options available in financing a car
- The advantages and disadvantages of buying and leasing a vehicle

Need more information? CNN's Money 101 has lots of information to help you through the car buying process and deciding what is the right vehicle for you. You can access this site at:
<http://money.cnn.com/magazines/moneymag/money101/lesson17/index2.htm>.

Test your knowledge. Take a pre-test to determine your knowledge of the car buying process. You can access pre-test at: http://cgi.money.cnn.com/tools/cgiquiz/cgiquiz_101.jsp?id=17.

Learning the Language

Looking for a Vehicle:

- **As is** – this has no warranty. It means “what you see is what you get.” You have no recourse from the seller to repair anything that goes wrong with the car after the purchase. In other words, be careful and check it out first.
- **Blue Book** – the name given to the National Automobile Dealers Association (NADA) Official Used Car Guide which lists prices for used cars. Blue books break down the price by year, make, model, accessories, body condition, mileage... you can zero in on the price of a vehicle by age, quality, and general condition. Two other blue books are: *Kelly Blue Book* and *Edmund's Used Car Prices*. It will give you an informed, objective opinion to help you make a decision.
- **Dealer Prep** - an additional up-front charge the dealer charges for getting a new car into running condition (cleaning, oil, gas, etc.) These fees are included in the factory invoice price for most cars. This fee is negotiable. Strongly question the fees!
- **Demo** – short for demonstrator, a car that has been used for test drives at a dealership. Keep in mind this is not a new car as it has been “used.”
- **Depreciation** – the yearly decline in the value of a vehicle. Some vehicles lose their value more quickly than others. This is a major factor because it determines how much your vehicle will be worth when you sell it, pay off the loan, or end a lease. Depreciation begins... when you drive the vehicle off the lot!
- **Express Warranty** – a written agreement that details what the seller and buyer are responsible for if something needs to be repaired or replaced.
- **Factory invoice** – the cost of the car to the dealer. This never appears on the window stickers. Always ask for the copy of the factory invoice.

- **Full warranty** – a written agreement that defective parts will be repaired or replaced. It is a promise to stand behind the product. Warranties are included in the sales price when you buy a vehicle. Read this document fully. Some systems and parts are covered by a *limited warranty*. Service contracts are sold separately. You can purchase an extended warranty from the manufacturer and they are safer than service contracts because they are backed by the manufacturer.
- **Limited Warranty** - a written agreement that a defective product will be repaired or replaced under certain *conditions*. The Magnuson-Moss Act specifies that dealers must post a Buyer's Guide on all used cars for sale and the terms of the warranty must be spelled out. Limited warranties can be voided if you fail to do routine maintenance on your car such as regular oil changes.
- **List Price** - the manufacturer's *suggested* retail price (MSRP) or sticker price that is shown on the window of a new car. It gives the dealers a uniform price from which to start bargaining. It is NOT the price the dealer expects you to pay (unless you do not do your homework!). It simply states where negotiations will start.
- **Odometer** – the gauge on the car that indicates the number of miles a car has been driven. This is an important consideration when buying a used car. Most used-car prices are based on an average of 15,000 miles per year. It is against the law to turn back the mileage on an odometer. Excessive mileage can mean some expensive repairs later on as parts wear out.
- **Options** – extra items such as upgraded stereo, side airbags, sunroofs, that a buyer can choose to purchase with a vehicle. Sometimes options are grouped together in packages such as a luxury option or sports option. Options can raise the price of a vehicle substantially.
- **Service Contract** – purchased by the buyer at the time of the vehicle purchase and provides maintenance for a specific period of time. They are an extra cost. Be sure to find out who will be obligated to fulfill the contract for you... the dealer? manufacturer? or an independent contractor? What are the deductibles? Does the contract state the replacement parts must be new or original equipment (means the parts are the same brands the manufacturer would use)? Must you pay for the repair and wait to be reimbursed? Be sure to understand the contract before you purchase.
- **Sticker Price** - is the total amount that appears on the vehicle's window. This is required by law. It shows the standard features, the standard vehicle price, the options on the vehicle and price per option, the total suggested price and the estimated city and highway gas mileage for the vehicle.

Financing a Vehicle:

- **Down Payment** – the amount of money the buyer pays before taking out a loan for the remainder of the cost. The more you put down, the less you will need a loan for.
- **Interest Rate (APR)**- the annual percentage rate of the loan you are borrowing. This is the percentage of the amount you are borrowing. A difference of as little as 1 percent of the APR can save you thousands of dollars. It pays to comparison shop for auto loans. Remember, you will pay back more than you actually borrowed.
- **Term** – *financing terms* means words and phrases used in the contract and the conditions and requirements of the contract. *Term* can also mean the length of time of the loan or lease.
- **Rebate** – a refund offered by the carmakers or dealers as an incentive to buy a vehicle. You want a rebate that is deducted from the cost of the vehicle, not one which is sent to you after you purchase. Why? If the rebate is deducted from the purchase price, you do not have to pay sales tax on the amount and the overall cost of your loan is lowered.

- **Trade-in** – a vehicle you want to use as a partial trade for the newer vehicle. The dealer will assess the condition of your vehicle and give you a price they are willing to offer you for it. Always know the value of your vehicle by checking the value of your old vehicle using a *blue book*.

New or Used: Deciding what is best for you

After you decide what your *needs* are, the next step is to decide is whether to shop for a new or used car. This decision is often based on how much you can afford and how much you are willing to pay. Safety is an important issue. New or used, check out the safety features of each car you are considering. With the cost of fuel skyrocketing, look for the fuel efficiency of the vehicle. Low mpg (miles per gallon) means more frequent fill ups for you. Keep in mind that a racy sports car probably has a higher insurance premium than a less sporty model.

The allure of a new car is strong.... shiny new paint, all the latest gadgets, ah, that new car smell, and, the thrill of being the first to own it. But owning a used car has its advantages too. So begin your search with an open mind and compare the advantages and disadvantages of purchasing new or used.

Comparing New and Used Cars

<u>Type of purchase</u>	<u>Pluses</u>	<u>Minuses</u>
<u>New</u>	* has latest safety features * warranties are generally very good * fewer worries about being good working condition * may get a better interest rate on a loan	* new car depreciates a lot immediately after the purchase (20% to 30%!) * more expensive * higher insurance premiums
<u>Used</u>	* car can offer more value for the money – may be a better buy * not paying the initial depreciation costs * lower insurance premiums * could become a classic car * no “dealer prep” fees or shipping costs	* must be careful to clarify warranties * may have hidden mechanical problems * may have body and beauty problems * may be harder to get a loan

Need more information before you decide if a new or used car is the best choice for you? Go to <http://money.cnn.com/magazines/moneymag/money101/lesson17/index4.htm> and read the article “New or Used?”

EXERCISE

Used Car Purchase Comparison Pricing

Choose a make and model of a car you would be interested in owning. Next, use your local paper to locate ads to compare cars of this make and model that are available for sale by private owners and by car dealers. On-line options include www.autotrader.com and www.craigslist.com. Make sure the cars you compare are the same make and model and are of similar years.

Comparing the Value of Used Cars

Vehicle	Make/Model Year	Mileage	Price	Blue Book Value	Dealer/Private Seller
Vehicle 1					
Vehicle 2					
Vehicle 3					
Vehicle 4					

Blue Book values (market value) can be found at:

www.edmunds.com

www.kbb.com

www.nada.com

Buying New

Before Visiting the Dealer

- * Do your homework! Know exactly what you are looking for in the way of options. Keep your *needs* in mind when choosing a make and model. Narrow your choices to one or two models in your price range.
- * Read about the models that interest you in more detail. The April edition of *Consumer Reports* does an annual review of cars and car costs. Use the internet to research. Below are some of the more popular automakers and their web sites.

Acura www.acura.com
Audi www.audiusa.com
BMW www.bmwusa.com
Buick www.buick.com
Cadillac www.cadillac.com
Chevrolet www.chevrolet.com
Chrysler www.chrysler.com
Dodge www.dodge.com
Ford www.fordvehicles.com
GMC www.gmc.com
Honda www.hondacars.com
Hyundai www.hyundaiusa.com
Infiniti www.infiniti.com
suzu www.isuzu.com
Jaguar www.jaguarusa.com
Jeep www.jeep.com
Kia www.kia.com

LandRover www.landroverusa.com
Lexus www.lexus.com
Lincoln www.lincoln.com
Lotus www.lotuscars.com
Mazda www.mazdausa.com
MercedesBenz www.mbusa.com
Mini www.miniusa.com
Mitsubishi www.mitsubishicars.com
Nissan www.nissanusa.com
Pontiac www.pontiac.com
Porsche www.us.porsche.com
Saab www.saabusa.com
Scion www.scion.com
Subaru www.subaru.com
Toyota www.toyota.com
Volkswagen www.vw.com
Volvo www.volvocars.com

* Talk to people about the car dealerships they have used and ask for recommendations.

* Use the following site to research the invoice price of the vehicle as well as the price you can expect to pay for added options. Walk into the dealership with an education about dealer costs so you can set the parameters for price negotiations.

<http://www.edmunds.com/new-cars/?mktcat=gnauto&kw=auto+dealer+cost&mktid=ga187018>

* Enlist someone to go with you. They can help you stay focused and not get distracted by a cool stereo system or from feeling pressured to buy on the spot.

Estimating Car Costs

Once you have narrowed your choice of car to one or two makes and models, you need to consider the true cost of ownership. Depreciation, fuel costs, maintenance and repair costs, and don't forget insurance.

To get the true cost of owning that dream car, go to www.edmunds.com/tco.html. Complete the online exercise to get a realistic idea of the true cost of ownership.

Ready to go car shopping?

Use the chart below to compare car purchases at three dealers. Choose a new car make and model and complete the chart to find your best deal.

New Car Comparison

Car Make:_____ Model:_____ Year:_____

Car Information	Dealer 1:	Dealer 2:	Dealer 3:
Sticker Price			
Dealer Prep			
Option Package			
Kind of Warranty			
Dealer Financing Interest Rate			

Special Tips for Buying a New Car:

- * Compare prices among several dealers.
- * Always test-drive the car you are interested in buying.
- * Review all the warranty information and understand what it means.
- * Get EVERYTHING in writing, including verbal commitments the salesperson makes to you.
- * Don't be afraid to negotiate with the salesperson. Use the research that you have done to your advantage.
- * Don't pay the sticker price! That is your starting price for negotiations.
- * Ask about discounts and rebates that may be available AFTER you negotiate your best price.

Financing a New or Used Car

Now that you have done your homework, found the car that meets your needs (and hopefully a few wants), it is time to consider how you will pay for it. Paying cash is the best way and least expensive over the long term, but you may not be able to do so. One way to get that dream car is through financing and taking a car loan. This allows you to pay for a car by making smaller payments over a period of time rather than paying for the car in one single payment. Financing is not free, since you will need to pay a financing charge or interest on the loan for the car.

Car loans are available from a number of sources – banks, credit unions, and auto dealers. Shop around and see where you can get the best terms. When financing there are several factors to consider:

- * the down payment
- * the total amount you will finance
- * the interest rate (APR)
- * the term (length of time the car will be financed).

Interest rates differ for used and new cars. As a general rule, interest rates are usually lower for a new car than a used car. You can usually get a loan for up to 90% of the Blue Book value of a used car that is less than five years old. New car financing can cover from 80 to 100% (but you will pay a higher APR for 100% financing).

And remember, the longer the term of the loan, the more interest you will pay.

Which is better, taking a lower interest rate or a dealer's upfront rebates? It depends on your credit history. Everyone is entitled to a rebate if offered, but not everybody is entitled to a low APR. Get the facts about low interest rates versus dealer rebates at www.car-buying-strategies.com/low-interest.html or at www.echobayloans.com/13/interest-rebate.html.
<http://www.edmunds.com/calculators/>

Do some math for yourself. Go to www.coopfcu.org/calc/comparison_calc.htm or https://www.msufcu.org/p_rebateinterestcalc.html?mnuccid=66 for an online comparison tool to help you make the best decision.

Car Financing

How much is that loan going to cost you? Once you have decided to buy a car, you need to determine how much you can afford to pay for the car. One useful tool is the **Rule of 20/10**. Your amount of debt you undertake should not be over 20% of your **net** income (net income is after taxes). Your monthly payment should not be more than 10% of your monthly net income.

Example:

Jose makes \$36,000 a year. His monthly income is \$36,000 divided by 12 or \$3,000 a month. Using the Rule of 20, his monthly debt should be no more than 20% of \$3,000 or \$600. So, he shouldn't borrow more than \$7200.

His monthly payment should be no more than 10% of his monthly income. For Jose that would be \$3,000 times 10%, this is \$300.

Using your income and the Rule of 20/10, compute your monthly debt and monthly loan limits.

_____ divided by 12 = _____ X 20% = _____ monthly income
Yearly income

_____ X 10% = _____ monthly loan limit
Monthly income

Shopping for a Car Loan

Down Payment: Remember, this is the amount you pay upfront for the vehicle. It is recommended that you pay 20% down on the car so that the amount you need to finance is lower.

How to calculate a down payment:

- * 20% means you multiply by .20
 - * multiply the price of the car by .20 to determine the down payment
- Example: \$18,000 x .20 = \$3,600.

Look at the price of the car you are interested in purchasing. What is the amount of money you would need for a 20% down payment?

Car Leasing

Car leasing is different than buying a car. Leasing a car is much like renting an apartment – you pay a lease expense every month, but you do not gain ownership. At the end of the lease, you give the car back. Leasing and buying are two methods of *financing* a car. When you lease a car, you finance the *use* of a vehicle and you pay only a portion of the cost of the car- the part you “use up” during the term of the lease. Lease agreements have a mileage limit. When you buy a car, you finance the *purchase* of a vehicle. You pay for the *entire cost* of a vehicle; regardless of how many miles you drive it.

Beware! Many new cars are promoted by advertising the amount of the monthly lease payment instead of a sticker price. Look at the fine print carefully before entering into any lease agreement. Lease agreements can be very complicated. Basically, there are two types of leases:

- * Closed-end lease: gives you the option to purchase the car at the end of the lease, or return it and walk away.
- * Open-ended lease: requires you to purchase the car at the end of the lease. (NEVER enter into this type of lease as a predetermined price for purchase could be higher than the market value of the car at the end of your lease.)

Leasing a Car

Advantages

- * lower monthly payments
- * no depreciation costs
- * opportunity to drive a new car every 2 to 3 year
- * opportunity to drive a more expensive car than you could otherwise afford

Disadvantages

- * you will not own the car at the end of the lease unless you make arrangements for a purchase option
- * penalties (extra costs) for exceeding the maximum amount of mileage in the lease contract and for extra “wear and tear”
- * insurance costs may be more
- * often a penalty for canceling a lease before the end of the lease contract
- * hefty down payments or end-of-lease payments may be charged

Need more information?

www.leaseguide.com is an online tool you can use to determine if leasing is right for you.

Also, try this comparison calculator: https://www.msufcu.org/calculators/loan_calculators/?calc=loanbuylease

Chapter 6: Managing Risk

Introduction

Risk is an unavoidable fact of life. As you get older and gain more experience, it gets easier to anticipate the consequences of personal choices and behavior. But every day we venture into a world filled with risks we can't control. Accidents happen, not everyone is as conscientious as you when it comes to the choices they make, and health issues arise regardless of your preventive measures. No one wants to live their life in a bubble, so markets have created insurance to ease our minds and those of our loved ones. At your current youthful age, you may consider yourself indestructible. But in the next few years, as the joys of adulthood become more attainable, there will be the responsibility of maintaining them. Plus, as more people you care about enter your life, you won't be able to afford the luxury of only looking out for yourself. Your family will depend on you to be a long-term bread winner, and if risk creates obstacles, there needs to be a safety net to stop those closest to you from falling. The key is creating the perfect balance between personal responsibility and risk-management products. By understanding the complete set of consequences that result from your life choices, you can acquire the appropriate amount of insurance to cover the unexpected. In the chapter below, you will learn about three common forms of insurance: Automobile, Life, and Health. They all have their unique language and products, they can be confusing, and it's difficult to measure how much of each is enough. Read each section carefully and do the exercises in the text and on-line to reinforce what is written. In the end, you'll have a greater understanding of these products than most people do and you will be able to make more informed choices.



AUTOMOBILE INSURANCE

In This Section You Will Learn

- Basic information on automobile insurance terms and coverages
- Types of life insurance
- Features of health insurance

Before you read the section on auto insurance, put a checkmark in the left hand column indicating whether you agree or disagree with the statement. Then, read the Auto Insurance 101 section. Put a check mark in the correct right hand column. Finally, if the statement is not correct, rewrite it so that it is correct and provides facts.

Topic: Auto Insurance in Florida				
Before Exploration		Statements about the Topic	After Exploration	
Agree	Disagree		Agree	Disagree
		1. I don't need auto insurance to legally drive in Florida.		
		2. I may have to pay up to \$500 and provide proof of insurance to get my license back if it is suspended		
		3. "No fault" insurance means that I am not responsible for any damages I caused while driving.		
		4. If I do not have insurance and I am in an accident, my credit may be affected for a year or 2 at the most.		
		5. Florida requires me to carry bodily injury, property damage and personal injury protection coverage.		
		6. In Florida all insurance companies are the same and all drivers have the same insurance coverage		

Learn the Language (Automobile Insurance Vocabulary)

- **Actual Cash Value** - The cost to replace property minus the amount it has depreciated since the original purchase date. In other words, the value of your vehicle or other property at the time it was damaged.
- **Appraisal** - An estimate of the amount of damage to an automobile resulting from an accident
- **Beneficiary** - Person designated as the recipient of funds or other property under a will, trust, insurance policy, or other financial arrangement.
- **Benefit** - The amount an insurance company pays to you or your beneficiary when you file a claim.

- **Bodily Injury Liability** - This covers medical expenses for injuries the policyholder causes to someone else.
- **Claim** - The policyholder's request for the reimbursement of a loss or expenses covered by an insurance policy.
- **Collision** - This covers physical damage to the policyholder's car from any collision. The collision could be with another car, a light post, parking curb, garage wall, etc.
- **Comprehensive** - For damage to the policyholder's car that doesn't involve a collision. Covers damage resulting from vandalism, fire, theft, falling objects, missiles, explosion, earthquake, flood, riot and civil commotion.
- **Deductible** - The portion of losses that you agree to pay in the event of an accident. Higher deductibles lower premiums significantly, but will result in significantly higher out-of-pocket expenses for you in the case of an accident, especially if you're at fault.
- **Endorsements** - These are changes to the original insurance contract, such as a different deductible amount or an additional car or driver.
- **Exclusions** - Situations that are not covered by a given insurance policy; specific exclusions are listed in your insurance policy.
- **Extraordinary Medical Coverage** - Sometimes included in Personal Injury Protection, this coverage protects you if you suffer accident-related injuries that require serious and/or long-term medical care and begins once you have exhausted the limit on your standard medical benefits coverage.
- **Full Coverage** - This indicates that you have all the minimum required coverage for your state of residence; it does not necessarily mean you will always be fully covered.
- **Gap insurance** - Gap insurance provides coverage for the difference between what you owe on a car and the insurance company's estimation of the actual cash value. If you drive a new car off of the lot after putting very little money down, the actual cash value will be substantially less than what you owe to the finance company. Gap insurance makes up the difference. Gap insurance is also typically used when leasing a new car.
- **Income Loss Coverage** - Sometimes a part of Personal Injury Protection, income loss coverage replaces your paycheck if you're unable to work due to accident-related injuries.
- **Indemnity** - Compensation for loss or damage; reimbursement.
- **No-Fault Insurance** - A no-fault policy usually will not require that someone be assigned the blame in order for the policyholder to receive his/her money. In no-fault states such as Florida, insurance companies are required to offer this type of policy.
- **Personal Injury Protection (PIP)** - Covers the treatment of injuries to the driver and passengers of the policyholder's vehicle. At its most extensive, PIP can cover medical payments and the lost wages of those injured in an accident. It may also extend to covering the policyholder if he/she is injured while in another vehicle or is hit by a car while on foot.
- **Policyholder** - The individual or firm in whose name an insurance policy is written.
- **Premium** - The amount paid (monthly, quarterly, yearly) for insurance coverage
- **Property Damage Liability** - Pays for damage the policyholder causes to someone else's property.
- **Uninsured/Underinsured Motorist Coverage** - This is to pay for treatment and/or property damages of the policyholder in the event that he/she is injured in a collision with an uninsured driver. Underinsured motorist coverage is another policy option; it kicks in when an at-fault driver has auto liability insurance, but the limit of insurance is insufficient to pay for the victim's damages.

AUTO INSURANCE 101:

Automobile insurance is the protection you have to limit your liability in case of an accident. The cost of this insurance is based on lots of different factors that help describe who you are. Some of those factors include;

- Your sex and age group (some age groups are statistically more likely to have accidents)
- Your formal driver's training
- Your own previous driving record
- How much you drive per day
- The make and model of car that you drive
- Your credit-worthiness and how fast you pay your credit bills

Florida is one of 47 states that require all licensed drivers to have automobile insurance. In Florida, the minimum coverage is \$10,000 personal injury protection (PIP) and \$10,000 property damage liability (PDL) as long as you have a valid Florida license plate for a Florida registered vehicle with at least 4 wheels. The Department of Highway Safety and Motor Vehicles is authorized to suspend your driving privilege, including your vehicle license plate and registration, for up to three years or until proof of Florida insurance is provided, whichever is first. If your driving privilege is suspended, a reinstatement fee of \$150 up to \$500, for subsequent violations, must be paid and you must provide proof of current Florida insurance. In addition to the state sanctions, most auto insurance companies will not insure you if you are currently uninsured and driving a car. They won't even give you a quote. This is why it is important that you never let your car insurance coverage lapse.

Florida is a "no-fault" state. This simply means that each driver's own insurance provider is responsible for damages and compensation arising from an accident, regardless of who is at fault. If you are determined by a police investigation to be at fault in an accident and do not have insurance, the Florida Bureau of Financial Responsibility will automatically obtain a final judgment from a Florida court against you. The judgment will be immediately enforced and the at-fault party's license, tags, and registrations will be suspended for 20 years or until the judgment is satisfied (<http://www.flhsmv.gov/ddl/frfaqcrash.html>)

Florida requires licensed drivers and vehicle owners to carry minimum liability coverage limits to protect a third party against injuries and damages. Liability pays for certain damage (up to the limit of the policy) that you or anyone covered under your policy cause to another person's property through the use of an automobile. Florida law requires a minimum of \$10,000 in property damage liability.

While these limits will satisfy the Florida auto insurance laws, it is recommended for drivers to carry higher limits if they can afford to do so. Increasing the limits to \$100,000 per person/ \$300,000 per accident will not significantly increase premiums for drivers with an acceptable driving record, so it is important to weigh your options wisely.

Before purchasing auto insurance, you must consider a variety of factors including what kind of car you have, your driving record, the amount of money you are willing to pay and the reliability of the selected insurance company. Understanding the simple basics of auto insurance will make you confident that the car insurance policy you choose will take care of your needs in the event of an accident.

An insurance score is a rating used to predict the likelihood that a customer will file an insurance claim. It is used to determine how much you will pay for auto insurance. This score is based on an analysis of a consumer's credit rating, and the method for calculating it varies from insurer to insurer. While many companies use proprietary formulas to calculate the scores, the factors used in the calculation include the customer's outstanding debt, length of credit history, payment history, amount of revolving credit versus amount of credit in the form of loans, available credit and monthly account balance. Insurance companies justify the use of insurance scores by citing studies that show a positive correlation between credit scores and insurance claims. At some level, this may seem to make sense. At the level of minor traffic accidents, for example, it is reasonable to argue that individuals with poor credit are more likely to file claims, if for no other reason than the fact that they lack the funds to make repairs on their own. A perfect insurance score, in the eyes of an insurance company, represents a client with the lowest possible risk of filing a claim, so - since the probability of filing a claim is based on credit - good credit is the key to a high score. A good credit report can have such a large impact on your insurance premium that you can, for example, have a flawed driving record but good credit and pay less for your car insurance than a driver who has a perfect driving record but bad credit.

EXERCISE:

Take the quiz at this link to improve your understanding of auto insurance basics

http://cgi.money.cnn.com/tools/cgiquiz/cgiquiz_101.jsp?id=22

Understanding Coverage:

Liability insurance is required in all 50 states. It protects you by paying for damages, medical bills and property of others in the event that you are careless behind the wheel and cause an accident. Would you have enough money on hand to pay \$10,000 to fix the back end of someone's car that you just hit? There are two parts to Liability Insurance, which are Bodily Injury and Property Damage. Bodily Injury coverage is optional in Florida.

Bodily Injury: Bodily injury is any bodily harm, sickness, disease, or death caused by an accident. Bodily Injury Insurance covers others for physical injuries you may cause as result of an accident. In most Automobile Insurance policies, Bodily Injury is listed in two parts. The first number (as seen below) is the amount your insurance will cover "per person" in an accident, and the second number is the amount your insurance will cover "per accident". Most policies look something like this:

- Bodily Injury: \$25,000/\$50,000

The first number (\$25,000) is the maximum amount your insurance company will pay for one person in an accident you cause. The second number (\$50,000) is the maximum amount your insurance company will pay for all of the bodily injuries in one accident.

Example: You cause an accident where two people are injured and need to go to the hospital. Each person sustains injuries, with resulting medical bills amounting to the totals below.

- Person One: \$14,000
- Person Two: \$37,000

In this Scenario, your insurance would reimburse Person One for all of his medical bills because his total was under the \$25,000 per person limit. Person Two, however, sustained injuries that were above the limit your insurance company is liable to pay (\$25,000). The total amount that your insurance company would pay in this situation would be: \$14,000 + \$25,000 (maximum amount for Person Two) = \$39,000. If Person Two wanted to get the rest of the money for his hospital bills, he could seek to recover the rest of his medical expenses (\$12000) from you and might sue you to recover the rest of his medical expenses.

Property Damage: Property damage is destruction, or loss of use of property, typically the other person’s vehicle. In most automobile insurance policies, Property Damage coverage is shown after the Bodily Injury section, or in its own section. For example, many times it can look like this:

- Property Damage: \$25,000

Example: You cause an accident resulting in \$17,000 of damage to another person’s car, and \$7,000 damage to your own car. Your automobile insurance would cover the full \$17,000 for the damage to the other car because it is below the \$25,000 limit. The \$7,000 damage to your car would not be covered by property damage liability coverage, but could be covered if you purchased collision coverage for your car. Even with collision, you will be responsible for paying the deductible amount. So if you purchased \$10,000 in collision coverage with a \$500 deductible, your insurer would pay for \$6500 of the \$7000 in damage to your car.

GET A QUOTE:

Now that you have an understanding of the different pieces of auto insurance, let’s find out how much insurance will cost. Go to “Insurance Web” <http://www.insweb.com/>. Fill in the information as you get quotes from at least 3 companies listed. Write out or print the quotes, then compare the coverage and limits.

	Insurance #1	Insurance #2	Insurance #3
Company			
Quote based on car type			
\$10,000 PIP			
\$10,000 property damage			
\$20,000 property damage			
Comprehensive			
Collision with a deductible of \$500			

Answer the following questions from the data you collected.

What is the most significant factor in the cost of insurance to you?

How would these costs change if you were 40 years old?

How would these costs change if you had one or more moving violations on your license?

Factors That Impact Your Rates

In addition to the specific coverage options that you select and your credit rating, other factors that affect your auto insurance rates include the following:

-Deductible: This is the amount of money that you pay out of your own pocket if you get in an accident. **The higher your deductible, the lower your insurance bill.** In general, a deductible of at least \$500 is worth considering, as damage to your vehicle that comes in at less than \$500 can often be paid without filing an insurance claim.

-Age: Younger, less experienced drivers have higher insurance rates.

-Gender: Men have higher rates than women.

-Demographics: People living in high-crime areas pay more than those living in low-crime areas.

-Claims: Accident-prone drivers pay more. If you want to keep your rates low, keep the number of claims that you file to a minimum. Safe drivers pay lower insurance premiums.

-Moving Violations: Even if you've never had an accident, speeding and other moving violations all have a negative impact on your insurance bill. Obey the law to help keep your rates from rising.

-Vehicle Choice: Sports cars cost more to insure than sedans, and expensive cars cost more to insure than cheap ones do. Looking into the cost of insurance before you purchase that new car could help you save a bundle on your car insurance.

-Driving Habits: The number of miles that you drive, whether or not you use your car for work, and the distance between your home and work all play a role in determining your rates.

-Theft Deterrent Systems: If you have an alarm on your car, you'll pay less to insure your vehicle.

-Safety Devices: Air bags and anti-lock brakes both work in your favor by keeping you safer and lowering your insurance bill.

-Accident Prevention Training: Some companies offer discounts if you take a driver's education training course.

-Multiple Policies: If you have more than one car and/or also have homeowner or renter's insurance, keep in mind that many insurance companies offer discounts based on the number of policies that you have with them.

-Payment Plan: Some insurance companies offer discounts based on your payment plan. Paying your entire yearly bill at one time, instead of in installments, may lead to a discount.

EXERCISE:

Instructions: Respond True or False to the following statements

1. The color of my car matters in determining the cost of my auto insurance.
2. My old car won't be a target for theft so I don't have to be that concerned about insurance coverage.
3. I'm covered automatically if my car is stolen, vandalized or damaged by hail, wind, fire or flood.
4. Credit scores don't affect insurance rates.
5. My insurance company can cancel my policy at any time.
6. My friend borrowed my car, so he's responsible if there's an accident.
7. Personal property inside my car is covered by my auto insurance policy.
8. I'm automatically covered by my insurance policy if I'm driving a rental car.
9. Having "no-fault" insurance means it's not my fault.
10. Drivers of sports cars pay more insurance because they are the most likely to have more tickets.

Go to the following link to find the answers: <http://finance.yahoo.com/insurance/article/112620/car-insurance-myths-investopedia?mod=insurance-autos>

Go to the following link to complete a follow up quiz and record your responses.
www.insurance-education-group.com/auto-quiz.html

EXERCISE:

Check for your understanding by matching the term with the definition.

Actual Cash Value	A. This covers medical expenses for injuries the policyholder causes to someone else.
Appraisal	B. A predetermined sum paid for a covered loss.
Benefit	C. Sometimes a part of Personal Injury Protection; takes care of you if you're unable to work due to accident-related injuries.
Bodily Injury Liability	D. The individual or firm in whose name an insurance policy is written.
Claim	E. The portion of losses that you agree to pay in the event of an accident. Higher deductibles lower premiums, but will result in significantly higher out of pocket expenses for you in the case of an accident, especially if you're at fault.
Collision	F. This is to pay for treatment and/or property damages of the policyholder in the event that he/she is injured in a collision with uninsured driver. Underinsured motorist coverage is another policy option; it kicks in when an at-fault driver has auto liability insurance, but the limit of insurance is insufficient to pay for the victim's damages.
Comprehensive	G. The amount an insurance company pays to you or your beneficiary when you file a claim.
Deductible	H. Sometimes included in Personal Injury Protection, this coverage protects you if you suffer accident-related injuries that require serious and/or long-term medical care and begins once you have exhausted the limit on your standard medical benefits coverage.
Endorsements	I. person designated as the recipient of funds or other property under a will, trust, insurance policy, or other financial arrangement.
Extraordinary Medical Coverage	J. The policyholder's request for the reimbursement of a loss covered by their insurance policy.
Exclusions	K. Pays for damage the policyholder causes to someone else's property.
Full Coverage	L. For damage to the policyholder's car that doesn't involve hitting another car. Covers damage resulting from vandalism, fire, theft, falling objects, missiles, explosion, earthquake, flood, riot and civil commotion.
Gap insurance	M. Situations that are not covered by a given insurance policy; specific exclusions are listed on your insurance policy.
Income Loss Coverage	N. A no-fault policy usually will not require that someone be assigned the blame in order for the policyholder to receive his/her money. In no-fault states such as Florida, insurance companies are required to have this type of policy.
Indemnity	O. Estimate of the amount of damage to an automobile resulting from an accident
No-Fault Insurance	P. Covers the treatment of injuries to the driver and passengers of the policyholder's vehicle. At its most extensive, can cover medical payments and the lost wages of those injured in an accident. It may also extend to covering the policyholder if he/she is injured while in another vehicle or is hit by a car while on foot.
Personal Injury Protection (PIP)	Q. This covers physical damage to the policyholder's car from any collision. The collision could be with another car, a light post, parking curb, garage wall, etc.
Premium	R. The cost to replace property minus the amount it has depreciated since the original purchase date.
Property Damage Liability	S. The amount paid (monthly, quarterly, yearly) for insurance coverage
Beneficiary	T. This indicates that you have all the minimum coverage for your state of residence; it does not necessarily mean you will always be fully covered.
Policyholder	U. Provides coverage for the difference between what you owe on a car and the insurance company's estimation of the actual cash value. If you drive a new car off of the lot after putting very little money down, the actual cash value will be substantially less than what you owe to the finance company. This coverage makes up the difference. This coverage is also typically used when leasing a new car.
Uninsured Motorist Coverage	V. These are changes to the original insurance contract, such as a different deductible or an additional car or driver.

Life Insurance 101:

Life insurance, isn't that just for old people? Let's find out. But first answer the following questions.

	YES	NO
I'm young.		
I'm in good health		
I don't have anyone depending on my income to live.		
I don't plan on ever having a family		

Whether you said yes or no to any of those questions, you still might need life insurance. You may be single and the picture of health, but everything is subject to change. Life insurance is a way to plan for the future, with and without your presence. The following are some of the most significant reasons why you will need life insurance.

- If people depend on your income - Parents with young children, couples in which the survivor would be financially hurt by the income lost through the death of a partner, and dependent adults, such as parents, siblings or adult children who continue to rely on you financially.
- Life insurance can pay your funeral and burial costs, probate and other estate administration costs, debts and medical expenses not covered by health insurance.
- As a store of wealth. Life insurance can sometimes be used if you have no other assets to pass on to heirs or charities that you name as beneficiaries. This is typically not the best reason to purchase life insurance as you don't receive the total value of your investment, nor is your total investment used for the value of your insurance.

Learn the Language:

- **Accidental Death Benefit** - In a life insurance policy, an additional amount payable to the beneficiary, should death occur due to an accident.
- **Agent** - individual who sells and services insurance policies in either of two classifications:
 1. Independent agent represents at least two insurance companies and services clients by searching the market for the most advantageous price for the most coverage. The agent's commission is a percentage of each premium paid and includes a fee for servicing the insured's policy.
 2. Direct or career agent represents only one company and sells only its policies. This agent is paid either a regular salary or on a commission basis in much the same manner as the independent agent.
- **Benefit Period** - In health insurance, the number of days for which benefits are paid to the named insured and his or her dependents. For example, the number of days that benefits are calculated for a calendar year consists of the days beginning on Jan. 1 and ending on Dec. 31 of each year.
- **Claim** - A demand made by the insured, or beneficiary, for payment of the benefits as provided by the policy.
- **Coverage** - The scope of protection provided under an insurance policy. In property insurance, coverage lists perils insured against, properties covered, locations covered, individuals insured, and the limits of reimbursement. In life insurance, living and death benefits are listed.
- **Convertible** - Term life insurance coverage that can be converted into permanent insurance regardless of an insured's physical condition and without a medical examination. The individual cannot be denied coverage or charged an additional premium for any health problems.

- **Death Benefit** - The limit of insurance or the amount of benefit that will be paid in the event of the death of a covered person.
- **Elimination Period** - The time which must pass after filing a claim before policyholder can collect insurance benefits. Also known as "waiting period."
- **Grace Period** - The length of time (usually 31 days) after a premium is due and unpaid during which the policy, including all riders, remains in force. If a premium is paid during the grace period, the premium is considered to have been paid on time. In Universal Life policies, it typically provides for coverage to remain in force for 60 days following the date cash value becomes insufficient to support the payment of monthly insurance costs.
- **Living Benefits** - This feature allows you, under certain circumstances, to receive the proceeds of your life insurance policy before you die. Such circumstances include terminal or catastrophic illness, the need for long-term care, or confinement to a nursing home. Also known as "accelerated death benefits."
- **Mortgage Insurance Policy** - In life and health insurance, a policy covering a homeowner with benefits intended to pay off the balance due on a mortgage upon the insured's death, or to meet the payments due on a mortgage in case of the insured's death or disability.
- **Policy** - The written contract effecting insurance, or the certificate of insurance, including all clauses, riders, endorsements, and papers
- **Premium** - The price of insurance protection for a specified risk for a specified period of time.
- **Risk Class** - Risk class, in insurance underwriting, is a grouping of insured with a similar level of risk. Typical underwriting classifications are preferred, standard and substandard, smoking and nonsmoking, male and female.
- **Surrender Charge** - Fee charged to a policyholder when a life insurance policy or annuity is surrendered for its cash value. This fee reflects expenses the insurance company incurs by placing the policy on its books, and subsequent administrative expenses.

Types of Life Insurance:

There are four major types: Term Life insurance, Whole Life insurance, Universal Life insurance, and Variable Universal Life insurance.

Term Life insurance pays your beneficiary a pre-determined amount if you die within a specified period of time (term), but coverage exists only if you die within a specified time period. Term Life insurance generally offers the most protection for the smallest price. Many term policies are renewable, meaning that you can purchase them again for the same term even if your health or circumstances have changed, although the premium may increase on renewal. You can typically determine the term (length of the contract). At the end of the term, you can either renew the contract or allow it to lapse. Some term policies (called "convertible") will permit you to convert the Term Life insurance policy to a permanent one at some point without undergoing a medical evaluation.

Term Life insurance is usually offered for periods ranging from 1 to 30 years. Consider choosing a term that matches your need for life insurance protection. For instance, if your main reason for buying life insurance is to protect your new-born child until she's out of college, you'll want to buy a policy with a term of at least 15 years. Or you might purchase Term Life insurance to pay off a car loan or home loan if you should die.

Whole Life insurance: A life insurance contract with fixed premiums that has both an insurance and an investment component. The insurance component pays a stated amount upon death of the insured. The investment component accumulates a cash value that the policyholder can withdraw or borrow against. As the most basic form of cash-value life insurance, Whole Life insurance is a way to accumulate wealth as regular premiums pay insurance costs and contribute to equity growth in a savings account where dividends or interest is not taxed until withdrawn by the policyholder.

Universal Life Insurance is a type of flexible permanent life insurance offering the low-cost protection of Term Life insurance as well as a savings element (like Whole Life insurance) which is invested to provide a cash value buildup. The death benefit, savings element and premiums can be reviewed and altered as a policyholder's circumstances change. In addition, unlike Whole Life insurance, Universal Life insurance allows the policyholder to use the interest from his or her accumulated savings to help pay premiums.

Variable Universal Life Insurance is a form of cash-value life insurance that offers both a death benefit and an investment feature. The premium amount for Variable Universal Life insurance (VUL) is flexible and may be changed by the consumer as needed, though these changes can result in a change in the coverage amount. The investment feature usually includes "sub-accounts," which function much like mutual funds and can provide exposure to stocks and bonds. This exposure offers the possibility of an increased rate of return over a normal Universal Life insurance policy, but also can expose the policyholder to a greater risk of loss of some, or all, of the investment amount.

Click on this link to access a quick list of “need to knows” when shopping for life insurance:

<http://money.cnn.com/magazines/moneymag/money101/lesson20/index.htm>

EXERCISE:

Use the preceding information and this link, <http://www.insurancefinder.com/lifeinsurance/lifeinsurance.html> to fill in the checklist below. Use the last line to describe the type of consumer who would best benefit from each of the 4 types.

	TERM	WHOLE	UNIVERSAL	VAR. UNIVERSAL
FIXED COVERAGE PERIOD				
DEATH BENEFIT				
INVESTMENT FEATURE				
CASH VALUE				
LEAST EXPENSIVE				
FIXED PAYMENTS				
MOST EXPENSIVE				
BORROWING OPTION				
NO GUARANTEE OF INVEST. RETURNS				
BEST SUITED FOR?				

Take this quiz to affirm your understanding of the basics of life insurance:

http://cgi.money.cnn.com/tools/cgiquiz/cgiquiz_101.jsp?id=20

Healthcare Insurance 101:

Do I really need to worry about healthcare if I'm young and not sick? Isn't health insurance really expensive? These 2 questions summarize what most of us think about medical insurance. Of all of the types of insurance that you should have, health insurance may be the most important. Even if you are the picture of health and your friends marvel at your grace and beauty, health issues can strike at any time. If you do not have health insurance, even a minor problem can result in a severe impact to your financial health. Take the quiz at

http://www.myfloridacfo.com/ica/ICA_HealthQuiz/ICAQuizHealth.htm to see what you really know about health insurance.

So now you see that health insurance is also complicated. Let's go one step at a time to learn about health insurance. It could possibly save your life! There are many different types of health insurance as well as many different ways that people typically get insurance. Go to the following site and review the various types of health insurance. Fill in the chart Student worksheet #1 from your research <http://www.iii.org/articles/what-are-my-health-insurance-choices.html>

When you select a health care plan, there are a number of factors to take into consideration. If you are able, you should select a plan based on the factors that most reflect your needs. **The 2 most important considerations are; how much insurance do I need and how much will it cost?**

- **Prescription drug benefit** – Many prescription drugs may cost hundreds of dollars. Sometimes you have to have the more expensive brand name if the less expensive generic drug is not available. So how much will I have to pay for brand name or generic prescriptions? Some policies offer a drug benefit that will provide prescription drugs for nominal co-payments by the insured. If I need to take prescription drugs, how much will this benefit add to my premium? For prescriptions that I have to take for extended periods of time, can I get special discounts?
- **Wellness program** – Can I find insurance that will help me stay healthy or even help me stop smoking or lose weight? How about treatments that help me maintain my good health? Some health insurance policies provide programs and assistance designed to keep me healthy and even lower my cost if I participate.
- **Dependent coverage** – The cost of paying for a major illness can affect entire families. If I am the primary wage earner, can I get coverage for my dependents? Will all of the people who are dependent upon me be covered? If I have a child, when is that child covered and what kind of coverage can I get?
- **Choice of medical care providers** – Do I have the right to choose doctors, hospitals, medical facilities within a limited network or unlimited providers? This is important if I already have medical providers that know me and have treated me. Some health care policies limit you to only certain identified doctors that you must use. Some policies may allow you to use other doctors only after you have seen the network person. Some more expensive policies may allow you to see any doctors.
- **Specialist care** – Will my insurance pay for highly specialized physician care or very sophisticated treatments and procedures even if it is outside of the "network"? Some new medical treatments are many times more expensive than traditional treatment. Some healthcare policies will limit access to new technologies and treatments or may require you to use their network facilities.
- **Deductibles or co-payments** – How much do I have to pay out of my own pocket for treatment? A deductible is the total amount of money that I have to pay out of my own pocket before the health insurance will pay anything. Typically, the higher the deductible (the amount I pay) the lower the cost of my insurance policy. A co-payment is the amount of each bill or service that I must pay, with the healthcare insurance paying the

balance. Most policies have you pay a higher co-payment for coverage outside of their network. Depending on your own circumstances, you need to figure out if you are better off with a higher co-pay or deductible.

- **Pre-existing conditions** – When you first get a new healthcare policy, you must report all existing medical conditions. Some of these pre-existing conditions may have, in the past, allowed the insurer to refuse you coverage or limit your coverage from your present condition. Are conditions covered such as diabetes, heart disease, lupus that were present before my new insurance took effect?
- **Claims process** – Does the insurance company have an easy claims process and readily accessible customer service? Does this insurance company have a system in place to pay claims and answer questions in a prompt manner? Do my doctor's office, local drug store, and other healthcare providers work with my healthcare insurer?

Use the glossary of health insurance terms at <http://www.healthinsurance.org/glossary/> to help understand the ins and outs of health insurance. Always ask your health insurer before you have a problem.

All of these are factors that you should think about before you look for any healthcare policy. Once you have decided what's most important, then you need to look at the many different types of healthcare insurance offered to you. Go to <http://www.iii.org/articles/what-are-my-health-insurance-choices.html> to learn about the various categories and types of healthcare insurance. Use the chart attached below to help organize the information.

After reviewing the basics of health insurance, take the quiz at: http://www.insurance.state.pa.us/naic/quiz_health.html. In the quiz, did any of the answers surprise you? Shock you? Cause you to think more about health insurance? Getting sick or having an accident is very expensive. For most of us, we don't have the extra thousands of dollars laying around to pay for the medical emergencies. Plus, if I do get sick, can I continue to work and get paid?

Patient Protection and Affordable Care Act (PPACA)

Typically, the only people who had health care were people who: earned it as a work-related benefit, were able to purchase it through a private or group plan, or who received government-based healthcare. The policies and coverages varied widely depending on price, location, physical conditions, sex, age, and even credit history. Over the past 20 years, as medical costs and care have continued to increase dramatically, many people found they were not able to afford proper coverage. Many employers found that they were forced to reduce coverage as increased costs proved unsustainable.

People who could not afford health insurance, but did not meet the qualifications for government-provided health care, were forced to make painful decisions. They could ignore treatment totally, hold off until the situation became critical and then seek care at a hospital emergency room. All hospitals must accept critically ill patients, even if they can't afford to pay for their treatment. A private, for profit hospital may stabilize the patient for transfer to a public, taxpayer supported hospital. This caused an overuse of these emergency facilities so that they were, in many cases, not able to focus their energies on true emergencies. The bills for the uninsured emergency room services were either paid by the hospital or by the taxpayers of the local hospital taxing district. In many instances, hospitals charged their other patients more in order to subsidize the patients without insurance who could not afford to pay for their health care, emergency care, or long-term care.

Health insurance today is undergoing a fundamental change as a result of the Patient Protection and Affordable Care Act (PPACA). This is a federal statute that was signed into United States law on March 23, 2010. This Act and the Health Care and Education Reconciliation Act of 2010 (signed into law on March 30, 2010) made up the health care reform of 2010. The laws focus on reform of the private health insurance market, provide better coverage for those with pre-existing conditions, improve prescription drug coverage in Medicare and extend the life of the Medicare Trust fund by at

least 12 years. The Affordable Care Act consists of dozens of individual changes, or provisions. These include programs already in effect--like tax credits for small businesses that insure their employees, and the opportunity for parents to cover children 18 to 25 on their own plans. Provisions also include programs that will roll out in the future, such as the launch in 2014 of health insurance exchanges, where people will be able to shop for insurance in a competitive and transparent environment. The law would also require everyone to buy health insurance and would require most employers to provide health insurance for their employees. How exactly this will change health care is still not known for sure. To better understand the impact of this new law, go to <http://www.healthcare.gov/law/about/order/byyear.html> As you follow the timeline, notice that each year brings new changes to the law. The Healthcare Reform legislation of 2010 has been controversial. As of the date this was written, lawsuits have been filed, including one by the State of Florida, challenging the constitutionality and legality of some or all of the new laws.

TYPES OF HEALTH CARE INSURANCE :

Fill in the chart using information from <http://www.iii.org/articles/what-are-my-health-insurance-choices.html>

Row 1: Who is eligible? Row 2: What are the benefits? Row 3: What are the negatives or limits?

INDEMNITY PLANS				MANAGED CARE		GOVERNMENT SPONSORED	
Indemnity Health Plans	"Basic & Essential" Health Plans	Health Savings Accounts	High-Deductible Health Plans	Health Maintenance Organizations	Preferred Provider Organizations	Medicaid	Medicare

EXTENSION ACTIVITY

Directions: Go to www.ehealthinsurance.com, and select, “Get a Quote.”
Date of birth ~ Tobacco usage in the last 12 months? ~ Full time college student?

When the results come up, you can sort by:
EHealth’s pick * Price * Company * Deductible

Which plan offers the most affordable monthly premium price?

Company: _____ Plan Name: _____

Plan Type	Deductible	Coinsurance	Office Visit	Monthly Premium	Total Out-of-Pocket

- 1. Determine what your annual premium will be.
- 2. If you broke your leg, and had a \$20,000 doctor’s bill, how much would you pay out-of-pocket?

Which plans offers the most expensive monthly premium price?

Company: _____ Plan Name: _____

Plan Type	Deductible	Coinsurance	Office Visit	Monthly Premium	Total Out-of-Pocket

- 3. Determine what your annual premium will be.
- 4. If you broke your leg, and had a \$20,000 doctor’s bill, how much would you pay out-of-pocket?

Chapter 7: Finding A Place to Live

Introduction:

The time comes in every life when you have to “leave the nest.” Sooner or later you will need to find a place to live, by yourself or with one or more people. New situations develop new questions that require new decisions. All decisions have consequences, and many have legal consequences. Finding a place to live involves both legal and economic decisions, and you need to consider them all carefully before you commit yourself.

In this section you will learn:

- How to determine the many factors involved in choosing a place to live.
- How to choose among those factors to figure out what housing option is best for you.
- How to find out your rights and responsibilities in regards to housing.
- How to make the best choices possible.
- How to fill out some of the forms and documents you may encounter.



Learning the Language:

- **Condominium (or Condo)** – A specified part of a piece of real estate (usually of an apartment house) is individually owned while use of and access to common facilities in the piece such as hallways, heating system, elevators, exterior areas is executed under legal rights associated with the individual ownership and controlled by the association of owners that jointly represent ownership of the whole piece. They may also be rented out by the owner.
- **Duplex** – A dwelling having apartments with separate entrances for two families. This includes two-story houses having a complete apartment on each floor and also side-by-side apartments on a single lot that share a common wall. By contrast, a building comprising two attached units on two distinct properties is typically considered *semi-detached* or *twin homes* but may also be referred to as a *duplex*. The term "duplex" can also be extended to three-unit and four-unit buildings, or they can be referred to with specific terms such as *triplex* and *fourplex* or *quadplex*,
- **Earnest payment** – Sometimes called earnest money or simply *earnest*, or alternatively a good-faith deposit, it is a deposit towards the purchase of real estate or publicly tendered government contract made by a buyer or registered contractor to demonstrate that he/she is serious (earnest) about wanting to complete the purchase. When a buyer makes an offer to buy residential real estate, he/she generally signs a contract and pays a sum acceptable to the seller by way of earnest money. The amount varies enormously, depending upon local custom and the state of the local market at the time of contract negotiations.
- **Equity** – The difference between what you owe on the house and the market value of the house
- **Escrow** – An account held by a lender in which a homeowner pays money for taxes and insurance
- **Eviction** – The legal process by which a landlord can force a tenant out of the property. The laws on eviction not only vary from state to state, but often from county to county as well.
- **Forfeiture** – The loss of the security deposit because of a violation of lease or service agreements.
- **Landlord** – Also known as the lessor, this is the owner of the property being leased.
- **Landlord – Tenant Act** – The 1973 Florida statute, known officially as the Florida Residential landlord and Tenant Act, Title IV, Section 83. This provides ways for tenants and lessor to resolve disputes and establishes the rights and responsibilities of both as well.
- **Mortgage** – A loan secured by real property through the use of a mortgage note which evidences the existence of the loan and the encumbrance of that realty through the granting of a mortgage which secures the loan. However, the word *mortgage* alone, in everyday usage, is most often used to mean *mortgage loan*.
- **Rent** – Payment for use of someone else's property. This is usually paid monthly and in advance, that is, for the month following the payment. (A useful site for renting information - http://www.800helpfla.com/landlord_text.html)
- **Security Deposit** – Money left with a property owner or a service provider used to insure that they will be paid and that their property will be secure. The money will be held until the end of the lease or service agreement and, if returned, should include accrued interest. If there is damage to the property, or if the service agreement is violated, some or all of this may not be returned.
- **Sublease (or Sublet)** – When you rent out the property you are renting to a third party. This may or may not be allowed in your lease, and you must be sure it is before you do it. As the primary renter, you are still responsible for the property under lease to you. You must still continue to pay your landlord your rent. You might do this if you need to move before your lease expires or if you are going to be gone for an extended period of time.
- **Tenant** – The person renting a property, also known as the lessee.

- **Utilities** – These are the services provided by companies other than the landlord. These would include electricity, gas, water, garbage, cable television, telephone, Internet access, etc..

Before You Begin:

Just as with cars, you have two basic choices in finding somewhere to live – buy or rent/lease. Buying is a long-term commitment. Apart from requiring a considerable down payment and application process, you will become the owner of that property. That means that you will be responsible for the taxes, upkeep, repair, maintenance, insurance, liability, etc.. Since you own the property, the interest you pay on the mortgage can be tax deductible, and you will build equity in the property as you pay off the mortgage. This means that every month you pay your mortgage; you reduce what you owe on the house versus what the house is worth – as long as the value of the property continues to increase, that is.

Watch this brief video clip describing some of the considerations when choosing between renting and buying.

<http://www.bing.com/videos/watch/video/homes-rent-or-own/3xoybst7?q=buy+or+rent+a+home&FROM=LKVR5>1=LKVR5&FORM=LKVR8>

For some people, buying their home makes the most sense, and for others, renting is best. To determine which is right for you, you first need to determine whether you can afford to buy. Then you need to consider other factors, including the time you'll stay in your new home, the home's prospects for appreciation and taxes. Use the following calculator to decide which financial situation matches best with renting and owning a home.

<http://www.bankrate.com/calculators/mortgages/rent-or-buy-home-7.aspx>

More importantly, as the owner you are legally bound to your property. If you need or want to move, you will either have to try to sell your house or try to rent it out. It is important also to understand that while the purchase of a house is often called an investment, it is a risky one. The value of the house will be determined by an uncontrollable free market, and as recent experience has shown, housing bubbles can prove disastrous, particularly if the homeowner has taken out equity loans, loans against the paid off value of the house – based on current market value. Remember, the most important use of a house is to shelter you and what is important to you.

Click on the link below to exam some of the real costs and benefits of home owning.

<http://www.handsonbanking.org/htdocs/en/y/#/en/y/si/wea/ysiweahom.html>

How Much Can You Afford?

This will be among the first questions you must answer for yourself. You must have already applied the lessons on making a budget and living within it you have learned. You may be planning on sharing your new rental or purchase with other people to help defray expenses, but will you be able to live up to the lease obligations if they move out or can't or won't pay? You need to be sure you won't suddenly find yourself homeless. Also, be sure you can afford the costs of moving in.

The following link takes you to a calculator that helps determine how much you can afford for housing. Plug in numbers for other things in your budget to determine what income you have left:

<http://content.kiplinger.com/tools/housing.html>

As discussed elsewhere, your credit rating is very important, and buying and renting property is no exception to that rule. The landlord and lender will want to know if you can and will pay on time, every time. So will the utility companies who will control your power and communications. Be sure that not only can you pay the housing costs regularly but meet the other payments that will happen every month, such as food and transportation. If a credit check shows that your expenses are greater than your income can support, you will not be able to qualify. If you've been paying your bills regularly, be sure you keep doing so. If you haven't, start now to repair your credit rating. And start lining up credit references who will talk about your character. You will need to have an established banking relationship.

Are you financially prepared? This not only involves the credit rating to qualify, but also many other things as well. If you do not rent a furnished apartment, which is to say an apartment that already has all the furniture you need, you will have to buy or rent furniture on your own. You will need linens, such as towels and sheets. You will need utensils, pots, pans, cutlery, etc., for the kitchen. Of course, you will need all of the above if you are buying, plus floor and window treatments.

You may also have to create whatever safety requirements the weather in your area dictates. If you are a renter, your landlord assumes those obligations.

The security deposit you make on your utilities will vary from company to company, from location to location, and with your credit history. Some utilities will return your deposit even while you are still a customer if you have had a good record in paying your bills. That good record with one utility may even mean that if you move the new utility may require less or even no deposit based on your customer history. The deposit on your apartment will usually come in the initial payment to the landlord, typically consisting of three month's worth of rent – first month, last month, and security. How much of this you ultimately get back will depend on the condition in which you leave the property when you move out and the landlord inspects it. The earnest money required to secure the property and the loan can be significant.

When you first rent a property, take a tour of the property with the landlord and document with photographs the condition of the property. When you move out, make sure the property is in at least as good condition as when you rented it, or you will not get your full deposit back. The landlord can withhold all or part as necessary to make the property rentable again. If possible, make the final inspection tour with your landlord and with the photographic documentation. If there is serious damage, you may not only lose all of your deposit but you may owe even more, and you may even be sued by the landlord. This will make future rentals even more difficult and should be avoided at all costs.

Click on the link below to discover some alternative housing methods and arrangements that may fit into your budget.

<http://realestate.msn.com/article.aspx?cp-documentid=20315132>

When you purchase a property, the lender will require an inspection by a professional, because the lender does not want to loan money on property that is not worth the amount being loaned. You must be prepared for the inspector to potentially return a report that will not result in the loan.

Property taxes, an issue taken care of by the landlord through rent payment, become the obligation of the homeowner. You will need to either have them withheld in your house payments or save to pay them yourself. Sometimes both is required if the lender does not hold enough in escrow to cover changing tax rates. It will be to your advantage to become very aware of state and local elections, changing tax rates, and changing zoning laws.

Always remember that in either buying or renting, the same three classic principles of real estate will determine price – location, location, and location.

How Can You Protect Yourself?

Your first consideration when you rent a new property will be the safety and security of both yourself and your possessions. While an alarm system might be a good idea, make sure that it is allowed under your lease. It may be expensive and it may not be removable when you leave. Regardless of that, make sure your landlord changes the locks on all the doors and that you and the landlord are the only ones with copies of those keys. Sometimes former tenants will keep copies of the keys for the old locks and come back or sell the keys to criminals.

Even if you don't own the property, there still are many things you do own and want to protect – electronics, books, clothes, CD's, software, jewelry, sporting goods, etc. You also have liability for accidents that might occur in the property under your control. To protect your things and yourself, consider renter's insurance. The purposes of insurance have been discussed elsewhere, and you should consider the advantages versus the costs of this option.

Click on the link below to explore a short article on the benefits of renter's insurance.

<http://realestate.msn.com/article.aspx?cp-documentid=18490743>

If you are a homeowner, your lender will require you to carry insurance to protect their investment against loss by fire, flood, etc. Protecting yourself against the loss of the contents, lawsuits by anyone injured on your property, and other potential hazards, will be up to you. Generally, such insurance will be money well spent, but you will have to judge. Remember, you can't get an automobile registered without insurance because of the potential for loss, so buying a car means considering the cost of insurance. The same should be true of buying a house.

Knowing What You Want

There are many factors to consider when choosing where to rent. Not in any particular order, here are some points to remember and consider.

SIX REASONS TO RENT

1. To escape the hidden costs of homeownership
2. Access to urban amenities
3. Cash availability, there may be better places to invest than a home
4. Simplicity, downsize your life
5. Mobility, no strings attached
6. Diverse neighbors

Checklist of items to consider when looking for a rental unit:

✓ How many bedrooms, bathrooms, closets? Square footage?	✓ Are the appliances gas or electric?
✓ What kind of floor treatment?	✓ Do all plumbing fixtures and appliances work?
✓ Are the window treatments in good condition?	✓ Is the location near work or school? Nearby mass transit? Ample parking?
✓ Condition of the walls and ceiling? Water stains?	✓ Is the unit furnished or unfurnished?
✓ Central heat and air or window units?	✓ Is the area quiet and secure at night?
✓ Do all windows open and close easily? Screens in good condition?	✓ Is there easy access to shopping, parks and recreation?
✓ Sufficient electrical outlets, phone jacks, and cable connections?	✓ Are there Laundromat services available?

Source: <http://realestate.msn.com/article.aspx?cp-documentid=20171382>

You should look at several different possibilities for rentals. Consider each of these at each one, along with the rent and the lease. Remember all of your budget factors. We will discuss the lease in more detail a little later.

Finding Rental Property

Unless you are absolutely sure that you will not want to move within the near future, buying will probably not be your best option. You won't get pride of ownership, nor tax deductions, nor build up equity, but renting is a viable and often desirable way to live. The responsibility of general maintenance lies with the landlord. If you need or want to move, your only obligation is the length of your lease, and even that may be negotiable. It requires less of an investment than the purchase of a house, condominium, or a town house. But whether you

are considering an apartment, a rental house, a rental trailer, or any other property, it still requires financial planning.

Now, how do find a place to rent? There are several methods, but the best, as always, is on the recommendation of friends and family. They should give you the most objective opinions of the options and will generally be speaking from their own experiences. Sometimes such referrals will get some sort of discount from the landlord. Moreover, they will know not only the property but you as well and know what would be the best fit for you and your needs.

Newspaper ads are also a good source. Don't just check the daily papers but the weeklies and neighborhood papers as well. Naturally, many people will be seeing these, so there may be quite a bit of competition for these properties.

If you are in school, there may be a board or list of properties nearby. They will probably be oriented toward students, and may range from single rooms to rental houses. Local businesses such as coin laundries, restaurants, and grocery stores may also have bulletin boards with rental listings posted.

Real estate agents are another source, and there are agencies which specialize in rental properties. These can be a good source, but they tend to work on commission and will recommend the most expensive properties. Some will also want you to pay a finder's fee for their services. The benefit of this cost may be the savings of your time, but you will need to judge the cost-benefit analysis for yourself.

Sample Property Rental Application Form – read through the lease found at this link and find the answers to the questions below. <http://www.ilrg.com/forms/lease-res/us/fl>

- When is the rent due?
- When is the rent over-due?
- What is the length of the lease?
- How much notice must be given to terminate the lease?
- How can the rent be paid?
- Is a lease a binding contract?
- How can the lease be modified?
- What happens if you abandon the property you are renting?
- What can happen if you do not pay your rent?
- What does the lease say about pets?
- Who is responsible for injuries on the property?
- Who is responsible for animals on the property?
- In what condition must the property be returned at the end of the lease?
- Who has the right to inspect the premises? For what reasons?
- What happens if the rental property is damaged by natural causes?
- Does the lease deal with issues such as noise levels? If so, how?
- Who is responsible for the payment of utilities?
- What are the rules for maintenance and repairs?
- Is sub-letting permitted?
- Who has the right to use the premises?
- Can changes be made in the property? Are there applicable rules?
- What happens to the security deposit?

Here is an article describing some unexpected ways you can violate your lease:

<http://realestate.msn.com/article.aspx?cp-documentid=24608715>

What to Look for in the Lease

As you can see from the example, a lease is a binding legal document which can be quite confusing for the average person. You must be sure to read all of it carefully, including and especially the fine print. Once you have signed it, it is a legally binding contract with obligations both you and the landlord must abide by.

- Look at the move-in date to be sure it's what you want.
- Check the length of the lease. It is usually six to twelve months. Is the period too long or too short for your needs? During the lease, your rent should remain stable. Will the rent increase when the lease expires? Will renewal be automatic?
- When is the rent due? Are there late charges? Is there a grace period? How can the rent be paid – check, cash, money order? Can it be paid by mail?
- How much is the security deposit? Will it earn interest?
- Are pets allowed? Are children allowed? Do either require an additional security deposit?
- What is included – water, electric, garbage, cable, use of recreational facilities, etc.?
- What changes are allowed by the tenant – hanging pictures, wallpaper, painting the walls, etc.?
- Specific landlord obligations – scheduled maintenance, emergency maintenance, repainting, shampooing carpets, changing filters, etc.?
- Be aware of all the rules about potentially subletting the property, termination of the lease, landlord access, etc..
- Be sure all parties have signed and dated the appropriate spaces. Leave no blank unfilled on the lease. If a section does not apply, be sure to fill in "Not Applicable" or "N/A." If any parts are or can be changed by consent of both renter and landlord, both should initial any such changes. See if the document should be notarized. Do not sign a lease with blank spaces.
- If there is no written lease, the span of your rental payment (weekly, monthly, etc.) determines the length of the agreement.
- Ask for clarification of any language or terms you do not understand.
- Be wary of "waiver provisions" that might affect your rights.
- Do not sign a lease that allows the landlord to show your property to potential renters while you are still living there.
- Be aware of your rights as a renter if the landlord sells the property.

8 QUESTIONABLE RENTAL FEES TO AVOID

1. EXCESSIVE LATE-RENT FEES

2. OVERNIGHT GUEST FEE

3. UNNECESSARY APPLICATION FEE

4. REPAIR FEES

5. REDECORATING OR CLEANING FEE

6. ADMINISTRATION OR PROCESSING FEES

7. ANY FEE CALLED A "NON-REFUNDABLE DEPOSIT"

8. FINDER'S FEE OR HOLDING FEE

Source: <http://realestate.msn.com//article.aspx?cp-documentid=26554459>

Renter's Rights and Responsibilities:

A tenant is entitled to the right of private, peaceful possession of the dwelling. Once rented, the dwelling is the tenant's to lawfully use. The landlord may only enter the dwelling in order to inspect the premises or to make necessary or agreed repairs, but only if he or she first gives the tenant reasonable notice and comes at a convenient time. If an emergency exists, the requirement for notice may be shortened or waived.

The tenant has the right, under certain very aggravated circumstances caused by the landlord's neglect, to withhold rent. This can only be done when the landlord fails to comply with an important responsibility, such as providing a safe and habitable home in compliance with local housing codes. Before rent is withheld, the tenant must give the landlord seven (7) days written notice of the problem so the landlord can fix it. Even after withholding rent, the tenant should preserve the money and seek court permission to spend part of it to do what the landlord should have done. If the tenant does not preserve the money and seek court assistance, the tenant may be evicted for nonpayment.

Florida Statutes, Section 83.51, require a tenant to comply with the local Property Maintenance Code. This means that the tenant must:

1. Keep the house or apartment in a clean and sanitary manner.
2. Remove all garbage from the house or apartment in a clean and sanitary manner (for example, use garbage cans).
3. Keep all plumbing fixtures in the house or apartment used by the tenant in a clean and sanitary manner and in good repair.
4. Properly use and operate all electrical, plumbing, sanitary, heating, ventilating, air conditioning and other facilities and appliances, including elevators, which are in the apartment or house.
5. Not destroy, damage, or in any way misuse the property itself. This includes not permitting any tenant's guests to do so either.
6. Not remove anything from the house or apartment which does not belong to the tenant (for example, cannot remove light fixture which was in the property when tenant moved in).
7. Conduct themselves and require anyone who visits them to act in a way that does not disturb the peace.

Landlord's Rights and Responsibilities:

The obvious right as a landlord is to receive rent for the use of the property. Another important right is to have property returned to undamaged at the end of the agreement. It should be returned in the same condition in which it was received, except for ordinary wear and tear.

Florida Statutes, Section 83.51, require a landlord to comply with the local Property Maintenance Code. This means:

1. The roof must not leak.
2. The walls must be weather-tight, and in good repair.
3. The stairs must be safe for normal use and maintained in good repair.
4. Windows and doors must be basically weather-tight, water-tight, rodent-proof, and kept in sound working condition. Outside doors have to have proper locks.
5. Window panes cannot have cracks and holes. Outside windows must have screens.
6. Inside floors, walls, ceilings must be basically rodent-proof and kept in sound condition and good repair, and should be safe.
7. The house or apartment must have hot water, which is connected to the kitchen and bathroom sinks, tub or shower.
8. All houses or apartments must have a flush toilet in good working condition.
9. When cooking and heating equipment are provided by the landlord, they must be safely installed and in good working order.
10. There must be adequate garbage disposal facilities or garbage storage containers.
11. Every habitable room must have at least two separate floor or wall electric outlets and, additionally, every kitchen, bedroom, bathroom and hallway must have a ceiling or wall-type fixture, or an outlet controlled by a wall switch near the entrance to the room.
12. All electrical systems must be in good repair and good working order.

Avoiding Common Renting Errors:

- Do not rent unless there is a lease. Should you do so; local and state statutes will govern the arrangements.
- Do not rent property that is damaged until all repairs are made. This applies to water damage from leaks, stains, plumbing, appliances that don't work, etc.).
- Be wary of subletting your property, if even if the lease allows it. You are still responsible for any damages to the property.
- Do not sign a lease that makes you responsible for maintenance and repairs on the apartment beyond normal wear and tear.
- Be aware that improvements you make to the rental property may not be reimbursed by the landlord and may be kept by the landlord.

Finding Property to Buy:

The same sorts of sources you use to find rental property will help you find property for sale. But remember, while renting begins a mutual relationship with the landlord, buying leaves you solely responsible, just like buying a car. Be particularly careful of those who may profit from the transaction, as they might not have your best interests at heart. Realtors make their living from a percentage of the sale price, and some unscrupulous ones might push you into buying more than you can afford. A homeowner might misrepresent the property to get out from under an economic burden – and transfer the problem to you.

www.realtor.com is a comprehensive site for property listings throughout the country.

When considering location, there are many things to remember. Most of these will be the same as you deal with in looking for rental property, but there are others as well. Is the property located in a flood plain? How big is the yard? Will you/can you maintain it or will you/can you hire a service to do it? Remember, in some localities, failure to maintain your property to community standards can result in significant fines and fees. And all repairs your property will require are your responsibility also.

The link below offers a checklist of things to consider when asking “Am I ready to buy?”

<http://www.handsonbanking.org/htdocs/en/y/#/en/y/si/wea/ysiweardy.html>

What to Look for in a Mortgage Agreement:

A mortgage is a binding legal document governing the largest purchase most people will ever make. It would not be a bad idea to consult legal counsel if you are unfamiliar with the process and documents. Never sign anything you have not read and understood completely. Ask for explanations of any and every portion that is not clear to you.

Use the link below to witness the power of amortization. Use this calculator to plug in number that will determine monthly payments for 30 years. Then, click on the link that says “show amortization schedule” to see how much your total repayment costs will be over the life of the loan. At low interest rates today, you’ll still payback almost twice as much as you borrowed.

<http://www.bankrate.com/calculators/mortgages/mortgage-calculator.aspx>

Be aware that the miracle of compound interest that builds your savings will also build your debt. Often, the interest paid on a long-term loan, such as a mortgage, will exceed the original cost of the entire loan. Your interest rate, the length of the loan, payments over the minimum required, will all dictate your final costs. Generally, the longer the term of the loan, the lower the payments and the greater overall interest charged.

Also be aware that there are many types of mortgages and lenders are constantly experimenting with new ones. Be cautious of such arrangements as adjustable rate mortgages (ARM) because while you hope your income will increase over time, you have no guarantees, while it is guaranteed that your payments will increase.

Please use the power of the Internet when making these complex and important decisions, but please also remember to be an informed consumer of web sites. Commercial sites may be more concerned with making a sale than with your economic well-being. Wiki sites and blogs are at the mercy of the posters, and malicious

content may appear to deceive the unwary. Some sites are just so poorly made and maintained that they are filled with errors. In the volatile real estate market, sites may not be updated often enough to reflect the current situation.

EXERCISE:

SHOULD THEY BUY OR RENT?

DIRECTIONS: For each of the following situations, circle RENT, BUY, or DEPENDS to indicate your opinion related to this person's housing decision. Also, give reasons for your response.

1. You are single, just out of school, and have moved to a new city to pursue a job opportunity.
RENT BUY DEPENDS
2. You are married, with two children, and have another on the way. You have a good, stable job with a growing company.
RENT BUY DEPENDS
3. You are married with no children. You have just lost your job and there does not seem to be another opportunity locally. You have some savings and are currently living in rented property.
RENT BUY DEPENDS
4. Your friends are interested in a living arrangement with everyone sharing expenses. You have some savings, an inheritance, and a decent job.
RENT BUY DEPENDS
5. You are married; your children are grown and moved out. You are nearing retirement and are living in the house in which you raised your family. With retirement, you expect your income to decrease. You have savings and are considering places that offer activities that you enjoy.
RENT BUY DEPENDS
6. You are single and engaged. You are both about to graduate and both have several job offers you are considering, both where you now live and in other cities.
RENT BUY DEPENDS

Description of Different Mortgage Types

Mortgages are different based on the amount of interest that you pay on the loan, as well as the schedule involved for payment. The most common forms of mortgages are:

Fixed Rate Mortgage: In a fixed rate mortgage plan, interest rates and monthly payments are predetermined prior to loan acceptance. These amounts will not change for the entire period of payment agreed to. This is known as the more "traditional" form of mortgage plan.

Adjustable Rate Mortgage: Adjustable rate mortgages begin with the same interest rate and monthly payments for the home loan for a set period of time: anywhere from six months to five years. After the specified period of time, interest rates and monthly payments may be adjusted periodically in order to reflect market rates. In other words, this type of mortgage starts out like a fixed mortgage, and then the lender may "adjust" the rates later on.

"Balloon" Mortgage: This type of mortgage also begins like a fixed mortgage, with interest rates and payments being fixed for a specified time period. After the specified amount of time, the borrower must pay the loan back in its entirety.

"Interest-Only" Mortgage: In this type of mortgage, for a short period of time the borrower is initially allowed to pay for only the interest portion on the loan. This has the effect of lowering monthly payment amounts in the beginning of the loan period. After the specified period of time, payments will begin to include both the principal and the interest, usually in higher amounts than traditional fixed rate payments.

A common theme among the various mortgage types is that many of them begin like a traditional fixed rate plan, and then later on implement differences in interest rates and monthly payments. This helps provide some financial stability in the beginning stages of home ownership.

Advantages and Disadvantages of the Different Mortgage Types:

There are several pros and cons associated with each type of mortgage. Explore the different types to learn which type might best suit your needs:

Fixed Rate:

- Provides the borrower more stability
- The borrower will know exactly how much is owed each month and can plan their finances around the monthly rates
- However, both interest rates and the monthly payments are typically higher than other forms of mortgages

Adjustable Rate:

- Usually the initial interest rates and monthly payments are lower than traditional fixed rate mortgage amounts
- The lender will often promise not to raise rates above a certain amount (cap), even if the market value is higher
- Often more suitable for buyers who are likely to move out of their house after a short period of time
- However, the borrower assumes the risk of increasing interest rates and monthly payments, especially in a fluctuating economy

Balloon-type:

- The homeowner can usually pay off the mortgage in a shorter period of time than in a traditional or adjustable rate plan
- An average time of complete repayment is typically five years
- However, most people are not able to repay the entire loan after such a short period of time
- May create a situation where another loan is needed in order to pay off the previous loan

Interest Only:

- Currently popular among new home buyers
- The initial payments will be much, much lower than in fixed rate plans
- This allows borrowers to save money for other investment options
- The reduced payments may help borrowers obtain a larger mortgage than other plans
- Also suitable for those who are likely to move after a short time period
- However, the home owner must be prepared for the large increase in payments that becomes due after the initial interest-only period

Whichever way you choose to put a roof over your head, never underestimate the commitment you are making. Owning a home proved to be a sound investment in past decades, but the recent housing crisis has made many rethink that absolute. The future of the labor market might include many moves to accommodate the multiple career changes it's anticipated 21st century workers will make. The tax advantages enjoyed by most homeowners are now among the many elements of the federal budget being reconsidered. Both lenders and landlords are very sensitive to the quality of the people they enter into legal contracts with so be prepared. The rules have changed so the better educated you are increases the likelihood of the best choices being made.



Chapter 8: Internet Safety And Identity Theft

Introduction

Most people spend a considerable amount of time surfing the web. From social networking to answering emails to online shopping, there are many financial Internet safety concerns. Before you consider online transactions, always stop, think, and click because all of the potential benefits of financial literacy development will never be realized if someone steals your credit or identity. Losing control of your personal information leaves the door open to individuals who don't have your interests in mind. The capital and credit that are essential tools to your wealth management would now be vulnerable to intruders aiming to claim them as their own. What makes matters worse is the seemingly endless struggle to rebuild your financial life once it has been taken from you. Your access to bank accounts, rental agreements, housing, credit, future employment, insurance and many other things will be severely compromised if your identity is hijacked.

In This Chapter You Will Learn:

- All about Internet Safety.
- What is Identity Theft?
- How to avoid Identity Theft
- Of course, after reading parts 1, 2, and 3, you will be so prepared that you will never have to use section 4, but just in case...
- What to do if your identity is stolen.



Learning The Language

- **CRA's:** Consumer Reporting Agencies', also known as Credit Bureaus. There are three nationwide agencies: Equifax, Experian, and Trans Union. These agencies provide 1 free copy of your credit report once a year.
- **FACT Act:** The Fair and Accurate Credit Transactions Act was enacted by the federal government in December 2002 as legislation to fight against Identity Theft.
- **Hacking:** When an Internet thief breaks into your computer system and steals personal information.
- **Identity Theft:** Identity Theft is a type of financial fraud that involves the theft of vital personal information. *If identity thieves have 3 vital pieces of information—your name, date of birth, and social security number—they can steal your identity.* If they steal your identity, they can steal your financial freedom!
- **ID Theft Affidavit:** A form to use to report in the case of identify theft. Find a sample affidavit from the FTC: www.ftc.gov/bcp/edu/resources/forms/affidavit.pdf
- **Online Auctions:** Many people use online auctions, like eBay, when they shop online. These auctions operate somewhat like regular auctions, except they are online.
- **Phishing:** This is a high tech scam where thieves use look-alike emails and websites to fool people into revealing personal information.
- **Skimmed:** A fraudulent withdrawal that occurs when a thief steals and uses your account number and PIN without taking your physical bank card.
- **Gypsy ATM's:** Fake ATM's not connected to a real bank network. They record all of your data off your card.
- **Social Engineering:** The primary way identity thieves steal identities is by using deception to get people to provide personal information.
- **Spoof Email:** Fake e-mail laced with malicious software that may be downloaded to your computer.
- **Spyware:** Software that is downloaded to your computer without your consent. Spyware allows outsiders access to your computer and private information.



INTERNET SAFETY

Are you web aware? Do you STOP, THINK, and CLICK before entering personal information or making financial transactions in cyberspace? The Internet, like the real world, can be a dangerous space to navigate. Take the cybertour and then the cyberquiz to discover if you are a Jo Cool or a Jo Fool when it comes to Internet Safety http://www.media-awareness.ca/english/games/jocool_jofool/kids.cfm .

Below are seven of the most important elements to achieving internet safety.

- 1) **Computer Safety:** make sure your computer is safe!
 - a. Keep your password secret, safe, and strong
 - b. Store your computer in a secure space
 - c. Protect all of your personal information
 - d. Update your operating system and security software
2. **Hackers Beware: Keeping Your Network Safe:** Ultimately, you want to keep your computer safe from hackers who invade secretly and can spy on your internet use, steal personal information, and use your computer to send spam. At home, you want to avoid the invasion of the wireless hackers. When using public Wi-Fi sites, if the hotspot does not require a password, beware! It is not secure.
3. **Beware of Spyware:** You also need to beware of spyware, which is software that is installed into your computer without your consent. Spyware monitors or controls your computer use. Clues that you are infected by spyware include: pop-ups, a browser that takes you to unwanted sites, and unexpected toolbars or icons.
4. **Identify Hoax Websites:** Believe it or not, people create fake or hoax websites about things that don't exist and update them regularly. While some of these sites are created as parodies and spoofs, others have more malicious intents. In order to identify whether a website is authentic, you can follow the recommendations of the Media Awareness Network http://www.media-awareness.ca/english/resources/special_initiatives/wa_resources/wa_shared/tipsheets/deconstructing_webpages.cfm.
5. **Avoiding Online Scams:** Scams are a problem in real life and on the Internet. Use your common sense. If a deal seems too good to be true...IT IS! NEVER give personal and financial information in response to Internet requests. Play the game by clicking the link below to check your knowledge <http://www.onguardonline.gov/games/spam-scam-slam.aspx>
6. **Spam Scams:** Con artists use email to scam people out of money. Below is a list of the most popular email spam scams you should avoid:
 - a. Monetary Spam Scams. These include investment schemes, debt relief, pay-in-advance, or check overpayment schemes. In these cases, always STOP, THINK, and CLICK. One popular monetary spam scam was the Nigerian Email Scam where individuals claiming to be government officials state they need a place—your account—to store some of the money. Do not open these and never click on the links.
 - b. Phishing occurs when Internet crooks send email or pop ups to try to obtain personal and financial information. Many of these appear legitimate, so always STOP, THINK, and CHECK before you CLICK.
 - c. Product Spam Scams: There are a variety of other spam scams for a variety of products, such as: weight loss claims, cure-all products, and medical advice. Furthermore, avoid “work-from-home” spam mail that involves get rich quick scams.

7. **Online Shopping:** Often online shopping is done through online auction sites (i.e. eBay). Does the vendor appear to be safe? How do you know? Beware of risky offers and marketing schemes! Be aware of scams and fraud that can occur. Shopping online can be financially smart and safe as long as you STOP, THINK, and CLICK.

Here are some basic safety tips:

- a. Know who the seller is and their address and phone number in case you have problems.
- b. Know the product. Read the description closely, examine the product on other sites, and read the fine print.
- c. Know the expense. Make sure you figure out what the shipping and handling costs will be for your purchase.
- d. Know the deal. What are the refund policies and delivery dates?
- e. Pay and Print. Pay by credit card for maximum consumer protection. Print and save all of your financial online transactions.
- f. Protect your Identity. Do not provide more information than is required. Remember all an identity thief requires is your name, date of birth, and social security number. You should never provide your social security number online!

IDENTITY THEFT

An identity thief does not need to be a genius. It is actually very simple to steal an identity. Remember the BIG THREE? **All an identity thief requires is your: 1) name, 2) date of birth, and 3) social security number.** While the majority of identity theft is low tech (i.e. stealing a credit card, purse, or financial statements), high tech identity theft is on the rise. The primary way an identity thief steals your identity is not by stealing information. Rather, they use social engineering; they use deception to make people provide information themselves. They may call or send emails pretending to be the victim's bank or credit-card company. Then they ask for account numbers, PIN's and other information. Do not provide this information! Also beware of the following:

- 1) **Hacking:** There are three major Consumer Reporting Agencies CRA's: Experion, TransUnion, and Equifax: All three have been hacked into. This is part of organized crime. Thieves hoard information and sell identities. How does this all happen? In many cases, the hacking occurs either by someone inside or by an insider providing access.
- 2) **Cracking:** A hacker can bombard a network with data. For example, a hacker can send several hundred spam emails and inundate a system until it shuts down. Then the hacker can gain access into a system and hoard information to sell.
- 3) **Tracking:** There are ways that identity thieves can track and record your information off of your debit/credit cards. Here are two examples:
 - a. **Clone Debit Cards:** There are small devices that attach to debit machines and record data. These are usually insider jobs. In order to avoid this problem, do not let someone walk away with your card. Observe them as they scan your card into the official machine.
 - b. **Gypsy ATM's:** These are ATM machines that are not connected to a network. You can put in a debit card and most often withdraw small amounts of money. However, these are not connected to a bank and while your card is inside, they track or record all of your data. In order

to avoid these, find your own bank machine. It will be more secure. If a bank machine looks suspicious: DON'T USE IT!

HOW TO AVOID IDENTITY THEFT: DETER, DETECT, DEFEND

The motto on the Federal Trade Commission (FTC) website on Identity Theft is Deter, Detect, and Defend. In this section, learn how you can deter identity theft, detect identity theft if it occurs, and defend yourself against identity theft.

- 1) Deter: For credit cards and bank accounts that you have online, monitor daily—even twice daily! Any cards you use online should keep a low balance. Always shred excess documents. Don't keep bank statements or other documents that contain vital personal information.
- 2) Detect: watch out for the following...
 - a. Beware of phishing, where an email announces a deal/prize you receive as soon as you give your bank account number and other personal information. If you see an email you don't recognize, don't open it. Catch that "phish"! Avoid most phishing by setting spam settings to high.
 - b. Have strong antivirus and spyware and update frequently. You should have a firewall and protect your wireless network with a password. Parents can also install Internet security in order to monitor children's activities.
 - c. Watch out for spoof email. Never open suspicious email. Once you open it, software is downloaded to your machine.
- 3) Defend: Visit websites like OnGuardOnline.gov, which provide tips from the federal government and technology industry to help you: 1) defend yourself against internet fraud; 2) defend your computer; and, 3) defend your personal information online.

How to Stop Identity Theft

- 1) Get copies of your credit reports. You are entitled to obtain, one from each of the three major credit bureaus (Equifax, Trans Union, Experian) per year. Go to the <http://ftc.gov> and link on Identity Theft and read how to get a free credit report. Read and look at credit report. Report any suspicious activity to these agencies. Take initiative. Once a victim, you need to make it right. Contact these people!
- 2) Demand notices and statements: Demand that companies send notices and statements in the mail and keep a record that they arrive. This way you will know that someone else is not intercepting your mail.
- 3) Do not give out information to someone on the phone. One day you may get a call and the person will say, "We have found your personal data." Never provide info over the phone. Do it in person. If they don't want to meet in person it is probably a scam.

What To Do If You Think Your Id Has Been Stolen

Oh no! You think you may be a victim of identity theft. Well, never fear, My Florida Legal is here, to help guide you through the processes. The following is a shortened version of what you will find in the online Florida Identity Theft Victim Kit:

<http://myfloridalegal.com/pages.nsf/Main/CBBEBA3F2583433385256DBA004BC600?OpenDocument> .

- 1) Report the incident to the fraud department of the three major Consumer Reporting Agencies, CRA's (Equifax, Trans Union, Experian.) Ask them to place a "fraud alert" on your credit reports. Request a victim statement. Keep a log that notes with whom you talked and what you told them.

- a. Equifax P.O. Box 740241 Atlanta, GA 30374-0241 To order your report: 1-800-685-1111 To report fraud: 1-800-525-6285 TDD: 800-255-0056 www.equifax.com
 - b. TransUnion Fraud Victim Assistance P.O. Box 6790 Fullerton, CA 92634-6790 Email: fvad@transunion.com To order your report: 1-800-888-4213 To report fraud: 1-800-680-7289 TDD: 877-553-7803 www.transunion.com
 - c. Experian P.O. Box 9532 Allen, TX 75013 To order your report: 1-888-EXPERIAN (397-3742) To report fraud: 1-888-EXPERIAN (397-3742) TDD: 800-972-0322 www.experian.com
- 2) Contact the fraud department of your creditors. Follow up in writing and include: The Federal Trade Commission provides an Identity Theft Affidavit (attached), a standardized form used to report new accounts fraudulently opened in your name. Phone the Federal Trade Commission at 1-877-IDTHEFT (438-4338) Request: "Identity Crime: When Bad Things Happen to Your Good Name." This brochure is available through their website at <http://www.ftc.gov> and contains information on solving credit difficulties and sample dispute letters.
- 3) Contact your bank or credit union.
- a. If you think your accounts are compromised, cancel accounts and obtain new numbers.
 - b. Call SCAN at 1-800-262-7771 to find out if someone has passed bad checks using your name.
 - c. If checks have been stolen, stop payment. Contact the check verification companies. Request they notify retailers not to accept your checks:
 - i. **TeleCheck** 1-800-710-9898 or 927-0188
 - ii. **Cetergy, Inc** 1-800-437-5120
 - iii. **International Check Services** 1-800-631-9656
- 4) Report to the Police
- a. Contact the local police to file a report.
 - b. Provide as much information as you can when you file the report.
 - c. Request a copy of the report to provide to creditors.

Stay on top of this! You need to make it right.

Play the ID Theft FaceOff:

<http://www.onguardonline.gov/games/id-theft-faceoff.aspx>

INTERNET SAFETY AND IDENTITY THEFT AWARENESS QUIZ

- 1) What are the **three** vital pieces of information a thief needs to steal your identity?

- 2) The majority of identity theft is low-tech. T F
- 3) Which of the following is true about computer spyware?
 - a. It is software downloaded to your computer without consent
 - b. It controls your computer use
 - c. A clue you are infected is that a browser takes you to an unwanted site.
 - d. All of the above
- 4) The three major credit reporting bureaus are: _____
- 5) What is phishing?
 - a. A low-tech scam where thieves take mail out of your mailbox.
 - b. A high-tech scam where thieves use look-alike emails to fool people into revealing personal information.
 - c. Something your grandfather does in his fishing boat.
- 6) What is the name of the government legislation to fight identity theft?
 - a. FACT
 - b. CRA
 - c. FTC
- 7) What are three ways to avoid identity theft?

- 8) You should open spoof email. T F
- 9) You can share your personal information as long as it is with relatives and friends. T F
- 10) What are the four steps you should take if you think you are a victim of identity theft?
 - 1 _____ 2 _____
 - 3 _____ 4 _____
- 11) List six safety tips for shopping online:
 - a. _____
 - b. _____
 - c. _____
 - d. _____
 - e. _____
- 12) Write a paragraph about computer safety. What are the ways you intend to keep your computer safe?
- 13) Create 5 personal rules for yourself in order to protect yourself financially on the Internet.
 - a. _____
 - b. _____
 - c. _____
 - d. _____
 - e. _____

Chapter 9: Affording Higher Education

Introduction:

By the time students enter high school, many are seriously thinking about what to do after high school. These thoughts and goals may include entering the workforce, going to a trade school, or going to a college or university. Making these decisions requires having goals and looking towards what you see yourself doing in the future. Do you want to be an engineer, mechanic, teacher, sales consultant, doctor, or a lawyer? Most career paths that you choose will require some type of training or schooling. Most importantly students need to be thinking about how they will go about paying for their educational expenses and doing so without getting into unmanageable debt once they graduate

In this section you will learn:

- What factors to consider when choosing resources to pay for your education.
- How to search for scholarships and loans.
- Know the difference between loans, grants, and scholarships.
- Organize your school choices.
- Budget for college expenses.
- The pros and cons of out- of state schools.



Know Want Learn

Directions

1) List what you **know (K)** about applying for college and financial aid; 2) what you **want (W)** to learn about applying for college and financial aid; and 3) what you **learned (L)** about applying for college and financial aid after reading about it in this chapter.

K	W	L
What I KNOW	What I WANT to Know	What I LEARNED

Learning the Language

- **Loans-** Money that is borrowed from a bank or other financial institution that must be paid back according to the financial institutions terms of payment.
- **Interest-** The annual fee that is paid monthly for the use of borrowed money
- **Federal Student Loan-** Money that is borrowed from the federal government student loan program to help pay for college related educational expenses.
- **Grants-** Unlike loans, grants do not have to be paid back. To qualify you must have financial need and keep a satisfactory academic record (in most cases maintaining at least a 2.0 GPA).
- **Scholarships-** Money for college expenses that is earned through an application and qualification process. Qualifications for scholarships are different for each scholarship.
- **Tuition-** The total cost of attending a college, university, or vocational school.
- **Full Time Student-** Enrollment of at least 12 credit hours (about 4 classes)
- **Half Time Student-** Enrollment of at least 6 credit hours (about 2 classes)
- **Free Application for Federal Student Aid (FAFSA) -** The only form that a student and parent or legal guardian can fill out to apply for federal student aid, such as grants, scholarships, and loans through the federal government.
- **Dependent-** If your parent(s) or guardian claims you as a dependent on their federal tax forms, under the age of 24.
- **Independent-** You are considered independent if you are married, have a child, are a ward of the state, over 24 years of age, or no one else can claim you.
- **Federal Student Loan and Grants-** Monies for college that are funded through the federal American government. It is required that you fill out the FAFSA form to determine if you qualify for the loans and grants.

Choosing Your Future:

Choosing to attend a community college, a four year university, or a vocational school is a choice that you should make based on what you see yourself doing in the future. It is a choice that you must make very carefully because for most people choosing to go to school after high school, or at any point in their lives beyond high school, usually comes with an expense. That expense is usually the tuition and education related costs such as books, transportation, living, and other needed materials.

Type of Schools, Colleges, and Universities:

1. Technical, Community Colleges, and Junior Colleges
 - a. Provide programs where studies are focused in technical careers while completing core academic courses (math, social science, literature/ English, and science).
 - b. Programs of study are designed to be completed in two years.
 - c. Usually are less expensive than four-year universities.
 - d. A two year community college degree (A.A or A.S) will transfer to a four year university.
 - e. Entrance requirements are based on having a high school diploma and certain test scores, but admission is open and mostly anyone can enroll.
2. Four- Year Colleges and Universities:
 - a. Provides programs where studies are focused on certain subjects and careers.
 - b. Students earn a Bachelor degree upon successful completion of the core academic courses and courses focused on the student's area of study.
 - c. Programs of study are designed to be completed in four years.
 - d. Entrance requirements are competitive, requiring certain GPA, and test scores.

The process of choosing, and applying for college:

1. Narrow down your search of colleges to no more than 8 and research the following:
 - a. Research the admission requirements such as test scores (CPT, SAT and ACT), high school or college transfer GPA, deadlines and fees for the admission application.
 - b. Review each choice by looking into which school offers the courses and programs that interest you and will earn you the degree of your choice.
 - c. Research and compare the cost of attendance (tuition). These costs should include cost per credit hour, parking, and any lab fees (usually only apply to science lab courses).
 - d. If you decide to live on campus, research the policies and costs of living on campus including meal plans.
2. Once you have gathered the information above and have decided which schools to apply take the following steps:
 - a. Make a calendar with due dates for tests, fees, and college applications.
 - b. Know and make note of the financial aid application deadlines, especially the priority date for college funded grants and scholarships.
 - c. Be sure to ask trusted teachers, and/ or supervisors for a letter of recommendation to include with your college application. When asking for a recommendation letter, be sure to give each person your resume, a stamped and addressed envelope, and any required forms.
 - d. Be sure to write your application essay and ask family members, teachers, and friends to read the first drafts.

- e. Apply to the colleges that you chose and be sure to carefully read the directions in regards to the application process and what has to be submitted.
- f. Most colleges have the option (and prefer) to apply online and electronically attach necessary documents and or mail them in.

Private Colleges/ Universities versus Public Colleges/ Universities

Private:

Private schools are more expensive than public schools because they do not receive financial support from the state or federal government. Rather they are funded from private donations, endowments, and donations. Private schools are known to have smaller enrollment which translates into smaller class sizes. While these schools are more expensive, do not let that be a factor that deters you away from applying. Do not forget that the higher the cost to attend, the more aid you may need.

Public:

Public schools are less expensive because they do receive state and federal funding. There are higher enrollment numbers which translates into larger classes. Public schools also have more students from the local community enrolled.

Cost of Attendance:

Be sure to research the cost of attendance for the schools that you will be applying to. To do this go onto each schools website and on the sites search engine type in “cost of attendance”.

Your results should provide you with a link that will provide you with cost per credit, average cost of books, living costs, and transportation costs.

Searching Programs of Interest:

To search the colleges and programs of interest at each college that you are interested in applying look on the home page. There should be links that may be titled “Explore”, or “Research”. Click on these links and there should be additional links and information in regards to the colleges and programs that you are interested in. They will also provide links and information as to where the school is located.

Take Your Time and Read:

Every website has an immense amount of information which can feel overwhelming and challenging to navigate around. Be very patient and read everything carefully, today the schools maintain and provide all of their information on their website.

www.facts.org

This is an outstanding resource provided by the Florida Department of Education. It includes resources for finding a college program that matches the students’ needs and interests, scholarships (including Bright Futures) and financial aid, and advice on the college application process.

www.finaid.org/quickref

This another great resource with a wealth of information. One feature is a loan calculator tool that allows you to determine what your monthly payment will be when you have to begin repaying your loan and shows how much annual income you’ll need in order to repay the loan without suffering economic hardship.

<http://www.finaid.org/calculators/loanpayments.phtml>

Directions: Use the chart below to organize and compare your college choices. Research the information. When calculating tuition costs remember that most college courses are 3 credits (some are 1 credit, some are 4).

College Name	Cost of Each Credit Hour	Programs of Interest	Location

Applying for Federal Student Aid (financial aid):

To apply for Federal Student Financial Aid you will need to carefully follow a few steps and be aware that this application is free and no one should charge you to fill out this form. You and your parents can complete this form as long as you have all of the necessary paperwork which will be mentioned in this section.

Getting Started:

1. You cannot have been convicted of any crime
2. Must be a citizen of the United States or legal resident
3. Men must be registered with the United States Selective Service
4. Must have a valid social security number
5. Valid high school graduate or GED holder
6. Must have satisfactory academic progress (maintain a 2.0 or higher)
7. Know what colleges you have or will be applying to.
8. Check with the colleges what their priority dates are for grants and scholarships. The sooner you submit your application for aid, the better chance you have of receiving college funded grants and scholarships.
9. If you are applying for financial aid for the fall term, begin the process of applying for financial aid in January and try your best to have it done by March.
10. The website to fill out the Free Application for Federal Student Aid (FAFSA) is:
<http://www.fafsa.ed.gov>
11. Click on the link titled: *PIN site*. From here you need to create a 4 digit pin number that will serve as your electronic signature and ID number when you return to the site to finish the form. Follow the instructions on the site. Be patient and read everything carefully.
12. Once you have applied for and created your pin number you will then be able to fill out the application for federal student aid by clicking on the *Get Started*.
13. Read everything carefully and follow the instructions on the form. Be sure to answer all the questions honestly.
14. If you are unable to finish the entire form at once, be sure to save before you exit. When you log back in it will take you back to where you left off.

If you are a dependent you will need:

1. Parents filled out and *completed* income tax form for the latest year
2. Your filled out and *completed* income tax forms for the latest year
3. Any information in regards to your parent's investments (stocks, retirement accounts, properties, etc...)
4. List of schools that you have applied to. In the FAFSA form you will be able to enter the schools that you want the information sent to. You can send the application to the schools that you have applied to even if you have already applied to them.

If you are considered independent you will need:

1. Your *completed* income tax forms from the latest year
2. Any information regarding any investments
3. List of schools that you have applied to. In the FAFSA form you will be able to enter the schools that you want the information sent to. You can send the application to the schools that you have applied to even if you have already applied to them

Factors Used to Determine Amount of Financial Aid

This all depends on your financial need which is calculated from the income information that you provide on the FAFSA. There are two main factors that are used to calculate how much you will get:

1. Estimated Family Contribution (EFC) - from the income information provided, it is calculated how much can be contributed annually towards your educational expenses. This amount calculated once you complete and submit you FAFSA.
2. Cost of attendance (COA) - The total cost of attendance for the school that you applied for. Costs such as tuition, books, materials, transportation, and living expenses are all calculated.
3. $COA - EFC = \text{financial need}$

What if you are awarded more than what you need?

When you fill out your FAFSA they do consider your living expenses therefore you may be awarded more than your tuition costs alone. For this reason you may have money that is left over after tuition and fees are paid. If this is the case the school will write you a check or directly deposit the left over amount into your back account. This money is intended to assist you with your expenses while you are in school. These expenses can range from room and board, transportation, and school supplies. If you have money left over, spend it wisely on your educational needs.

EXERCISE:**College Cost Calculation Worksheet:**

Directions: Use this worksheet to compare the cost of attendance of your college choices.

Most of this information is available at each college website or from the college view book, catalog or financial aid guide. Search the websites for the college that you are looking to apply to. Refer to the *Cost of Attendance* section of this chapter, where there are instructions on how to search for the information below on the schools website.

Websites you can refer to are:

- www.Facts.org
- <http://www.collegeboard.com/student/pay/index.html>
- <http://cgi.money.cnn.com/tools/collegecost/collegecost.jsp>

	College:	College:	College:
1. Tuition			
2. Fees			
3. Housing			
4. Food			
5. Books/Supplies			
6. Personal Expenses			
7. Transportation			
8. Estimated College Cost			

1. Tuition – available from college sources
2. Fees – include both the mandatory fees required of all students and any others that you know you will have to pay because of your field of study or extracurricular interests.
3. And 4. Housing and Food – Could be a stated room and board charge that you pay each term or an estimate for off-campus rent plus what you will pay to buy and prepare your own meals. Can vary considerably if you live at school or at home. You may pay only for one or both. Be sure that meal charges cover 19 to 21 meals per week.
5. Books/Supplies – Colleges provide estimates but they can vary substantially from institution to institution. Use a minimum of \$600 to \$800 regardless of any published amounts. It may be more for some courses of study (art, lab courses, etc.)
6. Personal Expenses – This can be dependent upon your lifestyle, extracurricular interests and college location. College estimates will help but include a minimum of \$1,500 for full time study.
7. Transportation – Varies by college location, use of a car or public transportation, number of trips home per year and/or commuting expense and local transportation while at school. Colleges usually, but not always, publish guidelines.

Financial Aid Awards (Grants and Loans)

Student Loans:

Student loans were developed to assist students financially by allowing students to borrow money for their college education if they did not have the money right away. While student loans can be of great financial assistance during your college years, a student loan can also become a heavy financial burden after college if you are not careful about how much you borrow.

There are different types of student loans that students can take out from, and each work in different ways in terms of who borrow's the money (some loans are solely lent out to the student, some are parent and student), and how to apply for them. When filling out the FAFSA form you are asked if you are interested in student loans, if you select "yes" then when you get your award letter you will see the amounts and type of student loan's that you qualify for. If you select "no" you will not be offered a student loan, but if you change your mind later, contact the financial aid office and they can assist you with that procedure. While choosing if you will or will not take out a student loan, also take into account the amount that you are borrowing.

Tips on student loan borrowing:

- Only borrow as much as you need. You can modify the amount that is offered to you to adjust the amount that you need.
- Remember that student loans are aimed for educational expenses.
- It is especially important that you are careful about how much you borrow because student loans are a debt! It is a debt that you must pay back no matter your economic situation upon graduation (even if you file for bankruptcy during repayment).
- When deciding how much to borrow, you should be aware of how much you will end up borrowing by the time you graduate.
- Do your best to borrow less than one year's salary of what you expect to make after graduation.
- Federal Loans are the best to borrow because they have lower interest rates. They are funded by the federal government, and they provide certain benefits such as helpful repayment options and possible loan forgiveness based on your career (speak with your financial aid counselor about this).
- Private loans are nonfederal and issued through a bank. The interest rates are significantly higher than federal loans and the interest rates are variable (the interest adjusts).
- Types of loans: (FAFSA must be completed to apply and qualify for these loans)

Type of Loan	Who applies	Interest	Advantages	Disadvantages	Repayment
Parent Plus Loan	Parents of dependent students to supplement their children's aid package	Fixed 7.9%	Additional assistance to cover college costs	- Higher rates than Federal Stafford Loans - Requires a credit check	- Begins 60 days after funds are fully disbursed - Repayment term is up to 10 years
Federal Unsubsidized Stafford Loan	Student who demonstrates financial need	Fixed 6.8%	- Lower interest rate - Flexible repayment options	- Interest payment begins while you are enrolled in school. - Limits to how much you can borrow	- Begins 6 months after graduation or student reduces enrollment to less than half time (6 credits) - Repayment term is up to 10 years
Federal Subsidized Stafford Loans	Student who demonstrates financial need	Fixed 6.8%	- Lower interest rate - Flexible repayment options - The government pays the interest while you are in school	Limits on how much you can borrow	- Begins 6 months after graduation or student reduces enrollment to less than half time (6 credits) - Repayment term is up to 10 years
Perkins Loans	Student who demonstrates financial need	Fixed 5%	The government pays the interest while you are in school	Limited pool of funds because the school funds the loan	- Begins 9 months after you graduate - Repayment term is up to 9 months

For more information about Federal Student Loans go to:
<http://federalstudentaid.ed.gov/students.html>

Loan Know How Quick Check Quiz:

Directions: Read and answer each question based on what you have read on the chart about the different type of student loans.

1. Perkins Loans are considered subsidized because:
 - a. There is a limited pool of funds because schools fund the loans
 - b. The interest rate is fixed at 5%
 - c. The government pays the interest while you are in school
 - d. Students must demonstrate financial need
2. What do all four loans have in common?
 - a. Fixed rates
 - b. They are all subsidized
 - c. Repayment is up to 10 years
 - d. Both A and C
3. What is the interest rate for Federal Stafford Loans?
 - a. 6.8%
 - b. 7.9%
 - c. 5.8%
 - d. 8.3%
4. For which loan does repayment begin 60 days after full disbursement?
 - a. Federal Subsidized Stafford Loan
 - b. Parent Plus Loan
 - c. Perkins Loan
 - d. Federal Unsubsidized Stafford Loan
5. What is one disadvantage of Federal Unsubsidized Stafford Loans?
 - a. Limited pool of funds because the school funds the loan
 - b. Interest payments begin while you are in school.
 - c. Lower interest rate
 - d. Additional assistance to cover college costs.

10 year Loan Payoff Example:

Public College/University: (In-State Amounts)

Tuition: \$24,500

Loan Amount: \$24,500

Interest Rate: 6.8%

- Calculation of Interest per year: $\$24,500 \times 0.068 = \$1,666$
- Principal +Interest payment for 10 years: $= \$282.00/\text{month}$
- Total Amount Paid including interest (after 10 years)= \$41,160

Private College/ University (In-State Amounts)

Tuition: \$38,440

Loan Amount: \$38,440

Interest Rate: 6.8%

- Calculation of Interest per year: $\$38,440 \times 0.068 = \$2,614$
- Principal +Interest payment for 10 years: $= \$442.50/\text{month}$
- Total Amount Paid including interest (after 10 years)= \$64,580

Grants

Grants are funds that are aimed at assisting you with your educational finances. The best part about grants is that they do not have to be paid back. Grants although require that you maintain a satisfactory academic record (at least a 2.0 or higher each semester), and demonstrate financial need based on your FAFSA application. Grants can come funded from two sources, the federal government, and the school you attend.

Federal Grants offered:

1. Federal Pell Grant
 - a. Maximum amount that can be awarded is \$5,500 for the school year. This amount can change each year based on the federal funding that is available for the grant.
 - b. Amount that you receive is determined by your EFC. The lower your EFC the more possibility you have of receiving a partial or full Pell Grant.
2. Federal Supplemental Educational Opportunity Grant (FSEOG)
 - a. Awarded to students with exceptional financial need (very low EFC)
 - b. This grant is awarded on a first come first serve basis, so be sure fill out the FAFSA as soon as you can.
 - c. Depending on your need you may be awarded \$100- \$4000 a year.
3. For information on other grants visit:
<http://studentaid.ed.gov/PORTALSWebApp/students/english/grants.jsp>

Scholarships:

Scholarships are a great way to help with educational expenses. In order to receive scholarships you must apply for each scholarship individually. Apply for scholarships that you qualify for, and some of these qualifications can be based on your major in college, first in family to go to college, single parent, race and ethnic background, grades, test scores, financial need, area where you live, and a number of other qualifications. There are scholarships for everyone out there it is just a matter of researching and applying on time. The following are some tips on how to search for scholarships:

Tips for Scholarship Seeking:

1. Visit your college or university's foundation web page (you can ask the financial aid office about this). Schools have their own scholarships from various resources. Some of these scholarships require that a FAFSA be filled out to determine your financial need.
2. Inquire with the department of your college major if they have any scholarships that are aimed for students in your area of study.
3. Your local community and businesses may also have scholarships for graduating high school seniors. Ask your guidance counselors about these, the schools are usually notified.
4. Be sure to make note of the application deadline for scholarships.
5. Apply for more than one scholarship.
6. If a scholarship requires you to write an essay, do it. Think about the reward that you may earn for writing an essay!

Grants and Scholarships Quiz Check:

***Directions: Circle the word/ phrase that correctly go with the sentence.**

1. Grants and scholarships (do not have to / must) be repaid upon graduation.
2. The maximum amount for the Federal Pell Grant is (\$7,000/ \$5,500).
3. In order to continue qualifying for grants, your grade point average must be at least (2.0/ 3.5)
4. The amount that you receive in grants depends on your (EFC/Loans)
5. You can inquire about scholarships through the university (admissions office/ foundation office)

Work-Study Program

Work-study is a need based employment program that is federally funded. You must have a FAFSA completed and have a low EFC (its estimated it should be no more than \$7000), usually students who qualify for the maximum amount of the Federal Pell Grant, qualify for the work-study program. This program provides students with funds that they can earn through working for a department on their college campus. It is pretty much a guaranteed on campus job which is very convenient for students.

How Work- Study Works:

- If you are awarded work-study the maximum amount is \$4500 (varies from year to year depending on the federal funding for the program).
- The amount that you are awarded is divided by two (for each semester).
- You need to find an on campus job that is hiring students under the work-study program.
- The amount that you are awarded is the maximum amount that you can earn for the year. It is money that you earn, not that you will be given, or applied towards school fees and tuition.
- It gives you the opportunity to have a job and earn money for college expenses while you are in school.
- Because your earnings are from a need based program, the money that you make will not count as additional income when you renew your FAFSA for the following school year.
- Inquire more about this program through your school's financial aid office.

Bright Futures Scholarship Program:

The Bright Futures scholarship is funded through the Florida Lottery. To qualify for Bright Futures you must have earned at least a 3.0 GPA in a Florida high school, and have earned qualifying test scores. Speak to your school guidance counselor for more information on applying and qualifying.

- Refer to this website for qualifying scores:
<http://www.floridastudentfinancialaid.org/SSFAD/PDF/BFEligibilityAwardChart.pdf>
- 2010-11 Award Amounts per Credit Hour Florida Bright Futures Scholarships:
<http://www.floridastudentfinancialaid.org/ssfad/bf/awardamt.htm>

To Apply for Bright Futures:

Visit and follow the instructions at: www.FloridaStudentFinancialAid.org

General Requirements to Receive Bright Futures Awards

- Be a Florida resident and a U.S. citizen or eligible non-citizen, as determined by the student's postsecondary institution.
- Apply for a scholarship from the program by high school graduation.
- Earn a standard Florida high school diploma or its equivalent.
- Be accepted by and enroll in an eligible Florida public or independent postsecondary education institution within 3 years of high school graduation. If a student enlists directly into the military after graduation, the three-year period begins on the date the student is separated from active duty.
- Not have been found guilty of, or plead nolo contendere to, a felony charge, unless the student has been granted clemency by the Governor and Cabinet sitting as the Executive Office of Clemency.
- Be enrolled for at least 6 semester credit hours (or the equivalent in quarter or clock hours).

Note: A student must earn at least 24 semester credit hours (or the equivalent) if enrolled full time for the entire academic year. A student enrolled full time (12 or more semester hours or the equivalent) for only one term must earn at least 12 semester hours for that term. If a student is enrolled part time for any part of the academic year, the student must earn a prorated number of credit hours.

- A student enrolled three-quarter time (9-11 semester hours or the equivalent) for a term must earn at least 9 semester hours for that term.
- A student enrolled half-time (6-8 semester hours or the equivalent) for a term must earn at least 6 semester hours for that term.

A student must reimburse the postsecondary institution for the cost of course(s) dropped or withdrawn after the initial drop/add period. Non-refunded hours may affect the student's renewal eligibility.

****Reference:** <http://www.floridastudentfinancialaid.org/ssfad/bf/genrequire.htm>******

Additional Resources and Websites:

- **Facts.org: www.FACTS.org**
 - This is a great website for online advising on planning for college from applying to paying for college. This site can also help you to research different schools and compare costs.
 - Under the "Paying for College" link there is additional information about Bright Futures and Financial Aid.
 - Under the "Finding a College or Program" link there is additional information about college programs, career planning, and charts on how college pays in terms of higher paying careers.
- **CollegeBoard: www.collegeboard.org**
 - Click on the "College Planning" link
 - This site also provides information on planning, applying, and paying for college.
 - This is also the site for registering for the SAT and ACT exams.
- **Fastweb: www.fastweb.com**
 - This website is a good resource for matching students with scholarships that they qualify for based on a variety of individual circumstances (grades, race, college major, etc...)

Some Words of Advice:

Before making the decision of going to a college, university, or vocational school, make sure that you are doing it for the right reasons. Those right reasons are that you want to go, you want to specialize in something, you enjoy academics, and most of all that you want to invest the time and dedication to it. It is no easy task to go to college and you have to be up for the challenge, and be as prepared as you can be for the financial responsibilities that come with it during and once you graduate.

Think of it as an investment in yourself, and investments are financial situations in which you want to be sure that what you do today will grow financially for you in the future. Make sure that you choose a career path that you enjoy and feel that it was worth going to school for. While you may not know what your career choice is right away, make sure to know at least a year and a half into your studies. Each class you take, each book you buy, is a cost and it is up to you to make it worth it. Make sure that you get the best value possible for each education dollar you spend.

Remember that college is not for everyone, and many people try it and discover that it is not for them. There is nothing wrong with trying it out, but be sure that it is something you want. College is a great personal, educational, and professional experience. Keep in mind that the job market will get more competitive as the country recovers from the economic downturn. So research what the job market is looking for out there and see what schooling you need. Again, remember to invest in yourself, your future, your happiness and prosperity. Think about what *you* want and where you see yourself.



About the Florida Council on Economic Education

Since 1975, the mission of the Florida Council on Economic Education (FCEE) has been to prepare Florida's young people for personal and financial success through educational programs in economics, the free enterprise system and personal financial literacy so that they become productive members of the workforce, responsible consumers and wise investors.

This mission is increasingly relevant in today's economic environment. In an effort to address the needs of a financially undereducated population, the FCEE offers teacher training and standards-based programs and curricula to K-12 Florida teachers to enable them to deliver life-changing economic education to their students.

The training provided by the FCEE is done in partnership with Economic Education Centers at State Universities and State Colleges. Training workshops, held at these centers throughout the state, emphasize active learning techniques to introduce economics and financial literacy in a number of subjects including geography, mathematics, history and civics.

In addition to Financial Freedom, the Florida Stock Market Challenge is an exciting way to engage young people in learning about the American economy. Students participate in an investment simulation that allows them to develop and manage a hypothetical \$100,000 investment portfolio, as well as compete for the best portfolio performance.

The Florida Stock Market Challenge not only offers life long lessons in investing, but it teaches team building, communication and research skills. This program is easily integrated into a variety of subject areas, including social studies, mathematics, and language art classes, meeting the Next Generation Sunshine State Standards Correlation.

The FCEE also annually recognizes Florida educators for innovation and creativity in teaching economics, free enterprise and financial literacy. Open to K-12 educators in all 67 Florida school districts, the Governor's Awards for Excellence in Teaching Economics honors educators who have successfully taught these concepts by integrating them into everyday coursework. This prestigious event allows the business community to express their true appreciation for educators who work tirelessly to teach the values and principles of our free market economy to students throughout the state.

Founded in 1975, The Florida Council on Economic Education is a 501(c)(3) non-profit organization that is funded by leading corporations and individuals throughout the state. The Florida Council is affiliated with the Council for Economic Education, as part of a national network of state Councils and Economic Education Centers.

To find out more about the FCEE, please visit www.fcee.org or call 813-289-8489.



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If you have questions or comments concerning Financial Freedom, please contact:

Florida Council on Economic Education

1211 N. Westshore Blvd., Suite 305, Tampa, FL 33607

Phone: 813-289-8489

Or visit us at: www.FCEE.org